ENPR6302032

International Business Environment

Sessions 1–7 · BINUS

SECONDBRAIN

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ENPR6302032 · INTERNATIONAL BUSINESS ENVIRONMENT · BINUS UNIVERSITY

Course walkthrough

This book covers all seven session decks of International Business Environment (Sessions 1–7): globalization in the COVID era, the political economy of trade, the international flow of funds and exchange rates, the cultural environment, the legal and political environment, ethics and corruption, and entry strategies. Each session follows one or two chapters of the course textbook, Gaspar's Introduction to Global Business (3rd edition), and the book keeps the textbook's terms, lists and exhibits. Every chapter is organized the same way: a four-step chain (problem, big idea, tools, result), a plain-words explanation, at least one figure, and then the details to memorize under subheadings. A tag such as "Session 3 · CILO 1–2" gives the class session a chapter draws on; "CILO" stands for course intended learning outcome, and the three CILOs are set out in the first chapter. Every abbreviation is spelled out the first time it appears in each chapter and is listed in the glossary at the back.

CHAPTER 1 · START HERE · COURSE MAP

The shape of the course: from the world economy to the entry decision

PROBLEM
Seven sessions cover a wide field, from exchange-rate formulas to business etiquette in eight countries, and the links between them are easy to lose.

→

BIG IDEA
The course first explains the forces that make up the international business environment, then asks how a company should enter a foreign market given those forces.

→

HOW (TOOLS)
Three course intended learning outcomes (CILOs), seven weekly decks, and the chapters of Gaspar's *Introduction to Global Business* that each deck follows.

→

RESULT
Every topic has a place: Sessions 1–3 describe the global economy, Sessions 4–6 the cultural, legal and ethical environment, and Session 7 the strategies for going abroad.

IN PLAIN WORDS

International Business Environment (course code ENPR6302032) is taught in seven weekly sessions. Every deck opens with the same two learning outcomes. CILO 1 asks students to identify the drivers and challenges of globalization in the post-COVID era. CILO 2 asks them to explain how cultural, legal and ethical factors influence international business decisions. The last deck, Session 7, adds CILO 3: to apply business strategies for market entry, operational control and sustainable growth in an international business context.

The first three sessions describe the world economy in which international firms operate. Session 1 defines globalization, shows how the COVID-19 pandemic put it at risk, and introduces the institutions that support it: the International Monetary Fund (IMF), the World Bank and the World Trade Organization (WTO). Session 2 asks why countries trade at all, walking through the major trade theories from mercantilism to Porter's Diamond, and then sets out the tools governments use to manage trade. Session 3 follows the money: the balance of payments, the foreign exchange market, the history of international monetary systems, and the parity theories used to explain and forecast exchange rates.

The next three sessions turn to the environment inside each foreign market, the part CILO 2 names. Session 4 treats culture: its eight elements, the cultural dimensions of Hofstede, Trompenaars and the GLOBE project, and country-by-country notes on doing business. Session 5 covers political systems, economic ideologies, political and economic risk, corruption, the legal environment and intellectual property. Session 6 covers ethics, corporate social responsibility (CSR), famous financial scandals and the internal controls that help prevent them. Session 7 then brings the course together around a decision: which entry strategy to use, why multinational enterprises (MNEs) invest abroad, and how host countries weigh foreign direct investment (FDI).

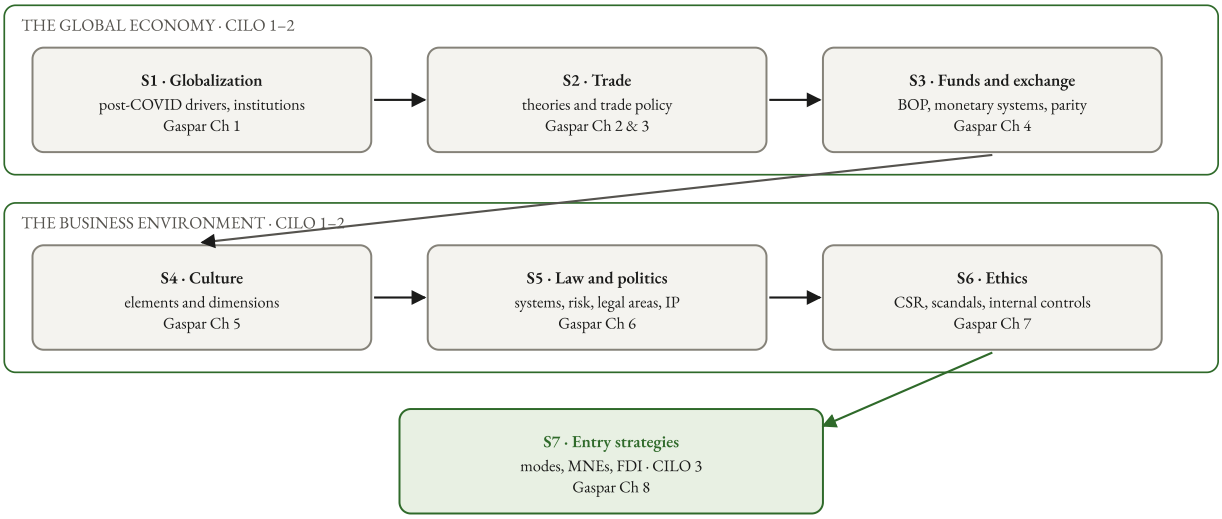


FIGURE 1.1 The seven sessions in teaching order, with the Gaspar chapter each one draws on. Every deck lists CILO 1 and CILO 2; Session 7 adds CILO 3, which turns the course from understanding the environment to choosing how to enter a foreign market.

The seven sessions and their sources

SESSION	TOPIC	GASPAR, *INTRODUCTION TO GLOBAL BUSINESS* (3RD ED.)	*GLOBAL BUSINESS TODAY* (12TH ED.)
1	Globalization in the COVID Era	Ch 1	Ch 1
2	Political Economy of Trade	Ch 2 & 3	Ch 6
3	The International Flow of Funds and the Exchange Rate	Ch 4	Ch 3
4	The Cultural Environment	Ch 5	Ch 4
5	Legal and Political Environment of Business	Ch 6	Ch 2
6	Ethics, Corruption & ESG Foundations	Ch 7	Ch 5
7	Entry Strategies in Global Business	Ch 8	Ch 7, 8, 9, 13

The three CILOs

- **CILO 1**: Identify the drivers and challenges of globalization in the post-COVID era.
- **CILO 2**: Explain how cultural, legal, and ethical factors influence international business decisions.

- **CILO 3**: Apply business strategies for market entry, operational control, and sustainable growth strategies in international business context (added in Session 7).

How each session is built

Every deck follows the same pattern: the CILOs, the textbook chapter it draws on, a list of topics, an icebreaker discussion, the teaching slides, a summary that repeats the topic list, and a references slide with the textbook chapters and one or two videos. The icebreaker questions and discussion activities are reproduced in the chapters where they belong, because they show which questions the lecturer asks of each topic.

Link to next topic → The course begins with the force that drives everything after it: globalization, and what the COVID-19 pandemic did to it.

PART A

WEEK 1 · GLOBALIZATION IN THE COVID ERA

CHAPTER 2 · SESSION 1 · CILO 1

What globalization is, and where it is heading

PROBLEM
The COVID-19 pandemic put globalization at risk, so it matters to know exactly what globalization is and which way it is moving.

→

BIG IDEA
Globalization is the removal of barriers between countries, and its direction has changed: business now flows both ways, and the world's economic center of gravity is shifting toward emerging economies.

→

HOW (TOOLS)
A four-part definition, the 2050 ranking of the largest economies (Exhibit 1.2), and two concepts: decoupling and the multipolar world.

→

RESULT
A picture of a world economy with several engines of growth rather than one, led increasingly by China, India and other emerging economies.

IN PLAIN WORDS

Session 1 opens with a map titled "COVID-19 Puts Globalization at Risk" (Exhibit 1.1, from *The Economist*, May 2021) and an icebreaker: propelled by globalization, what were the cultural, economic, political and social effects of the COVID-19 pandemic? The point of starting there is that a virus which began in one city became a world event precisely because economies are so closely connected. To judge whether globalization survives such a shock, students first need a clear definition of it.

The textbook defines globalization as the socioeconomic reform process of eliminating trade, investment, cultural, information technology and political barriers across countries. Because the barriers come down, goods, services, investment and even cultural and belief systems flow more freely, and nations become more integrated and interdependent. The definition therefore carries its own consequences: more economic growth, closer geopolitical ties, and countries that are more efficient, more interdependent and perhaps more inclusive and alike.

What has changed is the direction of the flow. Before 2000, globalization generally meant businesses from developed countries expanding into developing or emerging economies. Now business moves in both directions, and increasingly from one developing country to another, because emerging economies are adopting more open trade and free-market policies to drive their own growth. As a result the world's center of economic gravity is shifting toward emerging economies, especially China. Exhibit 1.2 makes the shift concrete: in a ranking based on nominal gross domestic product (GDP) for 2050, China moves to first place, India to third and Indonesia into fourth.

Two terms describe the world this produces. **Decoupling** describes a world economy with several engines of growth (the United States, the European Union, China, India, Brazil, Russia and South Africa) rather than the United States alone. A **multipolar world** is the global shift in which developing economies that used to depend on industrialized countries grow on their own underlying economic strengths. Exhibit 1.4 draws this future as a map of several centers of power rather than one.

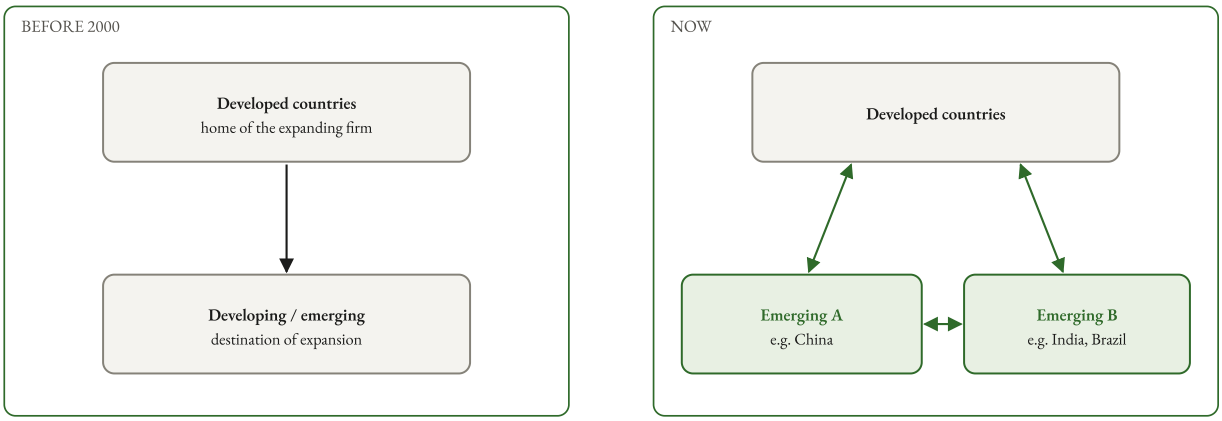


FIGURE 2.1 Before 2000 globalization meant expansion from developed to developing or emerging economies. Today business flows in both directions and increasingly from one developing country to another, and the world's center of economic gravity shifts toward emerging economies, especially China.

The definition of globalization

- **Globalization**: the socioeconomic reform process of eliminating trade, investment, cultural, information technology and political barriers across countries.
- **What it can lead to**: increased economic growth and geopolitical integration and interdependence among nations.
- **What it represents**: freer international trade and investment, or the free flow of goods and services (including cultural and belief systems) between countries.
- **What it includes**: a process of integrating nations so that they become more economically efficient, interdependent, and perhaps relatively more inclusive and homogeneous.

The changing direction of globalization

1 Before 2000
Business generally expanded from developed countries to developing or emerging economies.

2 Now
Business flows in both directions, and increasingly from one developing country to another.

3 Why
Emerging economies are implementing more open trade and free-market policies to propel growth.

4 Where it leads
The world's center of economic gravity is shifting toward emerging economies, especially China.

The world's ten largest economies in 2050 (Exhibit 1.2)

The exhibit ranks countries on nominal GDP in U.S. dollars, "reflecting a shift in global balance of power" (source: PricewaterhouseCoopers, "World in 2050").

2050 RANK	COUNTRY (2021 RANK)	2050 NOMINAL GDP ($ TRILLIONS)	KEY ECONOMIC DRIVERS
1	China (2)	50.0	Population, natural resources, technology, state capitalism
2	United States (1)	34.0	Natural resources, technology leader, high-income population
3	India (7)	28.0	Young population, productivity growth, large domestic market
4	Indonesia (not in top 10)	7.3	Natural resources, population, productivity
5	Japan (3)	6.8	High income but aging population, technology leader
6	Brazil (9)	6.5	Sizable population, large stock of natural resources
7	Germany (4)	6.1	Strong industrial growth with technology, export machine
8	Mexico (not in top 10)	5.6	Close link to the United States, growing productivity and population
9	U.K. (6)	5.4	Strong ties to the United States, yet 50% of trade is with the European Union
10	Russia (not in top 10)	5.1	Huge landmass with valuable natural resources and technology

France (5th in 2021), Italy (8th) and Canada (10th) drop out of the top ten by 2050. Exhibit 1.3, "Strategic Competitors 2030", repeats this ranking beside a table of the ten largest economies on a purchasing power parity basis (see the trade chapter, Why countries trade).

Two concepts for the new world order

Decoupling

A world economy in which the engines of growth could comprise several major industrialized and emerging economies, such as the United States, the European Union, China, India, Brazil, Russia and South Africa, rather than the United States alone.

Multipolar world

A global shift in which industrialized-country-dependent developing economies grow based on their own underlying economic strengths rather than those of highly developed countries (Exhibit 1.4, "A Multipolar World Economic Order").

Link to next topic → Globalization gained momentum after World War II through three international institutions, which the session turns to next.

CHECK YOURSELF

Answer from memory, then check below.

1. **How has the direction of globalization changed since 2000?**
   - A. It now runs only from emerging to developed economies
   - B. It now runs in both directions and increasingly from one developing country to another
   - C. It now runs only within the European Union
   - D. It has stopped, because of COVID-19
2. **According to the textbook, globalization is best defined as:**
   - A. The socioeconomic reform process of eliminating trade, investment, cultural, IT and political barriers across countries
   - B. A world economy driven by the United States alone
   - C. The replacement of national currencies with the dollar
   - D. The expansion of firms from developed to developing countries
3. (RECALL) **Direction of globalization before 2000**

Answers 1. B **2.** A **3.** Business generally expanded from developed countries to developing or emerging economies.

CHAPTER 3 · SESSION 1 · CILO 1

The institutions behind globalization: money, development and trade rules

PROBLEM
Open trade and investment need rules, stable money and finance for development, and no single country can provide them for the world.

→

BIG IDEA
After World War II, governments of the free world created international organizations to cooperate and coordinate: the International Monetary Fund (IMF), the World Bank and the World Trade Organization (WTO).

→

HOW (TOOLS)
The IMF's four roles, the World Bank's focus areas and its five institutions (Table 1.1), and the WTO's six functions and five principles.

→

RESULT
A division of labor: the IMF keeps the monetary system stable, the World Bank funds development, and the WTO sets and enforces the rules of trade.

IN PLAIN WORDS

Globalization did not grow on its own. It gained momentum after World War II, when the governments of the free world recognized that international cooperation and coordination were needed, and that recognition produced three major international organizations: the International Monetary Fund (IMF), the World Bank and the World Trade Organization (WTO). Each tackles a different obstacle to open trade and investment.

The IMF deals with money. Countries cannot trade freely if exchange rates swing wildly or if a country runs out of the foreign currency it needs to pay for imports, so the IMF provides a forum on international monetary problems, promotes exchange rate stability and an open system of payments, and lends foreign exchange to countries with balance of payments problems. The World Bank deals with development. Its first job was to help rebuild Europe after the war; today it works on integrating countries into global trade, advising on policy, supporting international financial standards, transferring knowledge to developing countries and fighting communicable diseases. It does this through a group of five institutions, each with its own job.

The WTO deals with the rules of trade. Its story starts in 1948 under the General Agreement on Tariffs and Trade (GATT), which liberalized trade by lowering or removing barriers such as tariffs, quotas and subsidies through a series of negotiations. The WTO now administers trade agreements, hosts negotiations, settles disputes, reviews national trade policies, trains developing countries, and cooperates with the IMF and the World Bank, so the three institutions work as a system. Its work rests on five principles, beginning with trade without discrimination.

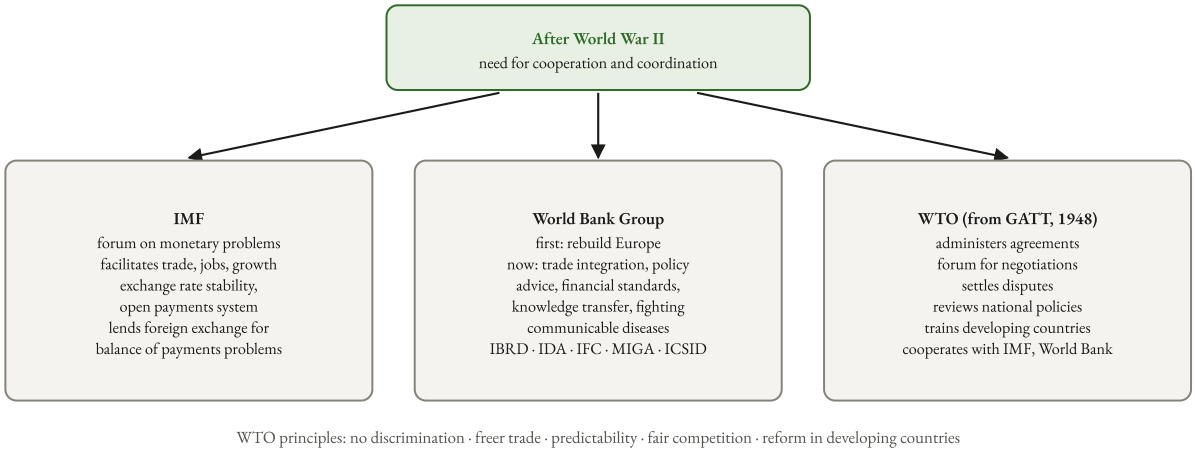


FIGURE 3.1 The three post-war institutions and the job each does. The IMF looks after international payments and exchange rates, the World Bank Group after reconstruction and development, and the WTO after the rules of trade; the WTO also cooperates with the other two.

The International Monetary Fund (IMF)

The IMF's role in global financial stability:

1 Forum
Provides a forum for cooperation on international monetary problems.

2 Trade
Facilitates international trade that promotes job creation, economic growth and poverty reduction.

3 Stability
Promotes exchange rate stability and an open system of international payments.

4 Lending
Lends countries foreign exchange to help address balance of payments problems.

The World Bank

Its initial role was to aid the reconstruction of Europe after World War II. Its current focus areas are:

- **Global integration**: through trade liberalization and expansion.
- **Policy advice**: analysis and national trading policy advice to strengthen free-market institutions and infrastructure.
- **Financial standards**: agreements supporting international standards in financial systems.
- **Knowledge transfer**: information and knowledge transfer to developing countries to support sustainable development.
- **Health**: eradicating communicable diseases.

The World Bank Group's developmental institutions (Table 1.1)

INSTITUTION	WHAT IT DOES
International Bank for Reconstruction and Development (IBRD)	Supports reconstruction and restructuring of member countries using funds raised in international capital markets
International Development Association (IDA)	Provides long-term, low-interest social sector and infrastructure loans to the poorest members, using foreign aid funds provided by the rich nation members
International Finance Corporation (IFC)	Provides loans that take an equity position in private companies of developing countries, and works toward developing capital markets in those economies
Multilateral Investment Guarantee Agency (MIGA)	Provides political risk coverage for private investments made in developing countries
International Center for the Settlement of Investment Disputes (ICSID)	Works on issues related to foreign investment disputes

The World Trade Organization (WTO)

The WTO began trading in 1948 under the General Agreement on Tariffs and Trade (GATT). GATT liberalized trade by lowering or removing trade barriers such as tariffs, quotas and subsidies, and it developed through a series of trade negotiations.

How the WTO promotes global trade

1. **Administering** trade agreements
2. **Negotiating** acting as a forum for trade negotiations
3. **Settling** trade disputes
4. **Reviewing** national trade policies
5. **Assisting** providing developing countries with technical assistance and training programs
6. **Cooperating** with the IMF and the World Bank

The WTO's five principles

1. **Trade without discrimination**
2. **Freer trade**
3. **Predictability**
4. **Promoting fair competition**
5. **Encouraging economic reforms in developing countries**

Link to next topic → International organizations are not enough on their own: the session goes on to the national institutions and policies that make globalization work, and to the case against it.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which institution lends countries foreign exchange to help address balance of payments problems?**
   - A. The International Monetary Fund (IMF)
   - B. The World Trade Organization (WTO)
   - C. GATT
   - D. The World Bank

2. **The WTO's history began in 1948 under:**
   - A. The Smithsonian Agreement
   - B. The Bretton Woods Agreement
   - C. The General Agreement on Tariffs and Trade (GATT)
   - D. The Jamaica Agreement

3. RECALL **Six ways the WTO promotes global trade**

Answers 1. A **2.** C **3.** Administering agreements; forum for negotiations; settling disputes; reviewing national trade policies; technical assistance and training for developing countries; cooperating with the IMF and World Bank.

CHAPTER 4 · SESSION 1 · CILO 1

Making globalization work: institutions, technology and the controversy

PROBLEM
Globalization can raise living standards, but it can also be a force for exploitation and injustice, and it creates winners and losers.

→

BIG IDEA
Globalization is sustainable only where strong, adaptive institutions and sound policies are in place, and where those it harms are supported.

→

HOW (TOOLS)
Adaptive institutions, four policy measures, the role of information technology (IT) and the digital divide, and the arguments against globalization.

→

RESULT
A balanced view: more integration offers a more hopeful future, but there is no guarantee that everyone's quality of life will rise.

IN PLAIN WORDS

The international organizations set the global rules, but each country still decides how well it plugs into the world economy. The textbook calls the relevant national structures **institutions**: the rules, the enforcement mechanisms and the organizations that support market transactions. Institutions only work if a political system is also in place. The best kind are **adaptive institutions**, government organizations that create strong incentives for private investment and operate under a system of checks and balances, which the textbook says function best in a democratic system of government. Four policy measures promote globalization: good governance, competitive markets, property rights and anticorruption policies.

Technology speeds the process. Lower broadband prices have let emerging economies reach rural towns and villages, and the information technology (IT) revolution has spread almost instantly. Yet the same technology opens a **digital divide**, the perceived economic gap between countries with easy access to digital technology and those with limited access.

This is where the controversy begins. The free flow of ideas, people, goods, services and capital that integrates economies can also be a force for exploitation and injustice. Critics point to job losses and income stagnation, the loss of local control over economic policy, the disappearance of old industries and the erosion of the communities built around them. The textbook's answer is measured. Most economists agree that greater integration and openness offer the citizens of the global village a more rewarding and hopeful future, and globalization can raise the quality of life; but there is no guarantee that it will do so for everyone, or that every change it brings will be positive. Globalization creates winners and losers, which is why the session's topic list includes the case for temporarily supporting those who are hurt by it.

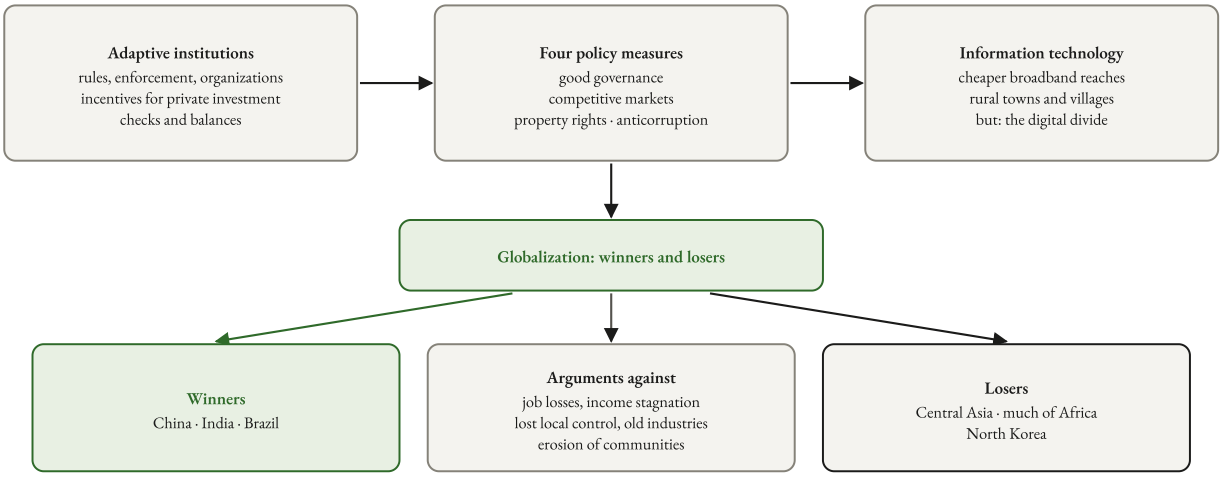


FIGURE 4.1 The chain the session follows: institutions and policy measures make globalization sustainable, information technology spreads it but leaves a digital divide, and because it creates winners and losers, critics raise four arguments against it.

Institutions and policy

- **Institutions**: the rules, enforcement mechanisms and organizations that support market transactions. To work appropriately, political systems must also be in place.
- **Adaptive institutions**: government organizations that create strong incentives for private investment and operate under a system of checks and balances; they function best in a democratic system of government.

Four effective policy measures that promote globalization

1. **Good governance**
2. **Competitive markets**
3. **Property rights**
4. **Anticorruption policies**

Information technology and the digital divide

- **Broadband**: lower broadband prices have allowed emerging economies to reach rural towns and villages.
- **Speed**: the IT revolution has been relatively instantaneous.
- **Digital divide**: the perceived economic gap between countries with easy access to digital technology and those with limited access.

The globalization controversy

The increasingly free flow of ideas, people, goods, services and capital that leads to closer integration and interdependence of economies and societies can be a force for exploitation and injustice.

Arguments against globalization

1. **Job losses and income stagnation**
2. **Loss of local control** over economic policies and developments
3. **Disappearance of old industries**
4. **Related erosion of communities**

Making globalization work for all

- **The hopeful view**: most economists would agree that greater integration of the world economy and more openness to efficiency and modernization offer all citizens of the global village a more rewarding and hopeful future.
- **The caution**: globalization has the potential to increase the quality of life, but there cannot be a guarantee that quality of life will increase for all people, or that all changes caused by globalization will be positive.
- **The conclusion**: globalization does create winners and losers.

Globalization's winners

- China
- India
- Brazil

Globalization's losers

- Central Asia
- Much of Africa
- North Korea

Link to next topic → If globalization creates winners and losers, the next question is why countries trade at all, and who gains from it. Session 2 answers with the theories of international trade.

CHECK YOURSELF

Answer from memory, then check below.

1. **The perceived economic gap between countries with easy access to digital technology and those with limited access is the:**
   - A. Power distance
   - B. Digital divide
   - C. Risk premium
   - D. Bid-ask spread

2. **Adaptive institutions function best in:**
   - A. A gold standard system
   - B. A totalitarian system
   - C. A democratic system of government with checks and balances
   - D. A system without property rights

3. RECALL **The textbook's balanced conclusion on globalization**

Answers 1. B **2.** C **3.** Integration offers a more hopeful future and can raise quality of life, but there is no guarantee for all people or that all changes are positive: globalization creates winners and losers.

PART B

WEEK 2 · POLITICAL ECONOMY OF TRADE

CHAPTER 5 · SESSION 2 · CILO 1

Why countries trade: the benefits of trade and foreign investment

PROBLEM
Trade and foreign investment change economies, and history shows that economic development can also mean exploitation, so their value has to be shown, not assumed.

→

BIG IDEA
Trade and foreign direct investment (FDI) are good for society as a whole, because trade gives every consumer more choice, lower prices and higher living standards.

→

HOW (TOOLS)
The three consumer benefits of trade, the ranking of the world's largest economies on a purchasing power parity (PPP) basis (Exhibit 2.1), and FDI flows by region (Exhibit 2.3).

→

RESULT
A factual base for the rest of the session: who the large economies are, how investment flows have moved, and why governments care about trade.

IN PLAIN WORDS

Session 2 starts from history. Its icebreaker asks how the history of economic development and exploitation affects a country or region, what the growth of international trade and investment does to a country's economy, and how economic success can look different in different places. The session's first claim answers the middle question directly: trade and foreign investment are good for society as a whole.

The argument is made from the consumer's side. International trade benefits all consumers in three major ways. It gives them a greater choice of goods and services, because they can buy what other countries make as well as what their own country makes. It lowers the prices of the goods and services they consume. Together, these raise living standards. Foreign direct investment (FDI) adds the producer's side: money that crosses borders to acquire or set up businesses in another country.

Two exhibits show the scale. Exhibit 2.1 ranks the world's ten largest economies in 2019 by gross national income (GNI) measured at purchasing power parity (PPP), which adjusts each currency for what it can actually buy at home. On this basis China (17.26% of world PPP GNI) is already larger than the United States (15.95%), with India third. Exhibit 2.3 tracks FDI by region since 1990: world inflows rose from $205 billion in 1990 to a peak of $2,754 billion in 2016, fell to $1,110 billion in 2018 and recovered to $1,631 billion in 2019, and a growing share went to low and middle-income economies.

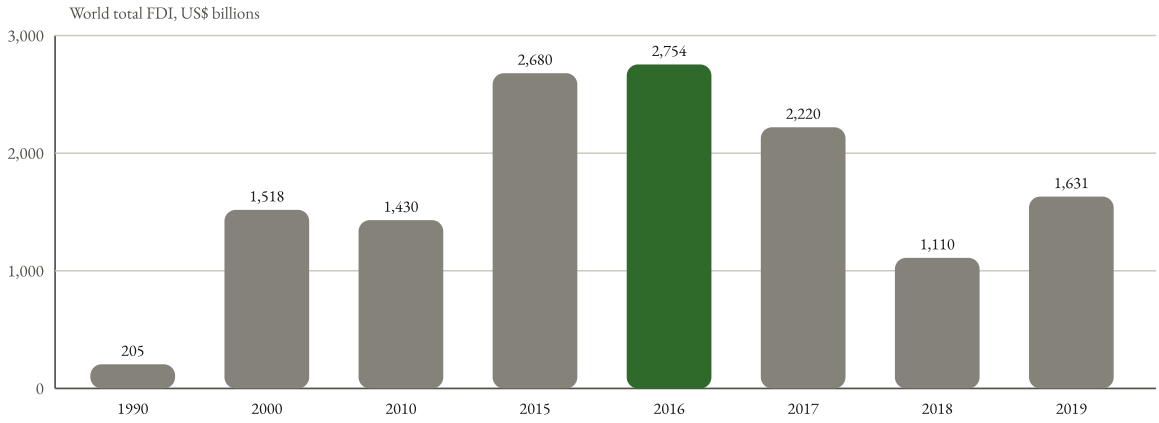


FIGURE 5.1 World foreign direct investment (net inflows, billions of U.S. dollars) for the years printed in Exhibit 2.3. The years are not evenly spaced, so the bars show the printed values rather than a continuous trend.

Three ways international trade benefits all consumers

1 Choice
A greater amount of choice in the availability of goods and services.

2 Prices
Lower prices for goods and services consumed.

3 Living standards
Higher living standards.

The world's ten largest economies, PPP basis (Exhibit 2.1, U.S. dollars, 2019)

COUNTRY	PPP GNI (US$ BILLIONS)	% OF WORLD PPP GNI	POPULATION (MILLIONS)	PPP GNI PER CAPITA (US$)
China	23,468	17.26	1,398	16,790
United States	21,690	15.95	328	66,080
India	9,456	6.95	1,366	6,920
Japan	5,704	4.19	126	45,180
Germany	4,913	3.61	83	59,090
Russia	4,294	3.16	144	28,270
France	3,491	2.57	67	52,050
United Kingdom	3,278	2.41	67	49,040
Brazil	3,143	2.31	211	14,890
Italy	2,781	2.04	60	46,110
Others	77,251	56.80	5,220	14,799
World total	136,001	100.00	7,674	17,723

The exhibit's notes define the two measures. A **PPP conversion factor** is the number of units of a country's currency required to buy the same amount of goods and services in the domestic market that a U.S. dollar would buy in the United States. **Gross national income (GNI)** is the total value of goods and services produced by a country plus its net receipts of employee compensation and property income from abroad. The source is the World Bank's *World Development Indicators*.

Foreign direct investment by region (Exhibit 2.3, US$ billions)

The exhibit records net inflows of investment to acquire or establish an enterprise in another country. Selected rows:

REGION	1990	2000	2010	2015	2016	2017	2018	2019
World total	205	1,518	1,430	2,680	2,754	2,220	1,110	1,631
High income	181	1,358	916	2,069	2,201	1,674	500	1,090
Low & middle income	24	161	514	611	553	546	610	542
East Asia & Pacific	11	45	231	306	220	240	311	229
China	3	38	185	242	175	166	235	156
Indonesia	1	−5	13	20	5	21	19	25
United States	48	321	236	511	474	367	262	352
Latin America & Caribbean	8	80	117	284	230	222	234	221
South Asia	1	4	28	50	51	46	49	57
Sub-Saharan Africa	1	7	25	44	32	29	32	32

Link to next topic → Knowing that trade benefits consumers leads to the deeper question the session asks next: what determines which country trades what? The major trade theories answer it.

CHECK YOURSELF

Answer from memory, then check below.

1. **In Exhibit 2.1 (PPP basis, 2019), which economy is the largest?**
   - A. China
   - B. Japan
   - C. United States
   - D. India

2. **According to Session 2, international trade benefits all consumers in three ways. Which is one of them?**

   A. Fewer imported goods
   B. Fixed exchange rates
   C. Higher tariffs
   D. Lower prices for goods and services

3. RECALL **GNI**

Answers 1. A **2.** D **3.** Gross national income: total value of goods and services produced by a country plus net receipts of employee compensation and property income from abroad.

CHAPTER 6 · SESSION 2 · CILO 1

Who should make what: the major theories of international trade

PROBLEM
Countries differ in what they can produce well, and a theory is needed to explain which goods a nation should export and why trade makes nations richer.

→

BIG IDEA
Trade theory moved from mercantilism, where only a surplus counts, to specialization, where each nation gains by producing what it makes most efficiently.

→

HOW (TOOLS)
Mercantilism, absolute and comparative advantage, the Heckscher–Ohlin (H–O) theory, factor price equalization theory, and Porter's Diamond.

→

RESULT
An explanation of trade patterns based on efficiency and factor endowments, and a model of why some nations' industries are competitive.

IN PLAIN WORDS

The session groups the theories into three families. Mercantilism rests on the premise that a nation can gain from trading only if it runs a trade surplus. Specialization, through absolute and comparative advantage, encourages countries to produce the goods and services they make most efficiently. Factor endowments, through the Heckscher–Ohlin (H–O) theory and factor price equalization, explain that nations mainly export goods and services that make intense use of their abundant factors of production.

Mercantilism is the oldest trade theory, practiced from about 1500 to 1750 as Europe moved toward nationalism. Wealth, personal and national, was measured largely by the precious metal a country owned, so a nation became rich by exporting as much as possible and importing as little as possible. The textbook points out its flaw: mercantilists did not see the big picture. If every nation pushed exports up and imports down, the world would have a surplus of exports, prices would be depressed, exporting countries would earn less, and they would undersell one another.

The specialization theories fix this by asking what each country does best. A country has an **absolute advantage** when it can produce a good or service more efficiently than another country. **Comparative advantage** goes further: a country that has an absolute advantage in two or more goods can still produce one of them relatively more efficiently than the other, and it gains by specializing in that one. The Heckscher–Ohlin (H–O) theory then explains where comparative advantage comes from: a nation's factor endowments of land, labor, capital and technology. H–O assumes perfect competition and that factors of production cannot move between countries. Factor price equalization theory relaxes that second assumption: when factors move freely among trading nations, efficiency increases and resources are reallocated until prices reach equilibrium.

Porter's "Diamond" model asks a different question, why some nations are competitive in particular industries, and answers with four linked conditions plus two outside influences. Factor

conditions bring in comparative advantage and H–O; demand conditions add the importance of domestic demand; related and supporting industries add the strength of the surrounding industry; and firm strategy, structure and rivalry add the way companies manage themselves. Chance (an external shock such as the COVID-19 pandemic) and government (which can help or hurt) act on all four.

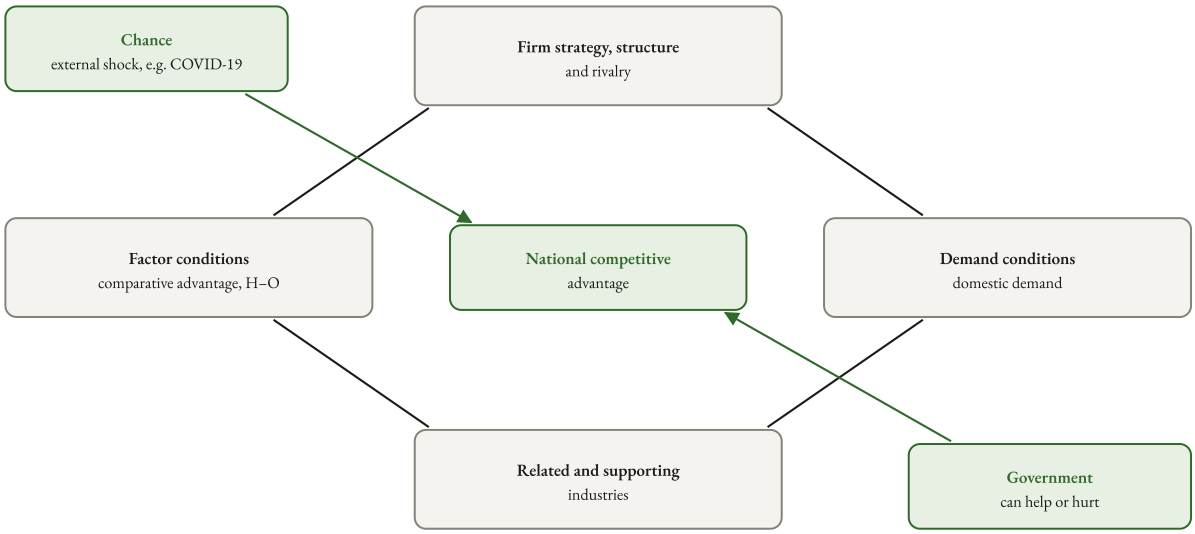


FIGURE 6.1 Porter's Diamond as the session lists it: four conditions at the corners of national competitive advantage, with chance (an external shock such as the COVID-19 pandemic) and government (which can help or hurt) acting from outside.

The three families of trade theory

FAMILY	CORE PREMISE	THEORIES
Mercantilism	A nation can only gain from external trading if it has a trade surplus	Mercantilism
Specialization	Countries should specialize in the goods and services they most efficiently produce	Absolute advantage; comparative advantage
Factor endowments	Nations primarily export goods and services that intensely use their abundant factors of production	Heckscher–Ohlin (H–O) theory; factor price equalization theory

Mercantilism

- **When**: the oldest form of trade theory, practiced during 1500–1750 as Europe moved toward nationalism.
- **Measure of wealth**: personal and national wealth was largely determined by the amount of precious metal owned.

- **Policy**: export as much as possible and import as little as possible, so that the country has a trade surplus.
- **Flaw**: if all nations increased exports and decreased imports, the surplus of exports would lead to depressed prices, lower earnings for exporting countries and underselling.

Absolute and comparative advantage

- **Absolute advantage**: the ability of one country to produce a good or service more efficiently than another.
- **Comparative advantage**: the ability of one country that has an absolute advantage in the production of two or more goods (or services) to produce one of them relatively more efficiently than the other.

Heckscher–Ohlin (H–O) theory

The H–O theory attributes a nation's comparative advantage to its factor endowments:

1 Land	2 Labor	3 Capital	4 Technology
quantity, quality, and the mineral resources beneath it	quantity and skills	cost	quality

Key assumptions of the H–O theory

- **Perfect competition** in the marketplace.
- **Perfect immobility** of factors of production among countries.

Factor price equalization theory

- **Claim**: when factors are allowed to move freely among trading nations, efficiency increases, leading to a superior allocation of production of goods and services among countries.
- **Mechanism**: free mobility of factors leads to efficient reallocation of resources (factors of production) until price equilibrium is reached.

Porter's "Diamond" model of national competitive advantage

ELEMENT	WHAT IT COVERS
Factor conditions	The theory of comparative advantage in production and the H–O theory
Demand conditions	The importance of domestic demand for goods and services
Related and supporting industries	Important for competitive advantage

Firm strategy, structure and rivalry	The way companies manage their operations, and the structure of the organization
Chance	An external shock or development, such as the COVID-19 pandemic
Government	Can help or hurt the competitiveness of nations

Link to next topic → The theories describe what free trade would produce; in practice governments intervene, which is the subject of trade policy.

CHECK YOURSELF

Answer from memory, then check below.

1. The Heckscher–Ohlin theory attributes a nation's comparative advantage to:

A. Its government subsidies
B. Its trade surplus
C. Its exchange rate regime
D. Its factor endowments

2. Mercantilists believed a nation becomes wealthy by:

A. Specializing in what it produces most efficiently
B. Allowing factors of production to move freely
C. Exporting as much as possible and importing as little as possible
D. Joining a currency basket

3. (RECALL) **The three families of trade theory**

Answers 1. D **2.** C **3.** Mercantilism; specialization (absolute and comparative advantage); factor endowments (H–O and factor price equalization).

CHAPTER 7 · SESSION 2 · CILO 1

How governments manage trade: instruments of trade policy

PROBLEM
Trade theory favors open markets, yet governments still act to change how much flows into and out of their countries.

→

BIG IDEA
Trade policy is every government action that seeks to alter the size of merchandise or service flows, and it uses a set of standard instruments justified by economic, social and political reasons.

→

HOW (TOOLS)
Tariffs (specific and ad valorem), preferential duties and the Generalized System of Preferences (GSP), most favored nation (MFN) status, and nontariff barriers (quotas, voluntary export restraints and domestic content rules).

→

RESULT
A toolkit that affects businesses, consumers and governments, and a list of the reasons countries give for "managed" trade.

IN PLAIN WORDS

The theories in the previous chapter show why open trade makes nations richer. Governments nevertheless intervene, and the textbook defines **trade policy** as all government actions that seek to alter the size of merchandise and/or service flows from and to a country. The session lists four instruments: tariffs, preferential duties, most favored nation (MFN) status and nontariff barriers.

The most familiar instrument is the **tariff**, a customs duty on imports collected by the government agency that regulates imports. A tariff can be specific, a fixed dollar amount per physical unit, or ad valorem, a constant percentage of the value of one unit of the imported good. A government can also treat countries differently. A **preferential duty** is a tariff a nation applies to goods from certain countries but not to the same goods from others. The Generalized System of Preferences (GSP) is a large-scale example, in which many developed countries allow duty-free imports of a selected list of products that originate in specific countries.

Not every barrier is a duty. **Nontariff barriers** control trade by quantity or by sourcing rules instead of by price. Import quotas, also called quantitative restrictions (QRs), cap the number of units that can be imported. A voluntary export restraint (VER) has the exporting country itself agree to limit its exports to another country for a time. Domestic content provisions require that a certain percentage of an import's value be sourced domestically.

Why would a government restrict trade it knows to be beneficial? The session sorts the reasons behind today's "managed" trade into two groups. The socioeconomic rationale covers countertrade, export cartels, the protection of infant industries, questionable labor practices,

environmental considerations, and health and safety. The geopolitical rationale covers national security, strategic industries and embargoes.

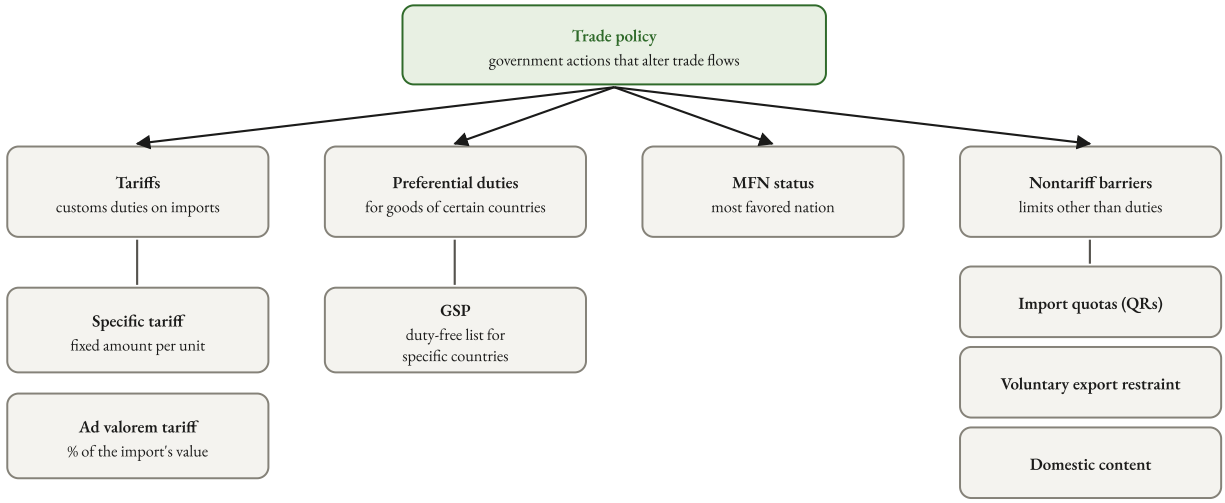


FIGURE 7.1 The instruments of trade policy as the session lists them. Tariffs are duties on imports; the three nontariff barriers limit the quantity imported (quotas, VER) or require part of an import's value to be sourced domestically.

Trade policy and its instruments

- **Trade policy**: all government actions that seek to alter the size of merchandise and/or service flows from and to a country.
- **Instruments**: tariffs (customs duties); preferential duties; most favored nation (MFN) status; nontariff barriers.

Tariffs and preferential duties

TERM	DEFINITION
Tariffs	Customs duties on imports, collected by a designated government agency responsible for regulating imports
Specific tariff	An import tax that assigns a fixed dollar amount per physical unit
Ad valorem tariff	A tax on imports levied as a constant percentage of the monetary value of one unit of the imported good
Preferential duties	An import tariff established by a nation for goods of certain countries and not applied to the same goods of other countries
Generalized System of Preferences (GSP)	An agreement under which a large number of developed countries permit duty-free imports of a selected list of products that originate from specific countries

Nontariff barriers

BARRIER	HOW IT WORKS

Import quotas	Quantitative restrictions (QRs) limit the amount or number of units of products that can be imported into a country
Voluntary export restraint (VER)	An arrangement under which an efficient exporting nation agrees to limit exports of a product to another country for a temporary period
Domestic content provisions	Regulations requiring that a certain percentage of the value of an import be sourced domestically

The current practice of "managed" trade

RATIONALE	EXAMPLES GIVEN
Socioeconomic rationale	Countertrade; export cartels; protection of infant industries; questionable labor practices; environmental considerations; health and safety
Geopolitical rationale	National security; strategic industries; embargoes

Link to next topic → Every flow of goods and services has a matching flow of money. Session 3 follows those funds through the balance of payments and the exchange rate.

CHECK YOURSELF

Answer from memory, then check below.

1. **A tax on imports levied as a constant percentage of the value of one unit of the good is a:**
   - A. Domestic content provision
   - B. Specific tariff
   - C. Ad valorem tariff
   - D. Voluntary export restraint

2. **An arrangement in which an efficient exporting nation agrees to limit its exports to another country for a temporary period is:**
   - A. The GSP
   - B. An import quota
   - C. A preferential duty
   - D. A voluntary export restraint (VER)

3. RECALL **Four instruments of trade policy**

Answers 1. C **2.** D **3.** Tariffs (customs duties); preferential duties; most favored nation (MFN) status; nontariff barriers.

PART C

WEEK 3 · THE INTERNATIONAL FLOW OF FUNDS AND THE EXCHANGE RATE

CHAPTER 8 · SESSION 3 · CILO 1

Keeping score with the world: the balance of payments

PROBLEM
A country trades goods and services, earns and pays income, and buys and sells assets abroad, and it needs one record that shows all of these flows together.

→

BIG IDEA
The balance of payments (BOP) records every transaction between one country and the rest of the world, sorted into the current, capital and financial accounts.

→

HOW (TOOLS)
The parts of each account, net errors and omissions, and reserves, illustrated with the U.S. balance of payments (Exhibit 4.2) and U.S. trade with its partners (Exhibit 4.3).

→

RESULT
A way to read where a country's foreign money comes from and goes to, and why the total ends up as a change in foreign currency reserves.

IN PLAIN WORDS

Session 3 opens with the U.S. dollar. Its icebreaker asks whether the dollar will remain a safe-haven and reserve currency in future crises, and whether large U.S. government deficits might reduce other countries' willingness to hold dollars. Exhibit 4.1 shows why the question is live: the euro-to-dollar exchange rate moved widely between January 1999 and June 2021, and the chart marks a period of the dollar rising against the euro. Questions like these can only be answered by tracking how money moves between countries, and the tool for that is the **balance of payments (BOP)**, which shows all transactions between one country and the rest of the world over a given period.

The BOP is split into three accounts. The **current account** records the everyday activity of consumers and businesses: the trade balance in goods, the trade balance in services, primary income and secondary income. Exports bring dollars in and carry a plus sign; imports send dollars out and carry a minus sign, so a country that imports more goods than it exports runs a goods trade deficit. Exhibit 4.3 shows the U.S. pattern with its largest partners: with Mexico, for example, U.S. exports of 189.57 sit against imports of 308.55.

The **capital account** is the least significant item, because the amounts are usually small. It records non-produced nonfinancial assets and capital transfers, such as land sold to an embassy or the sale of leases and licenses. The **financial account** records investment: foreign direct investment (FDI) in factories and equipment abroad, portfolio investment in debt and equity securities, financial derivatives and other investments such as "hot money". Because the source data are imperfect, the accounts never balance exactly, and the gap is recorded as **net errors and omissions**. The total of the three accounts is sometimes called the overall balance of payments; once it is adjusted for errors and omissions, it shows up as the change in the country's foreign currency reserves.

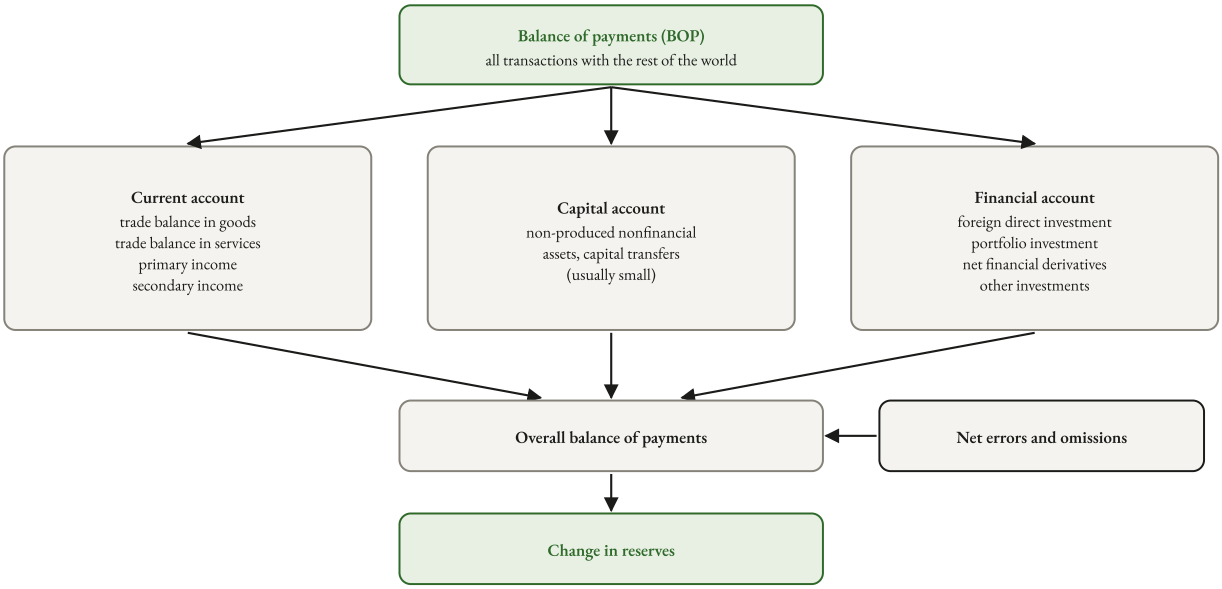


FIGURE 8.1 The balance of payments (BOP) as the session builds it. The three accounts add up to the overall balance; after net errors and omissions are taken into account, what remains is reflected in the change in foreign currency reserves.

The three accounts

ACCOUNT	DEFINITION
Balance of payments (BOP)	Shows all transactions between one country and the rest of the world for a given period of time
Current account	Shows the activities of consumers and businesses in the economy with respect to the trade balance, services balance, income balance and secondary income
Capital account	Shows credit and debit entries for non-produced nonfinancial assets and capital transfers between residents and nonresidents
Financial account	Consists of foreign direct investment, portfolio investment, financial derivatives and other investment assets

Inside the current account

- **Trade balance in goods**: the net of merchandise exports (+, as money comes in when merchandise is exported) and merchandise imports (−, as money leaves to pay for imports). A country that imports more than it exports has a goods trade deficit.
- **Trade balance in services**: the net of service exports (+) and imports (−), including shipping, airlines, consulting, insurance, banking, tourism, software development, movies and music.
- **Primary income balance**: the net of labor and investment income earned by residents from abroad (a credit, an inflow) less what they pay to the rest of the world (a debit, an outflow).

- **Secondary income account**: current transfers between residents and nonresidents, showing their role in distributing income between economies.

The capital account

The least significant item in the BOP, since the amounts are usually small. It records acquisitions and disposals of non-produced nonfinancial assets, for example:

- **Land**: sold to embassies, or returned when an embassy closes.
- **Leases and licenses**: sales of trademarks and copyrights.
- **Capital transfers**: resources provided for capital improvement, such as security and surveillance systems.

Inside the financial account

- **Risk premium**: the added return investors require for the risk of a security or asset.
- **Foreign direct investment (FDI)**: purchases of fixed assets abroad (such as factories and equipment) used to make and sell goods and services abroad.
- **Portfolio investments**: cross-border transactions and positions in debt or equity securities other than those included in FDI.
- **Net financial derivatives and employee stock options**: relate to risk transfer rather than to the supply of BOP funds.
- **Other investments**: hot money or short-term deposits seeking higher returns, currency seeking a safe haven, trade credit and advances, and other receivables and payables.

Net errors and omissions, and reserves

- **Net errors and omissions**: imbalances that result from imperfections in source data and compilation. They are derived as the balance of the financial account minus the balance of the current and capital accounts, and they reflect two issues: timing and illegal trade.
- **Reserves**: the part of a country's international liquidity controlled by monetary authorities for financing balance of payments needs, intervening in exchange markets and related purposes. Reserve assets must be foreign currency assets that actually exist.
- **Overall balance**: the total of the current, capital and financial accounts. Adjusted for net errors and omissions, it is reflected in the change in foreign currency reserves.
- **World trade**: the growth of international trade has been driven by world economic growth and the elimination of barriers to trade (Exhibit 4.4 tracks merchandise trade volumes by region, 2010–2019).

U.S. exports plus imports with its top partners (Exhibit 4.3)

COUNTRY	EXPORTS	IMPORTS	TOTAL TRADE
Mexico	189.57	308.55	498.13
Canada	163.49	167.87	331.36
China	80.51	282.78	363.29
Japan	49.55	130.94	180.48
Germany	46.92	103.63	150.54
United Kingdom	43.53	46.42	89.95
Netherlands	36.67	16.32	52.98
Korea, South	31.60	60.19	91.79
Brazil	29.40	16.43	45.83
France	28.89	39.40	68.28

Source: United States Census Bureau (2019 data). The slide gives no unit for these values.

Link to next topic → Every cross-border payment in the BOP needs one currency to be exchanged for another, so the session moves on to the foreign exchange market and the monetary systems that govern it.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which account of the balance of payments is described as the least significant because its amounts are usually small?**
   - A. Current account
   - B. Financial account
   - C. Capital account
   - D. Reserves

2. **Purchases of fixed assets abroad, such as factories and equipment, used to make and sell goods abroad are:**
   - A. Foreign direct investment
   - B. Secondary income
   - C. Portfolio investment
   - D. Hot money

3. RECALL What the overall BOP shows up as

Answers 1. C **2.** A **3.** The total of current, capital and financial accounts, adjusted for net errors and omissions, is reflected in the change in foreign currency reserves.

CHAPTER 9 · SESSION 3 · CILO 1

Trading currencies: the foreign exchange market and monetary systems

PROBLEM
Every international transaction needs one currency to be swapped for another, and the price of that swap can be fixed by rule or left to the market.

→

BIG IDEA
The foreign exchange market prices currencies, and the international monetary system has moved from fixed links to gold and the dollar toward floating rates set by supply and demand.

→

HOW (TOOLS)
Quote and forward-market terms; the gold standard, Bretton Woods (1944), the Smithsonian Agreement (1971) and the Jamaica Agreement (1976); and the language of floats, special drawing rights (SDRs), dollarization and hard and soft currencies.

→

RESULT
The vocabulary needed to read an exchange rate and to explain why currency values now move.

IN PLAIN WORDS

A bank that exchanges currency quotes two prices: what it will pay for a currency (the bid) and what it will sell it for (the ask). The **bid-ask spread** between them is the bank's fee. A rate can be quoted two ways. A **direct quote** gives the price of a foreign currency in dollars, the number of dollars per unit of foreign currency; an **indirect quote** is its reciprocal, the price of a dollar in foreign currency. Currencies can also be bought for future delivery at a **forward rate**, and comparing the forward rate with today's spot rate tells whether a currency sells at a discount or a premium. A firm that locks in a forward rate is using a **hedge**, insurance that reduces future risk.

How these prices are set depends on the monetary system, and the session traces its history. Under the **gold standard**, currency values were pegged to the market value of gold. The **Bretton Woods Agreement** of 1944 built a global system in which the U.S. dollar was pegged to gold at a fixed rate and the currencies of 43 other countries were fixed to the dollar; it also set up the International Monetary Fund (IMF) to keep the system stable. In 1971 the **Smithsonian Agreement** allowed the United States to devalue the dollar against other currencies, and in 1976 the **Jamaica Agreement** let countries adopt different exchange rate systems, including floating their currencies. The result is today's **flexible rate system**, in which supply and demand set currency prices, influenced by current account imbalances, economic structure and growth, inflation, interest rates and expectations.

Floating is a matter of degree. A **clean float** is largely market-determined, with minimal government intervention; a **dirty float** involves varying degrees of intervention to keep a currency

within an acceptable range. Some countries go the other way and adopt **dollarization**, using the dollar or another foreign currency alongside or instead of their own. The session's discussion activity applies these ideas to China: until 2005 the yuan was pegged to the dollar, and today it floats within a narrow margin around a base rate set against a basket of currencies. Students are asked what would happen to the dollar-to-yuan rate if China floated the yuan freely, given how much the United States imports from China.

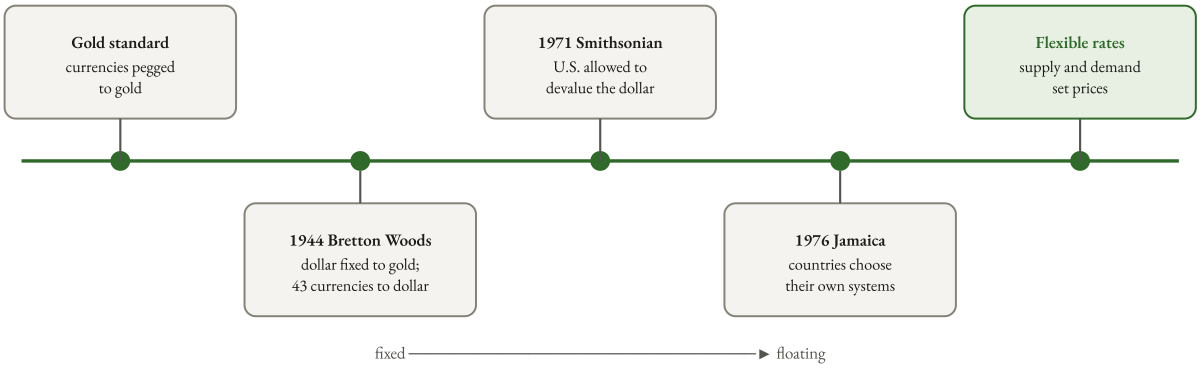


FIGURE 9.1 The development of international monetary systems in order, from currencies pegged to the value of gold to a flexible rate system in which supply and demand set currency prices.

Foreign exchange market terms

TERM	DEFINITION
Bid-ask spread	The difference between the bid and ask prices of a currency; the transaction fee earned by the bank
Direct quote	The price of a foreign currency in dollars (the number of dollars per one unit of foreign currency)
Indirect quote	The reciprocal of the direct quote: the price of a dollar (for example) in foreign currency terms
Forward rate	The price, set at an earlier time, of a currency in terms of another currency for future delivery in the forward market
Discount	The selling of a currency at a spot rate that is less than the forward rate
Premium	The selling of a currency at a spot rate that is more than the forward rate
Hedge	Insurance that reduces future risk

The development of international monetary systems

1 Gold standard
A monetary system that pegs currency values to the market value of gold.

2 Bretton Woods Agreement (1944)
A global currency system with the U.S. dollar

3 Smithsonian Agreement (1971)
Allowed the United States to devalue the

4 Jamaica Agreement (1976)
An international monetary order that

	pegged at a fixed rate to gold and the currencies of 43 other countries fixed to the dollar; it established the IMF to help ensure the stability of the international monetary and financial system.	dollar against other countries' currencies.	allowed countries to adopt different exchange rate systems, including floating their currencies in world markets.

5 Flexible rate system
Market forces of supply and demand determine the prices of currencies.

Forces that affect currency values under flexible rates

- **Current account imbalance**
- **Economic structure and growth**
- **Inflation and interest rates**
- **Other factors**, such as expectations

Other monetary terms

TERM	DEFINITION
Special drawing right (SDR)	A basket of currencies (dollars, euros, pounds and yen) created by the IMF as a benchmark to value the currencies of different countries
Clean float	A monetary system with minimal government intervention; largely market-determined
Dirty float	A monetary system with varying degrees of government intervention to keep a currency within a range of acceptable values against other currencies
Dollarization	Using the dollar or another foreign currency together with, or instead of, a domestic currency
Hard currencies	Leading world currencies of developed industrialized countries, including the dollar, euro, yen and pound
Soft currencies	Emerging-market currencies that are less stable in value than hard currencies and are sometimes pegged to hard currency values

Exam tip: The session's discussion activity is the kind of question the lecturer asks of this topic: China's renminbi is denominated in yuan, was pegged to the dollar until 2005, and now floats within a narrow margin around a base rate tied to a basket of currencies. Students are asked how a freely floating yuan would affect the dollar-to-yuan exchange rate, taking into account that the United States imports large quantities of Chinese exports.

Link to next topic → Once rates float, the question becomes what drives them. The parity theories, which follow, explain exchange rates through prices and interest rates.

CHECK YOURSELF

Answer from memory, then check below.

1. **The 1944 agreement that pegged the U.S. dollar to gold and 43 other currencies to the dollar was:**
   - A. The Jamaica Agreement
   - B. The Smithsonian Agreement
   - C. The Bretton Woods Agreement
   - D. GATT

2. **A monetary system with varying degrees of government intervention to keep a currency in an acceptable range is a:**
   - A. Clean float
   - B. Gold standard
   - C. Dollarization
   - D. Dirty float

3. RECALL **Bretton Woods Agreement (1944)**

Answers 1. C **2.** D **3.** A global currency system with the U.S. dollar pegged to gold at a fixed rate and the currencies of 43 other countries fixed to the dollar; it set up the IMF.

CHAPTER 10 · SESSION 3 · CILO 1

Explaining and forecasting exchange rates: the parity theories

PROBLEM
Floating exchange rates change over time, and firms need a way to judge whether a currency is over- or undervalued and where it is heading.

→

BIG IDEA
Arbitrage links currencies to what they can buy: identical goods should cost the same everywhere, which is purchasing power parity (PPP), and bonds should earn the same return everywhere, which is interest rate parity (IRP).

→

HOW (TOOLS)
The law of one price, the Big Mac Index, the PPP and IRP equations, and two forecasting methods: the forward rate and a multiple regression model.

→

RESULT
Theories that work over the long run but only loosely in the short run, because transport costs, intervention, risk and market psychology get in the way.

IN PLAIN WORDS

The parity theories start from a simple idea. The **law of one price** says that identical goods should sell for the same price in different countries once the price is converted into one currency. If they do not, traders can practice **arbitrage**, buying in the cheaper market and selling in the dearer one, and that buying and selling pushes the prices back together. Applied to a whole basket of goods, the idea becomes **purchasing power parity (PPP)**: a basket of goods should cost approximately the same across countries. The Big Mac Index is the popular version, using the price of a Big Mac sandwich in each country to judge the relative values of currencies.

PPP can be written as an equation that links prices, inflation and the change in the exchange rate between the United States and Europe. It says that if prices rise faster in one place, its currency must adjust to keep the basket equally priced. The evidence is mixed. PPP appears to hold over periods longer than five years but may not hold in shorter ones, and it does not reliably explain exchange rate changes between countries with similar inflation. Transport costs, trade barriers, government intervention, multinationals with pricing power, market expectations and non-traded goods all get in the way, which is why the slide asks what could make the Big Mac Index give inaccurate estimates of PPP.

Interest rate parity (IRP) applies the same logic to bonds. Investors who buy and sell bonds to earn arbitrage profits should drive bond returns in different countries to the same level. Covered interest rate parity uses the forward exchange rate; uncovered interest rate parity uses the expected exchange rate. The IRP equation says that a dollar invested in a U.S. bond should earn the same as a dollar converted into euros, invested in a European bond and converted back. Again the evidence

is mixed, because transaction costs, political risk, legal restrictions, taxes, managed floats, herd behavior and central bank intervention can stop traders from arbitraging the gap away.

These relationships give two ways to forecast exchange rates. The first uses covered IRP: the forward rate is the spot rate adjusted by the forward premium. The second is a multiple regression model that explains the change in the exchange rate by the differences between two countries' inflation rates, interest rates and gross domestic product (GDP) growth rates.

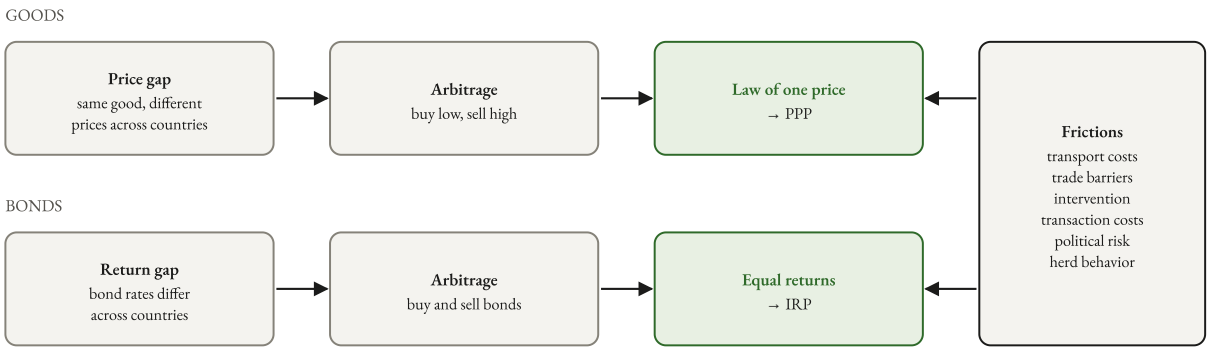


FIGURE 10.1 The same arbitrage logic drives both parity theories. Price gaps in goods lead toward purchasing power parity (PPP); return gaps in bonds lead toward interest rate parity (IRP). The obstacles on the right are the reasons the session gives for why the evidence on both theories is mixed.

The law of one price and PPP

- **Law of one price**: identical goods should sell for the same price in different countries according to local currencies.
- **Arbitrage**: buying goods in a lower-priced market and selling them in a higher-priced market to make profits.
- **Purchasing power parity (PPP)**: the theory that a basket of goods should have approximately the same prices across different countries.
- **Big Mac Index**: a calculation using the cost of a Big Mac sandwich to assess the relative values of currencies.

The PPP equation

$PUS(1 + IUS) = (1 + p)PE(1 + IE)$
PUS = price index of U.S. goods in dollars
PE = price index of European goods in dollars
IUS = U.S. inflation rate (dollar terms)
IE = European inflation rate (euro terms)
p = % change in the euro = forward premium

```
p = [(F − S)/S] × 100
F = forward dollar/euro rate; S = spot rate
```

Empirical tests of PPP

- **Long run**: PPP appears to hold for periods exceeding five years, but may not hold in shorter periods.
- **Similar inflation**: for countries with little difference in inflation rates, PPP does not reliably explain exchange rate changes.

What affects PPP predictions

1. **Transportation costs and trade barriers**
2. **Government intervention** in trade and exchange rates
3. **Multinational firms with pricing power**
4. **Market expectations** about economic factors
5. **Goods not traded** but that affect internal prices

Interest rate parity (IRP)

- **Interest rate parity (IRP)**: the theory that bond interest rates in different countries will become the same as investors buy and sell bonds to make arbitrage profits.
- **Covered interest rate parity**: forward exchange rates and spot exchange rates set interest rates on bonds in different countries equal to one another.
- **Uncovered interest rate parity**: expected forward exchange rates and spot exchange rates set interest rates on bonds in different countries equal to one another.

The IRP equation

```
(1 + iUS) = (F/S)(1 + iE)
iUS = interest rate on U.S. bond
iE = interest rate on European bond
F = forward dollar-to-euro rate
S = spot dollar-to-euro rate
If S is fairly stable over time:
(iUS − iE) = (F − S)/S = p
```

The equation says that a dollar invested in a U.S. bond earns the same dollar return as a dollar converted to euros, invested in European bonds, with the euro returns later repatriated to dollars.

Why IRP evidence is mixed

1. **Transaction costs** are one impediment to achieving IRP.
2. **Political risk, legal restrictions, tax effects and managed-float regimes** can disrupt traders' ability to arbitrage away profit differentials.
3. **Market psychology** (herd behavior) can move rates as traders speculate in currencies.
4. **Central bank intervention** may cause IRP not to hold at all points in time.

Forecasting exchange rates

Forward rate method (covered IRP):
F = S(1 + p)
F = forward rate, S = spot rate, p = forward premium

Multiple regression model:
ΔX = b0 + b1(IUS − IE) + b2(iUS − iE) + b3(YUS − YE)
(IUS − IE) = difference in inflation rates
(iUS − iE) = difference in interest rates
(YUS − YE) = difference in GDP growth rates

Link to next topic → Sessions 1–3 described the world economy in which firms operate. Session 4 turns to the environment inside each foreign market, beginning with culture.

CHECK YOURSELF

Answer from memory, then check below.

1. **The theory that a basket of goods should cost approximately the same across countries is:**
   - A. Comparative advantage
   - B. Interest rate parity
   - C. Purchasing power parity
   - D. Factor price equalization

2. **According to empirical tests on the slides, PPP appears to hold:**
   - A. Only for countries with identical inflation
   - B. Never
   - C. Only in periods shorter than one year
   - D. In the long run, for periods exceeding five years

3. RECALL Interest rate parity (IRP)

Answers 1. C **2.** D **3.** The theory that bond interest rates in different countries become the same as investors buy and sell bonds for arbitrage profits.

PART D

WEEK 4 · THE CULTURAL ENVIRONMENT

CHAPTER 11 · SESSION 4 · CILO 2

What culture is: the eight elements of culture

PROBLEM
A company that succeeds at home can fail abroad because it misreads the way of life of the people it sells to and employs.

→

BIG IDEA
Culture is learned behavior, and the degree to which a company adapts to it is often the difference between success and failure in international markets.

→

HOW (TOOLS)
The eight elements of culture: language, religion, values and attitudes, manners and customs, material elements, aesthetics, education, and social institutions.

→

RESULT
A checklist a global firm can use to judge which aspects of culture matter most in each market and to adjust its operations to them.

IN PLAIN WORDS

Session 4 opens by asking how cultural understanding plays a role in global business success. The textbook's answer starts with a definition: **culture** is learned behavior, a way of life for one group of people living in a single, related and independent community. Because it is learned, it differs from place to place, and a firm cannot assume that what works at home will work abroad. A global firm must work out how important each aspect of culture is in the markets it serves and recognize it when doing business there, and its operations must adjust to the cultural environment of each country. The degree of that adaptation is often the difference between success and failure.

To make culture manageable, the textbook breaks it into eight elements. **Language** comes first, and it has two layers: verbal communication, what the message actually says, and nonverbal communication, the tone, gestures, eye contact and body language that go with it. Because translation errors are easy to make, firms use **backward translation**, translating a message into the foreign language and then back into English to check it. **Religion** affects business operations, how products are made and marketed, which holidays are observed, and working days and hours. **Values** are the basic beliefs that run through a society and **attitudes** are feelings or opinions. **Manners and customs** are the usual way a society does things.

The remaining elements are more structural. **Material elements** are the direct result of technology, seen in a society's economic, social, financial and marketing infrastructure. **Aesthetics**, mainly color, form and music, are what a society perceives as taste and beauty. **Education** matters because a population's level of education is a major factor in economic growth, and host-country staff must be able to work or be trained for a range of jobs; countries also stress different specialties. Finally, **social institutions** describe how people relate to one another in groups, through reference groups and social stratification.

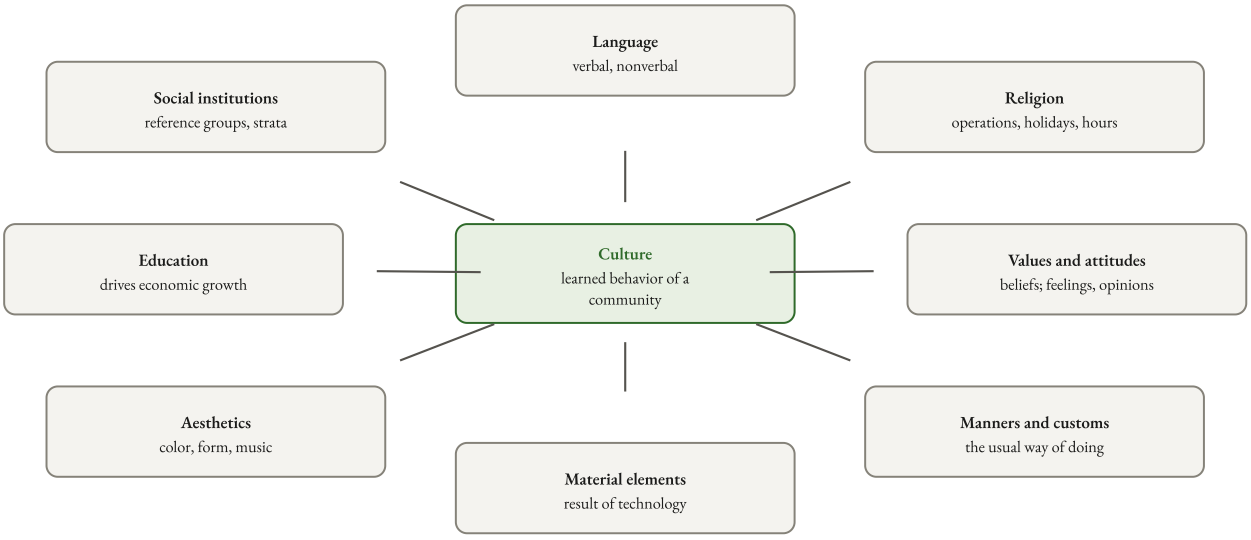


FIGURE 11.1 The eight elements of culture the session names. A global firm has to judge how much each element matters in each market it serves and adjust to it.

Culture and its influence on business

- **Culture**: learned behavior; a way of life for one group of people living in a single, related and independent community.
- **The firm's task**: ascertain the level of importance of various aspects of culture in each foreign market and recognize them when doing business overseas.
- **Adjustment**: companies' operations need to recognize and adjust to the cultural environment in the countries they serve.
- **The stakes**: the degree to which a company adapts to a culture is often the difference between success and failure in international markets.

The eight elements of culture

ELEMENT	WHAT THE TEXTBOOK SAYS
1. Language	Verbal communication: a message's actual contents (what the message says). Nonverbal communication: tone of voice, gestures, eye contact, body positions, facial grimaces and other body language. Backward translation: translating a message from English into a foreign language, then back into English to check accuracy
2. Religion	Affects business operations; manufacturing and marketing of products; observance of holidays; working days and working hours
3. Values and attitudes	Values: basic beliefs or philosophies that are pervasive in a society. Attitudes: feelings or opinions
4. Manners and customs	The usual way a society does things

5. Material elements	A direct result of technology; best shown by a society's economic, social, financial and marketing infrastructures
6. Aesthetics	Color, form and music: what a society perceives as taste and beauty
7. Education	A major factor in explaining economic growth; host-country personnel must be able to work or be trained for a variety of jobs
8. Social institutions	The way people in a society relate to one another within group settings, through reference groups and social stratification

Education: national specialties

- **South Korea and Japan**: stress education in sciences and engineering.
- **Russia**: strong in mathematics and computer programming.
- **India**: emphasizes engineering and software development.
- **Tiered systems**: some countries have a tiered system of higher education with prestigious colleges and universities.

Social institutions

- **Reference groups**: groups that are important to individuals.
- **Social stratification**: the extent to which groups at the top of the social pyramid exert control over others at lower levels.

Link to next topic → The eight elements describe one culture at a time. To compare cultures across countries, the session turns to the cultural dimensions of Hofstede, Trompenaars and the GLOBE project.

CHECK YOURSELF

Answer from memory, then check below.

1. **Translating a message into a foreign language and then back into English to check accuracy is:**
   - A. Aesthetics
   - B. Nonverbal communication
   - C. Backward translation
   - D. Social stratification
2. **Color, form and music are the major components of which element of culture?**
   - A. Manners and customs
   - B. Social institutions
   - C. Material elements
   - D. Aesthetics

3. RECALL The eight elements of culture

Answers 1. C **2.** D **3.** Language; religion; values and attitudes; manners and customs; material elements; aesthetics; education; social institutions.

CHAPTER 12 · SESSION 4 · CILO 2

Comparing cultures: Hofstede, Trompenaars and the GLOBE project

PROBLEM
A firm operating in many countries cannot study each culture from scratch; it needs a way to place countries side by side.

→

BIG IDEA
Researchers have clustered countries and regions by culture, measuring each on a small set of dimensions.

→

HOW (TOOLS)
Hofstede's five dimensions, Trompenaars's four, the GLOBE project's nine constructs and its scores for six regional clusters, Gannon's cultural metaphors, and published sources of country information.

→

RESULT
A common vocabulary and real scores for comparing markets, plus a list of where to look up a specific country.

IN PLAIN WORDS

The textbook groups this work under the heading "clustering countries and regions by culture". The best-known framework comes from Hofstede's research, which compares countries on five dimensions: individualism versus collectivism, power distance, masculine versus feminine, uncertainty avoidance and time orientation. Trompenaars offers a second set of four: universalism versus particularism, neutral versus emotional, specific versus diffuse, and achievement versus ascription. The session lists two further approaches beside these, the GLOBE project and Gannon's cultural metaphors.

The GLOBE project is the one the session shows in detail. It defines nine culture constructs and measures each with questionnaire items such as "followers are (should be) expected to obey their leaders without question" for power distance (Exhibit 5.2). Exhibit 5.3 then reports scores on a six-point scale for six regional clusters. The numbers make differences concrete: Southern Asia scores 5.39 on power distance against Eastern Europe's 4.08; Germanic Europe scores 5.12 on uncertainty avoidance against Eastern Europe's 3.57; and family collectivism runs from 4.21 in Germanic Europe to 5.87 in Southern Asia.

Frameworks give the broad picture, but a firm entering a particular country also needs specific information. The session lists five published sources, from the U.S. Department of Commerce's Country Commercial Guides to PricewaterhouseCoopers's *Doing Business* guides, each covering a stated number of countries.

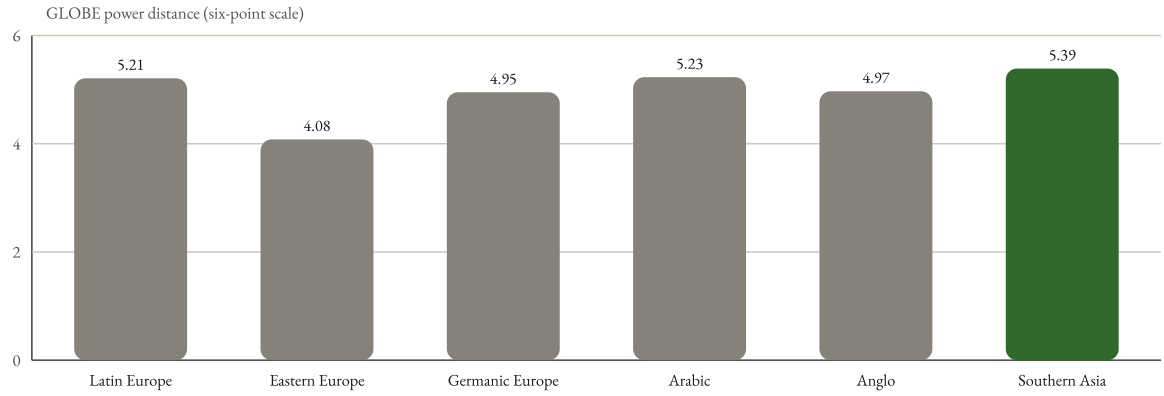


FIGURE 12.1 One construct from Exhibit 5.3, power distance, across the six regional clusters (scores on a six-point scale). Southern Asia scores highest and Eastern Europe lowest; the full table appears in the chapter.

The cultural frameworks

Hofstede's research

1. **Individualism vs. collectivism**
2. **Power distance**
3. **Masculine vs. feminine**
4. **Uncertainty avoidance**
5. **Time orientation**

Trompenaars's cultural dimensions

1. **Universalism vs. particularism**
2. **Neutral vs. emotional**
3. **Specific vs. diffuse**
4. **Achievement vs. ascription**

Listed with them: the GLOBE Project and Gannon's Cultural Metaphors.

The GLOBE constructs and questionnaire items (Exhibit 5.2)

CONSTRUCT	DEFINITION	QUESTIONNAIRE ITEM
Power distance	The degree to which members of a collective expect power to be distributed equally	Followers are (should be) expected to obey their leaders without question
Uncertainty avoidance	The extent to which a society, organization or group relies on social norms, rules and procedures to alleviate the unpredictability of future events	Most people lead (should lead) highly structured lives with few unexpected events
Humane orientation	The degree to which a collective encourages and rewards individuals for being fair, altruistic, generous, caring and kind to others	People are generally (should be generally) very tolerant of mistakes
Collectivism I	The degree to which organizational and societal institutional practices encourage and reward collective distribution of resources and collective action	Leaders encourage (should encourage) group loyalty, even if individual goals suffer

Collectivism II	The degree to which individuals express pride, loyalty and cohesiveness in their organizations or families	Employees feel (should feel) great loyalty toward this organization
Assertiveness	The degree to which individuals are assertive, confrontational and aggressive in their relationships with others	People are (should be) generally dominant in their relationships with each other
Gender egalitarianism	The degree to which a collective minimizes gender inequality	Boys are encouraged (should be encouraged) more than girls to attain a higher education
Future orientation	The extent to which individuals engage in future-oriented behaviors such as delaying gratification, planning and investing in the future	More people live (should live) for the present rather than for the future
Performance orientation	The degree to which a collective encourages and rewards group members for performance improvement and excellence	Students are encouraged (should be encouraged) to strive for continuously improved performance

GLOBE results for six regional clusters (Exhibit 5.3, six-point scale)

Uncertainty avoidance to family collectivism

CLUSTER	UNCERTAINTY AVOIDANCE	FUTURE ORIENTATION	POWER DISTANCE	INSTITUTIONAL COLLECTIVISM	FAMILY COLLECTIVISM
Latin Europe	4.18	3.68	5.21	4.01	4.80
Eastern Europe	3.57	3.37	4.08	3.84	5.53
Germanic Europe	5.12	4.40	4.95	4.03	4.21
Arabic	3.91	3.58	5.23	4.28	5.58
Anglo	4.42	4.08	4.97	4.46	4.30
Southern Asia	4.10	3.99	5.39	4.35	5.87

Humane orientation to assertiveness

CLUSTER	HUMANE ORIENTATION	PERFORMANCE ORIENTATION	GENDER EGALITARIANISM	ASSERTIVENESS

Latin Europe	4.09	4.10	3.37	4.14
Eastern Europe	3.84	3.71	3.84	3.51
Germanic Europe	3.55	4.41	3.14	4.55
Arabic	4.36	3.90	2.95	4.14
Anglo	4.20	4.37	3.40	4.14
Southern Asia	4.72	4.33	3.28	3.86

The clusters, as the exhibit defines them: Latin Europe (Spain, Portugal, Italy, French Switzerland, France and Israel); Eastern Europe (Albania, Georgia, Greece, Hungary, Kazakhstan, Poland, Russia and Slovenia); Germanic Europe (Austria, Germany, the Netherlands and German Switzerland); Arabic (Egypt, Morocco, Turkey, Kuwait and Qatar); Anglo (Australia, Canada, England, Ireland, New Zealand, South Africa and the United States); Southern Asia (India, Indonesia, Iran, Malaysia, the Philippines and Thailand). Source: special issue on GLOBE, *Journal of World Business* 37 (2002).

Sources of cultural information

SOURCE	COVERAGE
U.S. Department of Commerce, Country Commercial Guide	133 countries
The Economist Intelligence Unit, Country Reports	180 countries
Culture Grams (Brigham Young University's Center for International and Area Studies)	174 countries
Craigshead's *International Business, Travel, and Relocation Guide to 84 Countries*	84 countries
PricewaterhouseCoopers, *Doing Business in 118 Countries*	118 countries

Link to next topic → Dimensions and scores describe whole regions. The session then gets practical, with country-by-country notes on how business is actually conducted.

CHECK YOURSELF

Answer from memory, then check below.

1. **In Exhibit 5.3, which cluster has the highest GLOBE power distance score?**
   - A. Eastern Europe
   - B. Anglo
   - C. Germanic Europe
   - D. Southern Asia

2. **The GLOBE construct defined as the degree to which a collective minimizes gender inequality is:**
   - A. Gender egalitarianism
   - B. Collectivism II
   - C. Assertiveness
   - D. Humane orientation

3. RECALL **The nine GLOBE constructs**

Answers 1. D **2.** A **3.** Power distance; uncertainty avoidance; humane orientation; collectivism I; collectivism II; assertiveness; gender egalitarianism; future orientation; performance orientation.

CHAPTER 13 · SESSION 4 · CILO 2

Culture in practice: doing business around the world

PROBLEM
General frameworks do not tell a manager how to greet a host, open a negotiation or build trust in a particular country.

→

BIG IDEA
Each market has its own rules for relationships, rank, time and etiquette, and culture also shapes how a firm should manage, market and communicate there.

→

HOW (TOOLS)
Country notes for Japan, Korea, China, Arab countries, Latin America, India, Russia and South Africa; five ways culture affects management and marketing; and examples of U.S. business jargon that foreigners would not understand (Exhibit 5.4).

→

RESULT
Concrete guidance for meeting and negotiating in eight markets, and the reasons a firm must tailor its management style, products, advertising and language.

IN PLAIN WORDS

The country notes share a common thread: in most of these markets, business follows the relationship rather than the other way round. In Korea a personal relationship must come before business matters can be discussed with foreigners. Latin American customers want to develop a personal relationship before doing business. In Russia and South Africa a third-party introduction is better than introducing yourself, and in Japan new business partners should be referred through a third party. In China the relationship takes a particular form, *guanxi*, a friendship among unequals built on an unlimited exchange of favors. Because those favors can make even a low-ranking person influential, a foreigner may need to win the favor of lower-level people to reach the decision makers above them.

Rank and respect form a second thread. Japanese hosts need to know a visitor's title and rank, expect visitors to arrive prepared and with decision-making authority, and treat business card etiquette as important. Korean culture respects elders, and its ideas of *yangban* (the noble class's culture of honor, reputation and dignity) and *inwa* (harmony among unequals) shape relationships between superiors and subordinates. In India formality and civility are expected even in casual meetings, and diplomacy is valued over bluntness. A third thread is etiquette and time: Arab hosts notice posture, the use of the left hand and the soles of one's shoes, while Latin Americans are more flexible about time than North Americans, and in Russia the foreigner must be punctual although the host may be late.

Culture matters beyond the meeting room. A country's culture affects its attitudes toward work, so management styles can create challenges or lead to success. New products must take management styles and other aspects of marketing into account, advertising campaigns must be carefully tailored to local cultures, and communication styles differ. Exhibit 5.4 makes the last point with a list of U.S. business expressions, such as "flying by the seat of my pants" or "reinvent the wheel", that foreign business representatives would not understand.

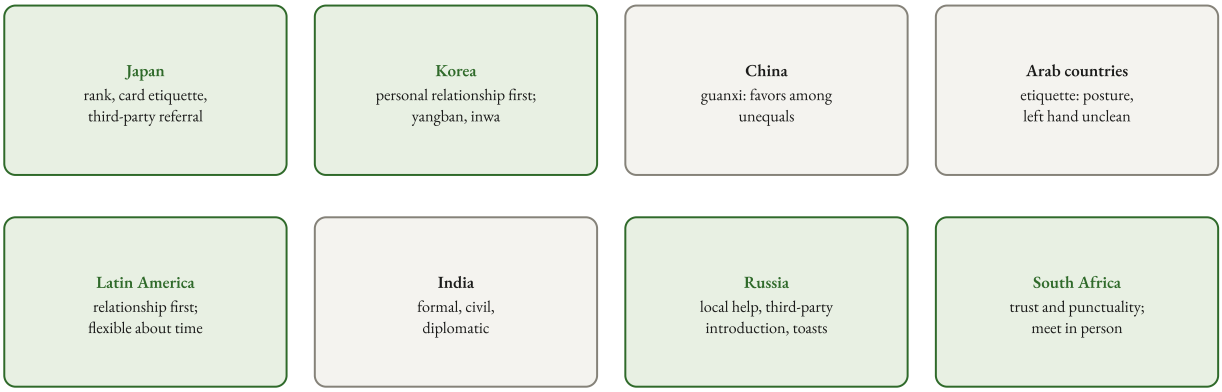


FIGURE 13.1 One relationship rule per market, as the session's country notes give them. Five of the eight stress building a relationship or using a third party before business begins.

Country notes

Japan

- **Greeting**: a slight bow and handshake are appropriate; business card etiquette is important.
- **Eye contact**: it is not appropriate to look directly into the eyes of your Japanese hosts.
- **Rank**: it is important for your hosts to know your title and rank.
- **Group orientation**: Japanese business is group-oriented rather than individualistic.
- **Preparation**: executives expect foreign representatives to arrive prepared and to have decision-making authority.
- **Referral**: new potential partners should be referred to Japanese business representatives through a third party.

Korea

- **Elders**: respected for their knowledge and wisdom.
- ***Yangban***: the noble class's culture of honor, reputation and dignity (similar to gravitas in Western cultures).

- ***Inwa***: harmony among unequals; loyalty is owed to parents and authority figures, yet superiors are responsible for the well-being of their subordinates.
- **Relationship first**: a personal relationship needs to occur before business matters can be discussed with foreigners.

China

- ***Guanxi***: a philosophy denoting friendships among unequals (as between subordinates and superiors) and the unlimited exchange of favors; it is utilitarian, not based on sentiment, emotion or group orientation.
- **Uneven exchanges**: often an advantage for the weaker member of the relationship.
- **Hidden influence**: persons of low rank may be powerful through guanxi relationships with superiors.
- **Access**: foreigners may need to seek out lower-level persons and obtain their favor to reach more powerful decision makers.

Arab countries

- **Posture**: avoid sitting so that the sole of one's shoe is shown; good posture is imperative.
- **Hands**: the left hand is viewed as "unclean".
- **Topics**: do not inquire about the wives of Arab business representatives; do not overly praise your hosts' possessions, as this may suggest you expect them as gifts.
- **Women**: Arab business representatives will probably be reluctant to do business with women; if a woman is accepted, modest dress is appropriate.
- **Conversation**: discussions may frequently divert from the topic, then return to it.

Latin America

- **Relationship first**: potential customers want to develop a personal relationship before doing business.
- **Time**: more flexible about time than North Americans.
- **Work**: not as immersed in work as U.S. businesspeople; the motto is "We work to live", not "We live to work".

India

- **Formality**: formal business traditions, such as wearing a suit and using formal greetings.
- **Civility**: a high standard of civility even in casual meetings.
- **Diplomacy**: valued; being blunt or direct is seen as foolhardy and uncivilized, so be tactful, especially when disagreeing.
- **Personal information**: sharing it is acceptable and helps build a more robust relationship.

Russia

- **Local help**: business is easier with a local businessperson's assistance; a gift to that person helps the relationship.
- **Time**: the foreigner is expected to be on time, but the Russian businessperson may be late and test your patience.
- **Introductions**: a third-party introduction is better than introducing yourself.
- **Toasts**: refusing a drink or a toast is impolite.

South Africa

- **Trust and punctuality**: important aspects of conducting business; trust between associates is vital to closing deals.
- **Introductions**: a trusted third-party introduction or letter of recommendation is beneficial.
- **Meeting**: take every opportunity to meet in person to build trust.
- **Home visits**: if invited into someone's home during negotiations, bring a gift such as flowers.

Why culture matters for managing and marketing overseas

1. **Attitudes toward work**: a country's culture affects its attitudes toward work.
2. **Management styles**: can give rise to challenges or lead to success.
3. **New products**: management styles must be considered along with many other aspects of marketing.
4. **Advertising**: campaigns must be carefully tailored to local cultures.
5. **Communication**: culture has an impact on communication styles.

U.S. business jargon foreigners would not understand (Exhibit 5.4)

"Flying by the seat of my pants"; "On the same wave length"; "Shotgun approach"; "Run it up the flag pole"; "100 k"; "Belly up"; "Overview"; "If it ain't broke, don't fix it"; "Let's throw it on the wall

and see if it sticks"; "Let's see how it plays out"; "It ain't over until the fat lady sings"; "Reinvent the wheel".

Link to next topic → The Session 4 icebreaker asks what other parts of the external environment a business must contend with besides culture. Session 5 answers with the political and legal environment.

CHECK YOURSELF

Answer from memory, then check below.

1. Guanxi, in China, refers to:

A. Harmony among unequals

B. Friendships among unequals and the unlimited exchange of favors

C. The noble class's culture of honor

D. A ban on business with foreigners

2. According to the country notes, what is impolite in Russia?

A. Being introduced by a third party

B. Arriving on time

C. Refusing a drink or a toast

D. Using a local businessperson

3. RECALL **Five ways culture matters for managing and marketing overseas**

Answers 1. B **2.** C **3.** Attitudes toward work; management styles; new product development; advertising tailored to local cultures; communication styles.

PART E

WEEK 5 · LEGAL AND POLITICAL ENVIRONMENT OF BUSINESS

CHAPTER 14 · SESSION 5 · CILO 2

Politics and risk: political systems, ideologies, risk and corruption

PROBLEM
A firm abroad operates under another country's government and economic system, and problems in either can damage its business.

→

BIG IDEA
Political systems and economic ideologies shape the economic risks, political risks and corruption a firm faces, and those risks can be reduced through careful planning and insurance.

→

HOW (TOOLS)
Types of democracy and totalitarian government; communism, socialism and capitalism; economic risks; micropolitical and macropolitical risk; terrorism and political risk insurance; private and public corruption.

→

RESULT
A way to read a country's political setting as a set of business risks, and to name the tools for managing them.

IN PLAIN WORDS

Session 5 opens with two questions: how do different legal and political systems affect global business, and what legal and political risks come with doing business globally? The answer begins with the political system. In a **democracy**, Greek for "rule by the people", all citizens have the right to vote. In its pure Athenian form all adult citizens vote directly on community matters; in a representative democracy citizens elect representatives for a set period. A **totalitarian government**, such as a military dictatorship, governs without the support or consent of the citizenry.

Alongside the political system sits the economic ideology, which decides how much room private business has. Under **capitalism**, businesses are privately owned, strong individual incentives exist and the government plays very little role in the economy. Under **socialism**, the government plays a strong role in the economy and may own stakes in certain businesses. Under **communism**, the government or state owns and controls all major factors of production, and the society is philosophically an economically classless one. The further a country sits from capitalism, the more the state shapes what a foreign firm can do.

These settings produce risk. **Economic risks** are the risk that economic problems or mismanagement in a country will seriously harm business there: limits on transferring or exchanging the currency, devaluation, doubts about loan repayment, labor problems, inflation and corruption. They are not independent of **political risks**, which come in two sizes: micropolitical risk affects only a certain industry or set of firms, while macropolitical risk affects essentially all businesses in a country. Exhibit 6.1 lists the most dangerous countries in the world in 2021, led by

Afghanistan, Syria and Iraq. Firms can mitigate these risks through careful planning, and governments offer insurance: in the United States, the Terrorism Risk Insurance Act of 2002 and the political risk insurance sold by the U.S. International Development Finance Corporation (DFC).

Corruption is the last risk in the session's list: businesses illegally altering private or public decision making through bribes, kickbacks, blackmail, extortion and related activities. Private corruption involves other businesses, individuals or groups; public corruption involves illegal payments or pressure on government officials to win contracts or approvals.

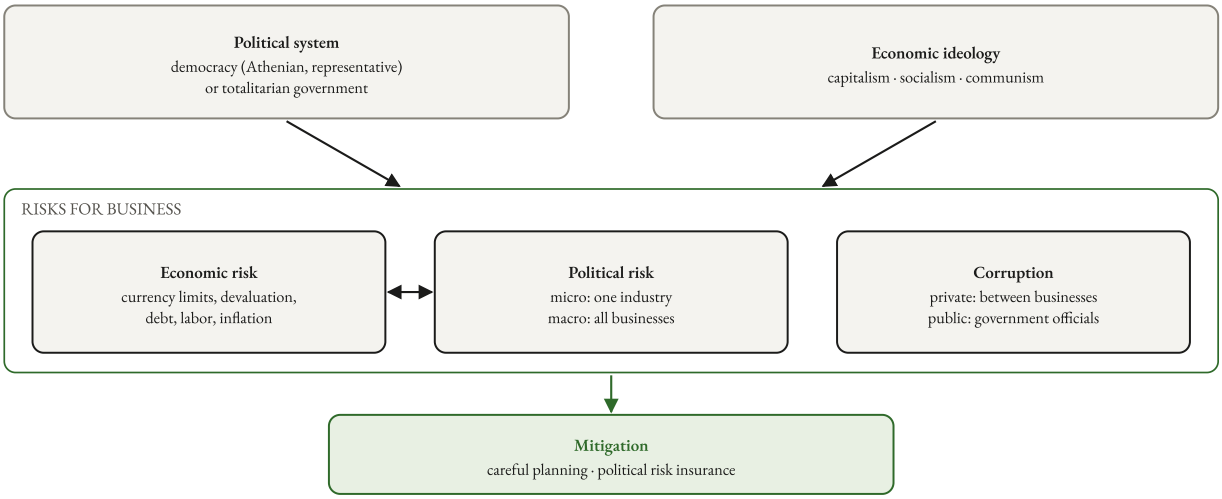


FIGURE 14.1 How the session links the political setting to business risk. Economic and political risks are not independent of each other, and careful planning and insurance (such as the U.S. Terrorism Risk Insurance Act or DFC coverage) are the tools named for reducing them.

Political systems

SYSTEM	DEFINITION
Democracy	Greek for "rule by the people"; a form of government in which all citizens have the right to vote
Athenian democracy	A pure form of democracy in which all adult citizens vote directly on matters affecting the community
Representative democracy	Citizens vote to elect individuals to serve as their representatives for a certain period of time
Totalitarian government	Individuals govern without the support or consent of the citizenry; for example, a military dictatorship

National economic ideologies

IDEOLOGY	DEFINITION

Communism	The government or state owns and controls all major factors of production, and the society is philosophically an economically classless one
Socialism	The government plays a strong role in the economy and may own stakes in certain businesses
Capitalism	Businesses are privately owned, strong individual incentives exist, and the government plays very little role in the economy

Economic risks

Risks that economic problems or mismanagement in a given country will have a meaningful negative impact on the conduct of business there. They include:

1. **Currency**: restrictions on the transfer or exchange of a country's currency, or devaluation of the currency.
2. **Debt**: questionable ability to repay loans.
3. **Labor**: human resource and labor relations problems.
4. **Inflation and corruption**.

Companies can mitigate risks through careful planning, and economic risks are not independent of political risks.

Political risks

- **Micropolitical risk**: affects only a certain industry or set of firms.
- **Macropolitical risk**: affects essentially all businesses in a given country.
- **Terrorism Risk Insurance Act of 2002**: a U.S. law that, after a certain deductible, gives U.S. businesses government insurance coverage for the risk of terrorism.
- **U.S. International Development Finance Corporation (DFC)**: a U.S. government agency that sells political risk insurance to U.S. businesses operating in countries with which the United States has a bilateral investment treaty.

Most dangerous countries in the world, 2021 (Exhibit 6.1)

Afghanistan; Syria; Iraq; South Sudan; Yemen; Somalia; Libya; Democratic Republic of the Congo; Central African Republic; Russia (source: worldpopulationreview.com, June 2021).

Corruption

- **Corruption**: a situation where businesses are able to illegally alter relevant private and/or public decision making by way of bribes, kickbacks, blackmail, extortion and related activities.

- **Private corruption**: business corruption involving other private businesses, individuals or groups.
- **Public corruption**: making illegal payments to government officials, or engaging in blackmail, extortion or related activities, to obtain government contracts or governmental approval for business activities.

Link to next topic → Political systems decide who makes the rules; the legal environment, next, is the rules themselves.

CHECK YOURSELF

Answer from memory, then check below.

1. **Under which ideology does the state own and control all major factors of production in a philosophically classless society?**
   - A. Capitalism
   - B. Communism
   - C. Representative democracy
   - D. Socialism
2. **Making illegal payments to government officials to obtain government contracts is:**
   - A. Collusion
   - B. Arbitration
   - C. Private corruption
   - D. Public corruption
3. RECALL **Democracy and its two forms**

Answers 1. B **2.** D **3.** 'Rule by the people', all citizens vote. Athenian: all adults vote directly. Representative: citizens elect representatives for a set period.

CHAPTER 15 · SESSION 5 · CILO 2

The rules of the game: legal systems, areas of law and intellectual property

PROBLEM
What counts as a crime, a valid contract, a fair price or a safe product differs from country to country, and a firm abroad is bound by the local rules.

→

BIG IDEA
Each country's legal system and areas of law set the terms of doing business there, and intellectual property protections give creators a limited, legally granted monopoly.

→

HOW (TOOLS)
Civil, common and theocratic law; criminal, contract, tax, antitrust, product safety and dispute settlement law; patents, trademarks and copyrights.

→

RESULT
A map of the legal questions a global firm must answer in each country, from tax location decisions to how its disputes and its inventions will be handled.

IN PLAIN WORDS

Countries build their laws in three ways. **Civil law** is based on a comprehensive listing of legal rules in sets of written codes. Under **common law**, legislative bodies enact less specific rules and give judges and courts considerable authority to interpret them based on precedent and other factors. **Theocratic law** is based on a religious document and religious teachings. Within any system, a global business meets several areas of law, and the session walks through six.

Criminal law decides which violations are crimes punishable by possible imprisonment, and what counts as a crime differs between countries and changes over time: alcohol sales were unlawful in the United States during Prohibition in the 1920s and 1930s, and marijuana, once illegal everywhere there, is now legal in about half the states. **Contract law** governs legally enforceable agreements to exchange, and since contracts are meaningless unless they can be enforced, firms must learn the contract law of each country they work in. **Tax law** varies widely and plays a considerable role in where firms locate; some set up in tax havens with little tax transparency to avoid taxes. **Antitrust law** promotes fair competition by banning collusion, and other countries may be far less aggressive about it than the United States. **Product safety law** decides who carries the burden of safety: under *caveat emptor* it is the buyer, under *caveat venditor* the seller. **Dispute settlement law** decides whether a dispute goes to litigation in a public court or to arbitration before neutral private persons.

The session ends with intellectual property, the product of intellectual rather than physical activity. A nation protects it by granting the creator limited monopoly rights, and there are three main protections. A **patent** excludes others from making, using or selling an invention for a period of time; a **trademark** protects the name, symbol or design that identifies a business's product or

service; and a **copyright** gives authors, artists and composers the exclusive right to publish and disseminate their work.

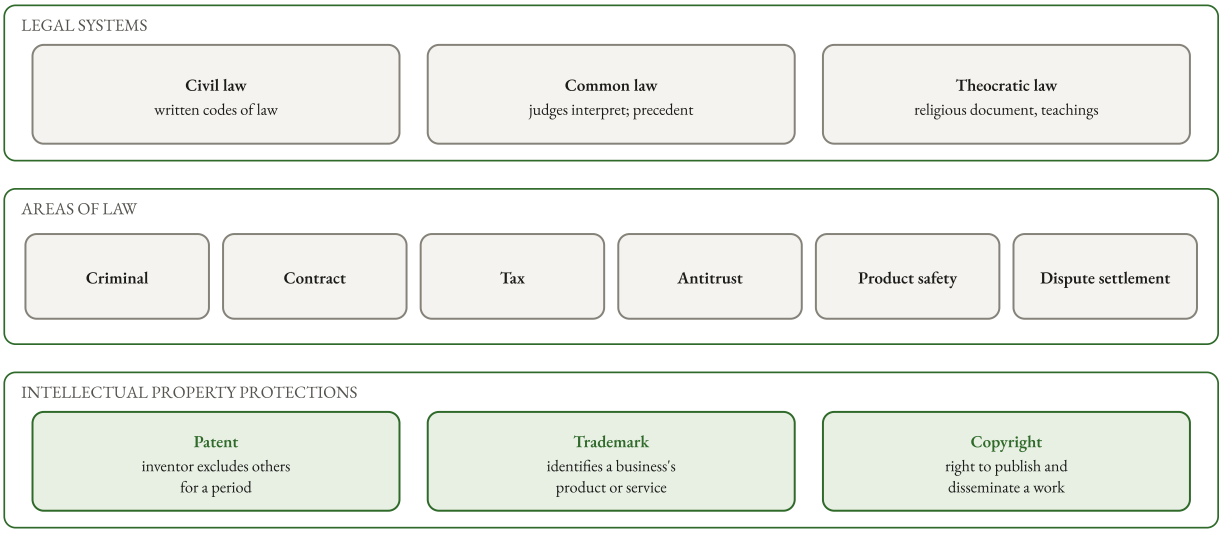


FIGURE 15.1 The legal environment in three layers: the type of legal system, the areas of law that apply to day-to-day business, and the intellectual property (IP) protections that give creators a limited monopoly.

Types of legal systems

SYSTEM	BASIS
Civil law	A comprehensive listing of legal rules in sets of written codes of law
Common law	Legislative bodies enact less specific legal rules, giving judges and courts considerable authority to interpret them based on precedent and other factors
Theocratic law	A religious document and religious teachings

Six areas of law

Criminal law

- **Definition**: establishes which violations of a nation's laws are crimes punishable by possible incarceration.
- **Variation**: what counts as a crime may differ widely between countries and may change considerably over time in one country.
- **Examples**: alcohol sales were unlawful during the U.S. Prohibition Era of the 1920s and 1930s but face no such restriction today; possession and sale of marijuana were historically crimes, but about half of U.S. states have now legalized its sale and use.

Contract law

- **Definition**: the body of law governing legally enforceable agreements between parties to engage in economic exchange.
- **Enforcement**: contracts are essentially meaningless unless they can be successfully enforced.
- **Implication**: companies and individuals in global business need to become familiar with the contract law of the countries where they may operate.

Tax law

- **Definition**: the body of law dealing with governmental levying of taxes on individuals and corporations.
- **Location**: tax rates and regulations vary widely and play a considerable role in location decisions.
- **Tax havens**: countries with little or no tax transparency where some companies establish operations to avoid taxes, such as Mauritius, Belize, the Cayman Islands, Antigua, Barbuda and the Isle of Man.

Antitrust law

- **Purpose**: designed to promote "fair competition" among businesses; also known as "antimonopoly laws".
- **Collusion**: companies acting in a manner that secretly thwarts competition among themselves; antitrust laws typically prohibit it.
- **Monopoly**: a single seller of a product in an industry with very high barriers to entry.
- **Variation**: other countries may be far less aggressive than the United States in antitrust regulation.

Product safety law

Caveat emptor **("buyer beware")**	***Caveat venditor*** **("seller beware")**
Places the burden of determining product safety on consumers.	Places on manufacturers or sellers the burden of making sure their products are safe, or at least clearly and explicitly warning consumers about the potential safety risks.

Dispute settlement law

- **Definition**: governs how disputes arising in global business are settled.
- **Litigation**: the public option, bringing a dispute to a publicly or governmentally run court of law.
- **Arbitration**: an alternative dispute resolution process in which the parties designate a neutral private person or group to hear and decide the case.

Intellectual property protections

- **Intellectual property**: the product of intellectual rather than physical activity.
- **Intellectual property protections**: the limited monopoly rights legally granted by a nation to the creator of intellectual property.

PROTECTION	DEFINITION
Patent	The right granted to the inventor of a product or process that excludes others from selling, making or using the invention for a certain period of time
Trademark	A distinctive phrase, name, word, picture, symbol or design, or a combination of these, that identifies a given business's service or product and is owned by that business
Copyright	The exclusive legal right that authors, playwrights, publishers, artists and composers have to publish and disseminate their work as they see fit

Link to next topic → Session 5 names corruption as a business risk; Session 6 takes up corruption and ethics as a subject in their own right.

CHECK YOURSELF

Answer from memory, then check below.

1. **A legal system in which judges have considerable authority to interpret less specific rules based on precedent is:**
   A. Theocratic law
   B. Common law
   C. Contract law
   D. Civil law

2. Which product safety principle places the burden on manufacturers or sellers?

A. Antitrust

B. Caveat emptor

C. Caveat venditor

D. Arbitration

3. RECALL **Intellectual property protections**

Answers 1. B **2.** C **3.** The limited monopoly rights a nation grants to the creator of intellectual property: patents, trademarks and copyrights.

PART F

WEEK 6 · ETHICS, CORRUPTION & ESG FOUNDATIONS

CHAPTER 16 · SESSION 6 · CILO 2

Doing the right thing: ethics, economics and social responsibility

PROBLEM
A company's duties do not end with making a profit, yet "doing the right thing" needs a clearer meaning before it can guide business decisions.

→

BIG IDEA
Ethics and economic progress are connected: fair markets need trust, and corporate social responsibility (CSR) sets out what a company owes to society.

→

HOW (TOOLS)
Three philosophical principles, the definitions of ethics and integrity, four steps in ethical decision making (Exhibit 7.1), the Better Business Bureau (BBB) Code of Business Practices (Exhibit 7.2), the Corruption Perceptions Index (CPI), the six CSR mandates, and the principles of consistency and respect.

→

RESULT
A set of tests and steps a manager can use to reach and act on an ethical decision.

IN PLAIN WORDS

Session 6 begins with two questions: beyond making a profit, what are a company's ethical responsibilities, and where do employees get their company's ethical perspective? The textbook first gives three philosophical principles. The **imperative principle** says do what is right. The **utilitarian principle** says do what produces the greatest good. The **generalization argument** combines them: do what is right, but filter the action through its consequences.

Ethics is the branch of philosophy that deals with the rightness and wrongness of human actions and the goodness and badness of their intent and results. **Integrity** is adherence to moral and ethical principles; in practice, a person of integrity knows what is right and has the courage to do it. Exhibit 7.1 turns this into four steps: define the facts, identify the people affected and their rights and obligations, identify the alternative decisions and their consequences, and then make the decision, determining the right thing to do and doing it. The BBB Code of Business Practices (Exhibit 7.2) states the same ideals as eight rules for firms, from "build trust" to "embody integrity".

The session then links ethics to economics. Ethical business requires mutual trust, fair dealing and honest communication. Unethical behavior, such as trading on inside information, destroys fair investment markets, while shared respect for individuals, their lives, property and freedoms

promotes integrity. Transparency International measures the risk of corruption each year in its Corruption Perceptions Index (CPI). Exhibit 7.3 places CPI scores beside per capita gross domestic product (GDP): Denmark and New Zealand score 87, while Turkey scores 39 and Mexico 29.

Corporate social responsibility (CSR) is a company's obligation to society, including the welfare of people and places its activities affect. It asks a company to provide quality products, an appropriate return to stockholders, dignified treatment of employees, care for the environment, compliance with the law and fair dealing with suppliers, lenders and others. When an individual faces an ethical choice, the session gives an order of guidance (legal rules, then the organization's formal ethics policies, then moral intuition) and two principles to test the choice: consistency and respect.

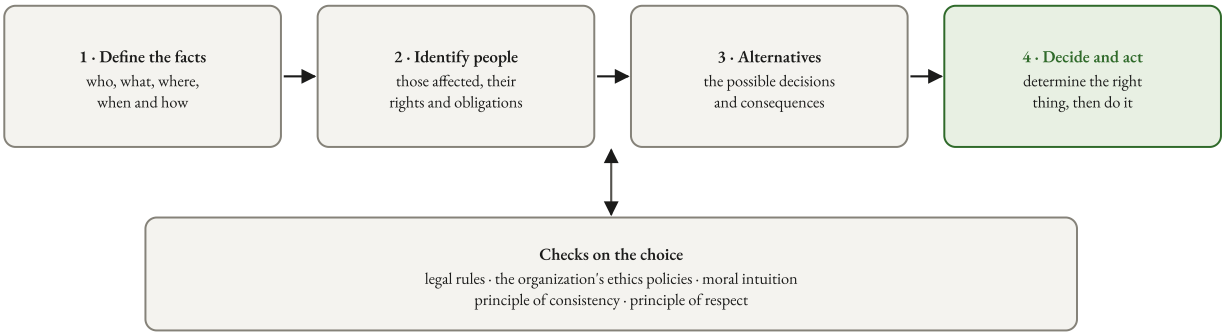


FIGURE 16.1 Exhibit 7.1 as a process. The first three steps gather facts, people and options; only the fourth step decides, and it ends with doing the right thing, not just naming it.

Philosophical principles of ethics

1. **Imperative principle**: do what is right.
2. **Utilitarian principle**: do what produces the greatest good.
3. **Generalization argument**: do what is right, but filter the action by consideration of the consequences.

Ethics and integrity

- **Ethics**: the branch of philosophy that addresses the values pertaining to human behavior, with regard to the "rightness" and "wrongness" of actions and to the "goodness" and "badness" of the intent and results of such actions.
- **Integrity**: adherence to moral and ethical principles; soundness of moral character; honesty. As a practical matter, a person of integrity knows what is right and has the courage to do it.

Basic steps in ethical decision making (Exhibit 7.1)

1. **Define the facts**
   Define all the facts and circumstances, including who, what, where, when and how.
2. **Identify the people**
   Identify the people affected by the situation and their rights and obligations.
3. **Identify the alternatives**
   Identify the alternative decisions and consequences.
4. **Decide**
   Make the decision: determine the right thing to do and then do it.

The BBB Code of Business Practices (Exhibit 7.2)

RULE	MEANING
Build Trust	Establish and maintain a positive track record in the marketplace
Advertise Honestly	Adhere to established standards of advertising and selling
Tell the Truth	Honestly represent products and services, with clear and adequate disclosure of all material terms
Be Transparent	Openly identify the nature, location and ownership of the business, and clearly disclose policies, guarantees and procedures that influence a customer's decision to buy
Honor Promises	Abide by all written agreements and verbal representations
Be Responsive	Address marketplace disputes quickly, professionally and in good faith
Safeguard Privacy	Protect data against mishandling and fraud, collect personal information only as needed, and respect customers' preferences on its use
Embody Integrity	Approach all business dealings, transactions and commitments with integrity

Ethics in business and society

- **Preconditions**: for ethical business activity, mutual trust, fair dealings and honest communication are essential.
- **Ethics and economics**: unethical behavior (for example, using inside information) destroys fair investment markets; commonly shared values of respect for individuals, their lives, property and freedoms promote individual integrity and doing the "right thing".
- **Corruption Perceptions Index (CPI)**: published each year by Transparency International; gives metrics for the potential corruption risk of most of the world's countries.

Selected countries, per capita GDP and CPI scores (Exhibit 7.3)

COUNTRY	GDP PER CAPITA (PPP US$, 2017)	CPI
1. Denmark	51,364	87

2. New Zealand	41,109	87
3. Sweden	50,208	85
4. Germany	50,639	80
5. United Kingdom	43,269	77
6. United States	59,532	69
7. Israel	38,262	60
8. Korea, South	38,335	59
9. Turkey	29,505	39
10. Mexico	18,258	29

Source: adapted from Linnhoff, Smith and Smith, "A Fighter Ace and the Foreign Corrupt Practices Act", *Internal Auditing* (2021).

Corporate social responsibility (CSR)

Corporate social responsibility (CSR) is a company's obligations to society, including the welfare of people and places affected by company activities. CSR mandates that a company should try to:

1. **Provide quality products or services**
2. **Provide an appropriate return on investment** to the company's stockholders
3. **Treat its employees with dignity and respect**
4. **Take care of the environment**
5. **Meet its legal obligations**
6. **Deal fairly with suppliers, lenders and other business parties**

Rules, policies and guidelines for an ethical choice

1 **Follow legal rules**

2 **Apply the formal ethical policies**
of your organization

3 **Use your moral intuition**

Principle of consistency

Consider what the consequences would be if everyone made the same choice you are about to make.

Principle of respect

Choose the alternative that treats people with the greatest respect.

Link to next topic → The session then shows what happens when ethics fails, through a series of financial scandals, and how internal controls and the law respond.

CHECK YOURSELF

Answer from memory, then check below.

1. **Considering what would happen if everyone made the same choice you are about to make is the:**
   - A. Imperative principle
   - B. Principle of consistency
   - C. Principle of respect
   - D. Utilitarian principle

2. **Which is the final step of ethical decision making in Exhibit 7.1?**
   - A. Define all the facts
   - B. Identify the people affected
   - C. Identify the alternatives
   - D. Determine the right thing to do and then do it

3. RECALL **Four basic steps in ethical decision making (Exhibit 7.1)**

Answers 1. B **2.** D **3.** Define the facts; identify the people affected and their rights and obligations; identify alternatives and consequences; make the decision and do it.

CHAPTER 17 · SESSION 6 · CILO 2

When ethics fails: financial scandals and internal controls

PROBLEM
Large companies have hidden losses and inflated earnings through fraudulent accounting, wiping out investors and damaging trust in markets.

→

BIG IDEA
Ethics can be taught, and internal controls backed by law can prevent financial impropriety or catch it after it happens.

→

HOW (TOOLS)
The Enron, WorldCom, Vivendi and Parmalat scandals, plus Teapot Dome and the Ponzi scheme; five fundamentals of ethics education; preventive and feedback controls; the Foreign Corrupt Practices Act (FCPA); the Sarbanes–Oxley Act (SOX) of 2002; and computer security threats.

→

RESULT
An understanding of how fraud was done, how it was found, and which controls and laws now stand against it.

IN PLAIN WORDS

The scandals the session describes share a method: fraudulent or misleading accounting used to make a company look healthier than it was. Enron, a major global provider of electricity, natural gas, pulp and paper and communications, "cooked its books" with innovative and misleading accounting, including mark-to-market practices, to avoid disclosing unprofitable operations. WorldCom manipulated earnings to show false growth and prop up its stock price, recording "line costs" as assets instead of expenses and overstating revenues; its own internal auditors found the fraud, and its bankruptcy wiped out stockholders and bondholders. Vivendi, a French multinational, hid cash flow, liquidity and debt problems for years to boost its stock price and make acquisitions; its board discovered the fraud, the chief executive officer (CEO) resigned and paid a $1 million fine, and the company paid $50 million. Parmalat, an Italian dairy and food multinational, used risky derivatives and purchases of its own debt to disguise losses on international acquisitions, and was placed under a government commissioner after it collapsed into bankruptcy. Older cases show the pattern is not new: the Teapot Dome scandal and Charles Ponzi's 1920s scheme of paying earlier investors with later investors' money.

The session's response has two parts. The first is education. The textbook holds that ethics can be taught, through five fundamentals: personal integrity, the responsibility of business in society, ethical decision making, ethical leadership and corporate governance. Exhibit 7.5 makes the case with a story about nine of the richest men of 1923 who, twenty-five years later, had died

bankrupt, been imprisoned or taken their own lives, concluding that money does not guarantee a truly successful life; Exhibit 7.6 collects quotations on honor and integrity.

The second part is control. **Internal controls** are rules and procedures that ensure the accuracy and reliability of financial and accounting information. Preventive controls stop errors and irregularities from happening; feedback controls find them afterwards so they can be corrected. The law makes these controls compulsory. The Foreign Corrupt Practices Act (FCPA) applies to U.S. firms and foreign firms doing business in the United States and has two parts, an anti-bribery provision and a requirement for adequate internal controls over financial records. The Enron scandal was a key event leading Congress to pass the Sarbanes–Oxley Act (SOX) of 2002, which raised prison terms for fraud and makes the CEO and the chief financial officer (CFO) certify the accuracy of the financial statements. Because accounting information now lives on computers, the session ends with the threats to computer security, including growing cybercrime.

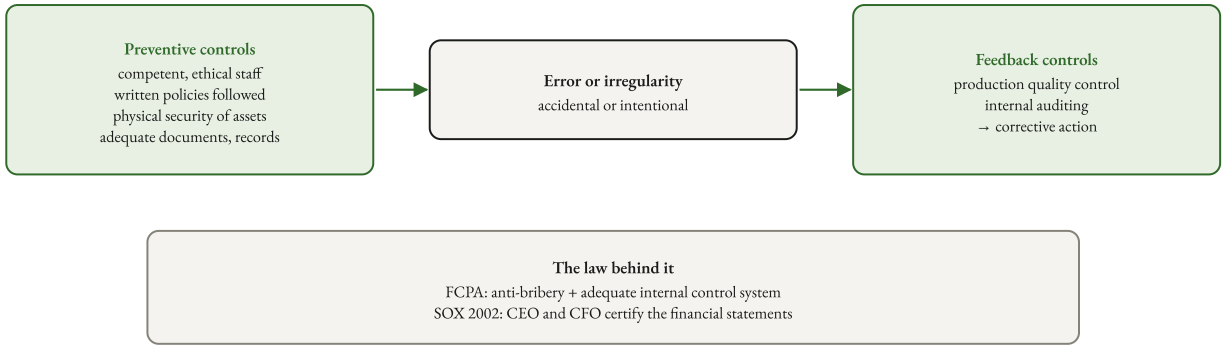


FIGURE 17.1 Internal controls arranged around the moment an error or irregularity happens. Preventive controls act before it and feedback controls after it; the FCPA and SOX add legal duties on internal controls and financial reporting.

Financial scandals

COMPANY	BUSINESS	WHAT IT DID	OUTCOME
Enron	Major global provider of electricity, natural gas, pulp and paper, and communications	Used innovative and misleading accounting ("cooking its books"), including mark-to-market practices, to avoid disclosing unprofitable operations	A key event leading the U.S. Congress to pass the Sarbanes–Oxley Act of 2002 (SOX)

WorldCom	Not described on the slide	Manipulated earnings to present false growth and prop up its stock price; recorded "line costs" as assets rather than expenses and overstated revenues	Internal auditors discovered the fraud; bankruptcy wiped out stockholders and bondholders
Vivendi	French multinational in music, television and film, publishing, telecommunications, the Internet and video games	Fraudulent accounting for several years to hide cash flow, liquidity and debt problems, to boost its stock price and make acquisitions	Discovered by the board; the CEO resigned and paid a $1 million fine; Vivendi paid a $50 million fine
Parmalat	Italian multinational in dairy and food products	Used risky derivatives and purchases of its own debt to disguise losses in new international acquisitions	Collapsed into bankruptcy when it could not pay its debt and bond payments; placed under a commissioner by the Italian government

Other significant scandals

- **Teapot Dome scandal**: the secret leasing of the Teapot Dome oil reserves to a businessman who paid Secretary of the Interior Albert Fall hundreds of thousands of dollars in zero-interest loans.
- **Ponzi scheme**: a fraud in which money from later investors is used to pay returns to earlier investors, giving the appearance of a profitable investment; first perpetrated by Charles Ponzi in the 1920s.

Can ethics be taught? Five fundamentals of ethics education

1. **Personal integrity**
2. **Responsibility of business in society**
3. **Ethical decision making**
4. **Ethical leadership**
5. **Corporate governance**

How do you measure success? (Exhibits 7.5 and 7.6)

Exhibit 7.5 tells of a meeting, possibly at Chicago's Edgewater Beach Hotel in 1923, of nine of the richest men in the world, including the presidents of the largest steel, utility and gas companies and of the New York Stock Exchange. Twenty-five years later, the story says, several had died

bankrupt or penniless, one was insane, two had been in prison and three had died by suicide. Its lesson: making money may be an acceptable goal, but it does not guarantee a truly successful life; inner peace comes from a life of integrity and noble character, or in Lincoln's words, "Honor is better than honors." Exhibit 7.6 adds quotations in the same spirit, such as Confucius's "To see what is right and not to do it is want of courage" and the PricewaterhouseCoopers CEO's "the foundation of corporate integrity is personal integrity".

Internal controls

- **Internal controls**: a system of rules and procedures designed to ensure the accuracy and reliability of financial and accounting information.
- **Two jobs**: preventing accidental errors and intentional misrepresentations (irregularities) from occurring; and identifying errors and irregularities after they occur so that corrective action can be taken.

Preventive controls

- Hiring competent and ethical employees
- Having (and following) written policies and procedures
- Physical security of firm assets
- Adequate documents and records

Feedback controls

- Production quality control
- Internal auditing

The law on controls

Foreign Corrupt Practices Act (FCPA)

- **Scope**: applies to U.S. firms and to foreign firms that do business in the United States.
- **Two parts**: an anti-bribery provision, and a requirement to maintain an adequate internal control system over financial books and records.

Sarbanes–Oxley Act (SOX) of 2002

Passed after the corporate financial scandals of the early 2000s. It:

1. **Increased the prison sentence for fraud** to 25 years.
2. **Established 20-year sentences** for destroying, altering or fabricating records in federal investigations, or any scheme to defraud shareholders.

3. **Requires certification**: the chief executive officer (CEO) and chief financial officer (CFO) of a publicly traded corporation must certify that its financial statements accurately present the firm's financial condition and results of operations.

Computer security of accounting information

Basic threats to computer security:

1. **Natural disasters**
2. **Dishonest employees**
3. **Disgruntled employees**
4. **Persons external to the organization**
5. **Accidental errors and omissions**

Cybercrime, including cyber terrorism, is a growing problem; it costs a company through lost business and harm to physical and virtual assets.

Link to next topic → With the environment of culture, law and ethics in place, Session 7 asks how a company should actually enter a foreign market.

CHECK YOURSELF

Answer from memory, then check below.

1. **Under the Sarbanes–Oxley Act (SOX), who must certify that the financial statements are accurate?**
   - A. The board of directors
   - B. The CEO and CFO
   - C. The stockholders
   - D. The external auditor alone
2. **The two parts of the Foreign Corrupt Practices Act (FCPA) are:**
   - A. A patent and a trademark rule
   - B. A tax haven ban and an antitrust rule
   - C. An anti-bribery provision and an internal control requirement
   - D. A tariff and a quota
3. RECALL **Enron's fraud and its legal consequence**

Answers 1. B **2.** C **3.** Misleading accounting ('cooking its books'), including mark-to-market, to hide unprofitable operations; a key event leading to the Sarbanes–Oxley Act of 2002.

PART G

WEEK 7 · ENTRY STRATEGIES IN GLOBAL BUSINESS

CHAPTER 18 · SESSION 7 · CILO 3

Choosing how to go abroad: entry strategies from exporting to subsidiaries

PROBLEM
A firm that wants to enter a foreign market must decide how much capital and control to commit, and every choice carries a different level of risk.

→

BIG IDEA
Entry strategies sit on a line from low risk and low return to high risk and high return, and the firm chooses according to the risk it is willing to take.

→

HOW (TOOLS)
Risk profile and the risk–return trade-off; Exhibit 8.1; strategies that minimize financial risk (export-import, licensing, franchising), share it (strategic alliances, international joint ventures) or take on more of it (foreign acquisitions, wholly owned subsidiaries).

→

RESULT
A way to compare the seven entry strategies and to explain why a firm would pick one over another.

IN PLAIN WORDS

Session 7 adds the course's third learning outcome, applying strategies for market entry, and opens with the question of risk. A firm's **risk profile** is the potential financial loss its owners are willing to take. The **risk–return trade-off** says that the greater the risk of losing invested capital, the greater the likely reward. Risk comes from three sources: ownership, operation and asset transfer. Exhibit 8.1 lines up the entry strategies on this trade-off, from export-import business at the low-risk, low-return end, through licensing, franchising, strategic alliances, joint ventures and foreign acquisitions, to wholly owned foreign subsidiaries at the high-risk, high-return end.

The three strategies that minimize financial risk keep the firm's own capital out of the foreign market. **Export-import business** is relatively low risk because capital is not tied up and it is easy to enter or exit; trade finance techniques reduce the remaining risk, and a firm can run with as few as three or four employees. **Licensing** brings the trader closer to its overseas partner, giving it the rights or technology to make and sell the product in return for a license fee, so it carries slightly more risk. A firm licenses rather than exports when making the product in the target country saves on transport, labor and raw materials, or when it lacks the money for plant abroad; penalty clauses in the license give it an exit. **Franchising** carries relatively more risk than licensing, because the franchisor supplies equipment, services or startup costs and must keep quality the same at every location, but local franchisees usually supply the capital.

The middle strategies share the risk with a partner. A **strategic alliance** is an agreement between firms to cooperate for revenue without creating a separate jointly owned entity, and its

weakness is that a member can quit early. An **international joint venture** does create a jointly owned business, usually with at least one local firm that knows the domestic economy, culture and politics and can handle local logistics and bureaucracy; it makes sense when the investment is too large for one company. At the top of the scale, a firm can buy an established foreign firm through a **foreign acquisition**, gaining instant access to its production, marketing and distribution networks, or build its own **wholly owned subsidiary** from scratch as a "green field" plant, which needs large capital and heavy marketing because the newcomer is unknown.

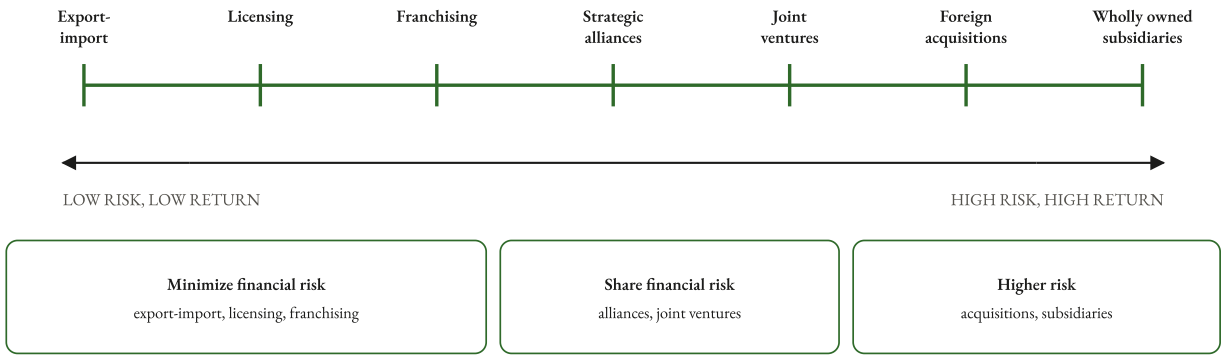


FIGURE 18.1 Exhibit 8.1 redrawn. Moving right, both the risk and the return to the multinational enterprise (MNE) rise. The three groups below are the session's own headings.

Strategy choice: risk

- **Risk profile**: the potential financial loss that entrepreneurs are willing to take in a business.
- **Risk–return trade-off**: the greater the risk (loss of capital invested) entrepreneurs are willing to take, the greater the rewards (profit) they are likely to reap.
- **Sources of risk**: ownership, operation or asset transfer.

Strategies that minimize financial risk

STRATEGY	DEFINITION	KEY POINTS
Export-import business	Penetrating foreign markets by exporting or importing merchandise at competitive prices for domestic consumption	Relatively low risk: capital is not tied up and it is easy to enter or exit; trade finance minimizes financial risk; possible with three or four employees, though large trading companies employ thousands; the Internet has made it easier
Licensing	Providing a foreign partner with the rights and/or technology to manufacture and sell products or services in a target country for an annual license fee	A closer relationship than pure trade, with slightly more risk to the licensor; penalty clauses can serve as an exit strategy

Franchising	A franchisor provides specialized equipment, service and/or startup costs to a franchisee in return for an annual fee for rights to manufacture or sell its products	Relatively more risk than licensing; most fast-food franchises are owned by local residents using local capital; penetrates markets without significant capital abroad; the parent must keep quality similar at every location

Why license rather than export?

- **Lower costs**: manufacturing in the target country can take advantage of lower transportation, labor and raw material costs.
- **Limited resources**: the licensor may not have the financial resources to invest in overseas plant and equipment, or may have better uses for them.

Strategies that share financial risk

Strategic alliances

- An agreement between two or more firms that does not create a separate entity with joint ownership, in which the firms gain revenues and maximize profits through cooperation for a given period.
- Primarily aimed at enhancing revenues.
- Challenge: any member could prematurely quit the alliance, harming the other partners.

International joint ventures

- A business jointly owned and operated by two or more firms (one local, one foreign) that pool resources to penetrate the host market, share profits and share commercial risk.
- Used to share increased risk with a local corporate entity; sensible when the capital needed is too large for one company.
- The local partner knows the domestic economic, cultural and political environment and can help overcome country-specific logistics and bureaucracy.

Higher-risk strategies

Foreign acquisitions and cross-border mergers and acquisitions (M&A)

- Acquisition: the purchase of established firms abroad to use their existing production, marketing and distribution networks and gain instant access to foreign markets that fit the buyer's global strategy.
- Firms with clearly identified core competencies or competitive advantages may enter by merging with or acquiring firms overseas.
- In an acquisition, the home country firm buys the host country firm and implements its own strategy; in a merger, both managements play an active role.

Wholly owned foreign subsidiaries

- New facilities built and operated overseas ("green field" plants), tailored to the exact needs of the home country firm.
- Require a large capital investment, so risks and rewards are high.
- Can need major marketing efforts, because of cultural differences and because the entrant is new and relatively unknown.

The session's icebreaker asks how foreign acquisitions let certain businesses become more competitive in the global marketplace, and how an acquisition can be a defensive strategy.

Link to next topic → The higher-risk strategies are the territory of multinational enterprises, and the session closes by asking why such firms invest abroad and how host countries see that investment.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which of these is a strategy that shares financial risk?**
   - A. Foreign acquisition
   - B. International joint venture
   - C. Export-import business
   - D. Licensing

2. **New facilities built and operated overseas, tailored to the home firm's exact needs, are called:**
   - A. Franchises
   - B. Licenses
   - C. Cross-border mergers
   - D. Green field plants (wholly owned subsidiaries)

3. RECALL **Entry strategies from low to high risk (Exhibit 8.1)**

Answers 1. B **2.** D **3.** Export-import; licensing; franchising; strategic alliances; joint ventures; foreign acquisitions; wholly owned foreign subsidiaries.

CHAPTER 19 · SESSION 7 · CILO 3

Why firms invest abroad: multinationals, investment and the host country

PROBLEM
Foreign direct investment (FDI) is costly and risky for the investor and brings both benefits and costs to the host country.

→

BIG IDEA
Multinational enterprises (MNEs) invest abroad to maximize shareholder wealth by raising revenues, cutting costs or diversifying risk, and host countries attract them with a sound investment climate.

→

HOW (TOOLS)
The definition and evolution of MNEs, the world's ten largest companies (Exhibit 8.3), three strategic motives and their strategies, Dunning's eclectic theory of FDI, the host country's benefits and costs, and the characteristics of an attractive investment climate.

→

RESULT
A complete argument about FDI, from the firm's reasons for going abroad to what the host country gains, risks and must offer.

IN PLAIN WORDS

Multinational enterprises (MNEs) are firms headquartered in one country that own and control significant manufacturing, services, research and development (R&D) or other business entities in other countries, such as General Electric, Microsoft, Sony, Toyota, BMW, Volkswagen, Siemens and Shell. They have large resources of capital, management talent and technology, and they are willing to take large risks to operate globally. MNE growth, led by U.S. firms, accelerated only after World War II. U.S. MNEs now hold 56 places in the Global 100 by market capitalization, followed by greater China with 15 and France and Switzerland with 4 each, and Exhibit 8.3, subtitled "Multinational enterprises from the United States dominate the world business scene", lists seven U.S. companies among the world's ten largest in 2021. Yet they are being challenged by MNEs from emerging economies such as China, India, Brazil, Russia, South Korea and South Africa.

Why do they invest abroad? In a free enterprise system, the overriding objective is to maximize shareholder wealth, and the session gives three strategic motives that serve it. Firms invest to increase revenues, by entering high-growth markets, stable high-income markets, countries with monopolistic market structures or trade-restricted sectors. They invest to cut costs, through economies of scale, lower factor input costs and exchange rate movements. And they invest to diversify and minimize risk, by stabilizing global cash flows, choosing projects whose returns are not highly correlated with domestic returns, and finding foreign consumers when a product reaches maturity at home. Dunning's eclectic theory explains why the firm uses FDI rather than

another route: it has ownership (firm-specific) advantages, location (country-specific) advantages and internalization (mode of entry) advantages.

The host country sees both sides. FDI brings significant financial inflows, new jobs, new technologies, transfers of management and employee skills, more domestic competition and choice, and tax revenue for development. It can also bring environmental pollution from the exploitation of natural resources, exploitation of the labor force that reduces human capital development, a lack of corporate social responsibility for the social consequences of MNE decisions, and political interference in the host country's affairs. To attract investment on good terms, a country needs proper economic reforms, a transparent governance structure and the rule of law; in return, domestic firms and MNEs invest profitably, create jobs, contribute to growth and reduce poverty.

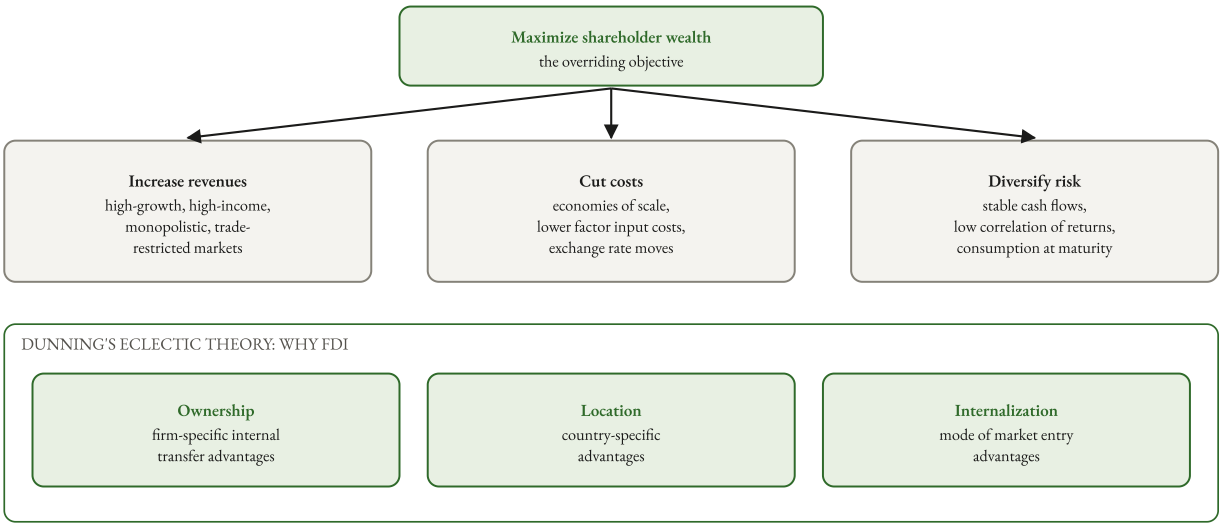


FIGURE 19.1 The reasoning behind foreign direct investment (FDI). The overriding goal leads to three strategic motives, each with its own strategies, and Dunning's eclectic theory names the key economic advantages for using FDI.

Multinational enterprises (MNEs)

- **Definition**: firms headquartered in one country that own and control significant manufacturing, services, R&D facilities or other business entities in other countries.
- **Examples**: General Electric (United States), Microsoft (United States), Sony (Japan), Toyota (Japan), BMW (Germany), VW (Germany), Siemens (Germany), Shell (United Kingdom–Netherlands).
- **Resources**: significant capital, management talent and technology; willing to take large risks to operate globally.
- **Evolution**: MNE growth, led by U.S. MNEs, greatly accelerated only after World War II.

- **Global 100**: U.S. MNEs hold 56 of the top 100 places by market capitalization, followed by greater China with 15 and France and Switzerland with 4.
- **Challengers**: MNEs from emerging market economies such as China, India, Brazil, Russia, South Korea and South Africa.

The world's ten largest companies, 2021 (Exhibit 8.3)

RANK	COMPANY	SECTOR	COUNTRY	MARKET VALUE ($ BILLION)
1	Apple	Technology hardware	United States	2,231
2	Microsoft	Software and computing	United States	1,997
3	Saudi Aramco	Oil/gas and petrochemicals	Saudi Arabia	1,874
4	Amazon	Online retailing and logistics	United States	1,767
5	Alphabet (Google)	Information technology	United States	1,662
6	Facebook	Social media	United States	966
7	Tencent	Information technology (IT) and payment systems	China	720
8	Tesla	Electric autos and space systems	United States	633
9	Berkshire Hathaway	Non-life insurance	United States	628
10	TSMC	Semiconductor chip design	Taiwan	116

Market capitalization is the share price multiplied by the number of outstanding shares (source: companiesmarketcap.com).

Strategic motives and strategies for going abroad

The overriding objective of firms investing abroad in a free enterprise system is to maximize shareholder wealth. The three strategic motives:

MOTIVE	STRATEGIES

Increase revenues	Entering high-growth markets; entering stable, high-income markets; entering countries with monopolistic market structures; entering trade-restricted sectors
Cut costs	Gaining economies of scale in overseas production; minimizing factor input costs by relocating overseas; reacting to exchange rate movements to take advantage of long-term appreciation of FDI assets
Diversify operations to minimize risk	Diversification to foster stability in global cash flows and earnings; correlation of returns, choosing overseas projects whose performance is not highly correlated with domestic cash flows or returns; diversifying to gain foreign consumption that helps maximize profitability during the maturity stage of the firm's products

Dunning's eclectic theory of FDI

Key economic advantages for using FDI:

1. **Ownership** — firm-specific internal transfer advantages
2. **Location** — country-specific advantages
3. **Internalization** — mode-of-market-entry advantages

The host country's perspective on FDI

Benefits of FDI

- Generation of significant financial inflows
- Creation of new jobs
- Access to new technologies
- Transfer of management and employee skills
- Increased domestic competition and choice
- Tax revenues for economic development

Costs of FDI

- Environmental pollution from MNEs' exploitation of natural resources
- Exploitation of the host country labor force, reducing human capital development
- MNEs' lack of corporate social responsibility for the social consequences of their decisions
- Political interference by MNEs in the host country's affairs

Improving the host country's investment climate

Attractive investment climate characteristics	Contributions of domestic firms and MNEs
1. Proper economic reforms	1. Invest profitably
2. Transparent governance structure	2. Create jobs
3. Rule of law	3. Contribute to economic growth
	4. Reduce poverty

CHECK YOURSELF

Answer from memory, then check below.

1. **Which is listed as a cost of FDI from the host country's perspective?**
   - A. Political interference by MNEs in the host country's affairs
   - B. Tax revenues
   - C. Creation of new jobs
   - D. Access to new technologies
2. **Dunning's eclectic theory names three advantages. Which is one of them?**
   - A. Mercantile advantages
   - B. Tariff advantages
   - C. Location (country-specific) advantages
   - D. Absolute advantages
3. RECALL **Dunning's eclectic theory: three advantages**

Answers 1. A **2.** C **3.** Ownership (firm-specific internal transfer); location (country-specific); internalization (mode of market entry).

APPENDIX · REFERENCE

Key lists at a glance

The numbered and named lists the course teaches, gathered in one place in the order the sessions present them.

LIST	ITEMS	SESSION
Four parts of the definition of globalization	Removes barriers; leads to growth and interdependence; freer trade and investment; integration of nations	1
Three post-war institutions	IMF; World Bank; WTO	1
IMF roles (4)	Forum; facilitates trade; exchange rate stability and open payments; lends foreign exchange	1
World Bank Group (5)	IBRD; IDA; IFC; MIGA; ICSID	1
WTO functions (6)	Administer agreements; forum for negotiations; settle disputes; review policies; assist developing countries; cooperate with IMF and World Bank	1
WTO principles (5)	Trade without discrimination; freer trade; predictability; fair competition; economic reform in developing countries	1
Policy measures that promote globalization (4)	Good governance; competitive markets; property rights; anticorruption policies	1
Arguments against globalization (4)	Job losses and income stagnation; loss of local control; disappearance of old industries; erosion of communities	1
Benefits of trade to consumers (3)	More choice; lower prices; higher living standards	2
H–O factor endowments (4)	Land; labor; capital; technology	2
Porter's Diamond (4 + 2)	Factor conditions; demand conditions; related and supporting industries; firm strategy, structure and rivalry; plus chance and government	2
Instruments of trade policy (4)	Tariffs; preferential duties; MFN status; nontariff barriers	2
Nontariff barriers (3)	Import quotas; VER; domestic content provisions	2
BOP accounts (3)	Current; capital; financial	3
Current account parts (4)	Goods balance; services balance; primary income; secondary income	3

Monetary systems in order (5)	Gold standard; Bretton Woods 1944; Smithsonian 1971; Jamaica 1976; flexible rates	3
Influences on PPP predictions (5)	Transport costs and barriers; government intervention; MNE pricing power; expectations; non-traded goods	3
Elements of culture (8)	Language; religion; values and attitudes; manners and customs; material elements; aesthetics; education; social institutions	4
Hofstede's dimensions (5)	Individualism–collectivism; power distance; masculine–feminine; uncertainty avoidance; time orientation	4
Trompenaars's dimensions (4)	Universalism–particularism; neutral–emotional; specific–diffuse; achievement–ascription	4
GLOBE constructs (9)	Power distance; uncertainty avoidance; humane orientation; collectivism I; collectivism II; assertiveness; gender egalitarianism; future orientation; performance orientation	4
Sources of cultural information (5)	Country Commercial Guide; EIU Country Reports; Culture Grams; Craigshead's guide; PwC Doing Business	4
Culture in management and marketing (5)	Attitudes to work; management styles; new products; advertising; communication styles	4
Economic ideologies (3)	Communism; socialism; capitalism	5
Legal systems (3)	Civil; common; theocratic	5
Areas of law (6)	Criminal; contract; tax; antitrust; product safety; dispute settlement	5
IP protections (3)	Patents; trademarks; copyrights	5
Philosophical principles of ethics (3)	Imperative; utilitarian; generalization argument	6
Steps in ethical decision making (4)	Define facts; identify people; identify alternatives; decide and act	6
BBB Code (8)	Build trust; advertise honestly; tell the truth; be transparent; honor promises; be responsive; safeguard privacy; embody integrity	6
CSR mandates (6)	Quality products; return to stockholders; dignity for employees; environment; legal obligations; fair dealing	6
Fundamentals of ethics education (5)	Personal integrity; responsibility of business; ethical decision making; ethical leadership; corporate governance	6
Threats to computer security (5)	Natural disasters; dishonest employees; disgruntled employees; outsiders; accidental errors and omissions	6

Entry strategies, low to high risk (7)	Export-import; licensing; franchising; strategic alliances; joint ventures; foreign acquisitions; wholly owned subsidiaries	7
Strategic motives for FDI (3)	Increase revenues; cut costs; diversify to minimize risk	7
Dunning's advantages (3)	Ownership; location; internalization	7
Host-country benefits of FDI (6)	Financial inflows; jobs; technology; skills; competition and choice; tax revenue	7
Host-country costs of FDI (4)	Pollution; labor exploitation; lack of CSR; political interference	7
Attractive investment climate (3)	Economic reforms; transparent governance; rule of law	7

APPENDIX · REFERENCE

Numbers and dates sheet

NUMBER OR DATE	WHAT IT REFERS TO	SESSION
1500–1750	Period when mercantilism was practiced	2
1920s	Charles Ponzi's original Ponzi scheme	6
1920s–1930s	U.S. Prohibition Era, when alcohol sales were unlawful	5
1923	The meeting of nine of the world's richest men in Exhibit 7.5	6
1944	Bretton Woods Agreement: dollar fixed to gold, 43 other currencies fixed to the dollar	3
1948	The WTO's history begins under GATT	1
1971	Smithsonian Agreement: U.S. allowed to devalue the dollar	3
1976	Jamaica Agreement: countries may float their currencies	3
2000	Before this year, globalization meant expansion from developed to emerging economies	1
2002	Sarbanes–Oxley Act; Terrorism Risk Insurance Act	5, 6
2005	China's yuan stops being pegged to the dollar	3
5 years	PPP appears to hold over periods longer than this	3
25 and 20 years	SOX prison terms for fraud, and for destroying or falsifying records	6
$1 million and $50 million	Fines paid by Vivendi's CEO and by Vivendi	6
56 / 15 / 4	Global 100 places held by U.S. MNEs, greater China, and France and Switzerland each	7
50.0, 34.0, 28.0	2050 nominal GDP ($ trillions) of China, the United States and India	1
17.26% and 15.95%	Shares of world PPP GNI held by China and the United States, 2019	2
$2,754 billion	Peak world FDI inflow in Exhibit 2.3 (2016)	2
87 and 29	Highest (Denmark, New Zealand) and lowest (Mexico) CPI scores in Exhibit 7.3	6
133 / 180 / 174 / 84 / 118	Countries covered by the five sources of cultural information	4

APPENDIX · REFERENCE

Glossary of abbreviations

SHORT	STANDS FOR / MEANING
BBB	Better Business Bureau, whose Code of Business Practices sets out eight rules (Exhibit 7.2)
BOP	Balance of payments: all transactions between one country and the rest of the world for a period
BMW	German MNE named on the slides (company name)
CEO	Chief executive officer
CFO	Chief financial officer
CILO	Course intended learning outcome
COVID-19	The coronavirus pandemic that "puts globalization at risk" (Session 1)
CPI	Corruption Perceptions Index, published yearly by Transparency International
CSR	Corporate social responsibility: a company's obligations to society
DFC	U.S. International Development Finance Corporation, which sells political risk insurance
EIU	The Economist Intelligence Unit, publisher of Country Reports
ESG	Environmental, social and governance; named in the Session 6 title and video, not expanded on the slides
EU	European Union
FCPA	Foreign Corrupt Practices Act: anti-bribery provision plus internal control requirement
FDI	Foreign direct investment: purchases of fixed assets abroad to make and sell goods and services there
GATT	General Agreement on Tariffs and Trade, under which the WTO's history began in 1948
GDP	Gross domestic product
GLOBE	The GLOBE project, which measures nine culture constructs across regional clusters
GNI	Gross national income: value of goods and services produced plus net income receipts from abroad
GSP	Generalized System of Preferences: duty-free imports of selected products from specific countries
H–O	Heckscher–Ohlin theory: comparative advantage comes from factor endowments
IBRD	International Bank for Reconstruction and Development (World Bank Group)
ICSID	International Center for the Settlement of Investment Disputes (World Bank Group)
IDA	International Development Association (World Bank Group)

IFC	International Finance Corporation (World Bank Group)
IMF	International Monetary Fund
IP	Intellectual property
IRP	Interest rate parity
IT	Information technology
M&A	Mergers and acquisitions
MFN	Most favored nation (status)
MIGA	Multilateral Investment Guarantee Agency (World Bank Group)
MNE	Multinational enterprise
PPP	Purchasing power parity
PwC	PricewaterhouseCoopers
QR	Quantitative restriction (import quota)
R&D	Research and development
SDR	Special drawing right: IMF basket of dollars, euros, pounds and yen
SOX	Sarbanes–Oxley Act of 2002
TSMC	Company name as printed in Exhibit 8.3 (semiconductor chip design, Taiwan); not expanded on the slide
U.K.	United Kingdom
U.S.	United States
US$	U.S. dollars
VER	Voluntary export restraint
VW	Volkswagen, a German MNE
WTO	World Trade Organization

APPENDIX · REFERENCE

Textbooks and videos

Textbooks

- **Gaspar, *Introduction to Global Business*, 3rd edition** (Cengage, 2023): the course textbook; Chapters 1–8 are followed session by session.
- ***Global Business Today*, 12th edition**: the second reference on every deck (Chapters 1, 6, 3, 4, 2, 5 and 7–9, 13).

Videos listed on the reference slides

SESSION	VIDEO
1	Covid-19 and Globalization; The World After Coronavirus: The Future of Globalization
2	International Economics: How Trade Policy Gets Made
3	Exchange Rates and Trade
4	Business Speaker Erin Meyer: How Cultural Differences Affect Business
5	The Next Global Superpower Isn't Who You Think
6	How ESG creates value
7	What is a multinational?

Flashcards

Cover the right-hand column and answer from memory.

Session 1 · Globalization 30 cards

Definition of globalization	The socioeconomic reform process of eliminating trade, investment, cultural, information technology and political barriers across countries.
What globalization can lead to	Increased economic growth and geopolitical integration and interdependence among the nations of the world.
What globalization represents	Freer international trade and investment, or the free flow of goods and services (including cultural and belief systems) between countries.
Direction of globalization before 2000	Business generally expanded from developed countries to developing or emerging economies.
Direction of globalization now	Business flows in both directions, and increasingly from one developing country to another.
Where the world's center of economic gravity is shifting	Toward emerging economies, especially China.
Decoupling	A world economy in which the engines of growth could comprise several major industrialized and emerging economies (United States, EU, China, India, Brazil, Russia, South Africa) rather than the United States alone.
Multipolar world	A global shift in which industrialized-country-dependent developing economies grow based on their own underlying economic strengths rather than those of highly developed countries.
Top three economies in 2050 by nominal GDP (Exhibit 1.2)	1. China ($50.0 trillion); 2. United States ($34.0 trillion); 3. India ($28.0 trillion).
Three countries that enter the 2050 top ten (Exhibit 1.2)	Indonesia (4th), Mexico (8th) and Russia (10th).
India's key economic drivers to 2050 (Exhibit 1.2)	Young population, productivity growth and a large domestic market.
The three international organizations that emerged after World War II	The International Monetary Fund (IMF), the World Bank and the World Trade Organization (WTO).

The IMF's four roles in global financial stability	(1) Forum for cooperation on international monetary problems; (2) facilitates trade that promotes jobs, growth and poverty reduction; (3) promotes exchange rate stability and an open payments system; (4) lends foreign exchange for balance of payments problems.
The World Bank's initial role	To aid the reconstruction of Europe after World War II.
The World Bank's five current focus areas	Global integration through trade; policy advice to strengthen free-market institutions and infrastructure; international standards in financial systems; knowledge transfer to developing countries; eradicating communicable diseases.
IDA (World Bank Group)	International Development Association: long-term, low-interest social sector and infrastructure loans to the poorest members, funded by rich-nation members' foreign aid.
MIGA (World Bank Group)	Multilateral Investment Guarantee Agency: provides political risk coverage for private investments in developing countries.
IFC (World Bank Group)	International Finance Corporation: loans that take an equity position in private companies of developing countries; develops their capital markets.
IBRD and ICSID (World Bank Group)	IBRD: supports reconstruction and restructuring using funds raised in capital markets. ICSID: works on foreign investment disputes.
Where the WTO's history begins	In 1948 under the General Agreement on Tariffs and Trade (GATT), which lowered or removed tariffs, quotas and subsidies through a series of negotiations.
Six ways the WTO promotes global trade	Administering agreements; forum for negotiations; settling disputes; reviewing national trade policies; technical assistance and training for developing countries; cooperating with the IMF and World Bank.
The WTO's five principles	Trade without discrimination; freer trade; predictability; promoting fair competition; encouraging economic reforms in developing countries.
Institutions (Session 1)	The rules, enforcement mechanisms and organizations that support market transactions; political systems must also be in place for them to work.

Adaptive institutions	Government organizations that create strong incentives for private investment and operate under checks and balances; they function best in a democratic system.
Four policy measures that promote globalization	Good governance; competitive markets; property rights; anticorruption policies.
Digital divide	The perceived economic gap between countries with easy access to digital technology and those with limited access.
How IT has helped emerging economies	Lower broadband prices have let them reach rural towns and villages, and the IT revolution has been relatively instantaneous.
Four arguments against globalization	Job losses and income stagnation; loss of local control over economic policy; disappearance of old industries; erosion of communities.
The textbook's balanced conclusion on globalization	Integration offers a more hopeful future and can raise quality of life, but there is no guarantee for all people or that all changes are positive: globalization creates winners and losers.
Globalization's winners and losers (Session 1)	Winners: China, India, Brazil. Losers: Central Asia, much of Africa, North Korea.

Session 2 · Trade 28 cards

Three ways international trade benefits all consumers	Greater choice of goods and services; lower prices; higher living standards.
Session 2's opening claim about trade and foreign investment	Trade and foreign investment are good for society as a whole.
PPP conversion factor	The number of units of a country's currency needed to buy the same goods and services in its domestic market that a U.S. dollar would buy in the United States.
GNI	Gross national income: total value of goods and services produced by a country plus net receipts of employee compensation and property income from abroad.
World's three largest economies on a PPP basis, 2019 (Exhibit 2.1)	China (17.26% of world PPP GNI), United States (15.95%), India (6.95%).

World FDI inflows: 1990, peak year, 2019 (Exhibit 2.3)	$205 billion in 1990; peak of $2,754 billion in 2016; $1,631 billion in 2019.
World FDI inflow in 2018 (Exhibit 2.3)	$1,110 billion, down from $2,220 billion in 2017.
What Exhibit 2.3 measures	Net inflows of investment to acquire or establish an enterprise in another country, by region (US$ billions).
Mercantilism	The oldest trade theory (about 1500–1750): a nation gains from trade only with a surplus, so it should export as much and import as little as possible; wealth was measured in precious metal.
The flaw in mercantilism	If all nations raised exports and cut imports, the surplus of exports would depress prices, lower exporters' earnings and lead to underselling.
Absolute advantage	The ability of one country to produce a good or service more efficiently than another.
Comparative advantage	The ability of a country with an absolute advantage in two or more goods to produce one of them relatively more efficiently than the other.
Heckscher–Ohlin (H–O) theory	Attributes a nation's comparative advantage to its factor endowments: land, labor, capital and technology.
Two key assumptions of the H–O theory	Perfect competition in the marketplace; perfect immobility of factors of production among countries.
Factor price equalization theory	When factors move freely among trading nations, efficiency increases and resources are reallocated until price equilibrium is reached.
The four corners of Porter's Diamond	Factor conditions; demand conditions; related and supporting industries; firm strategy, structure and rivalry.
The two outside influences in Porter's Diamond	Chance (an external shock such as the COVID-19 pandemic) and government (can help or hurt competitiveness).
The three families of trade theory	Mercantilism; specialization (absolute and comparative advantage); factor endowments (H–O and factor price equalization).
Trade policy	All government actions that seek to alter the size of merchandise and/or service flows from and to a country.

Four instruments of trade policy	Tariffs (customs duties); preferential duties; most favored nation (MFN) status; nontariff barriers.
Specific tariff vs ad valorem tariff	Specific: a fixed dollar amount per physical unit. Ad valorem: a constant percentage of the monetary value of one unit of the import.
Preferential duty	An import tariff a nation sets for goods of certain countries and does not apply to the same goods of other countries.
Generalized System of Preferences (GSP)	An agreement under which many developed countries allow duty-free imports of a selected list of products originating from specific countries.
Import quota (QR)	A quantitative restriction limiting the amount or number of units of a product that can be imported.
Voluntary export restraint (VER)	An arrangement in which an efficient exporting nation agrees to limit exports of a product to another country for a temporary period.
Domestic content provisions	Regulations requiring that a certain percentage of the value of an import be sourced domestically.
Socioeconomic rationale for managed trade	Countertrade; export cartels; protection of infant industries; questionable labor practices; environmental considerations; health and safety.
Geopolitical rationale for managed trade	National security; strategic industries; embargoes.

Session 3 · Funds and exchange rates 36 cards

Balance of payments (BOP)	Shows all transactions between one country and the rest of the world for a given period of time.
The three accounts of the BOP	Current account; capital account; financial account.
Four parts of the current account	Trade balance in goods; trade balance in services; primary income; secondary income.
Sign convention for goods trade	Exports are + (money comes in); imports are − (money leaves). Importing more than exporting gives a goods trade deficit.
Primary vs secondary income	Primary: net labor and investment income earned from abroad less paid abroad. Secondary: current transfers between residents and nonresidents.

Capital account	Credit and debit entries for non-produced nonfinancial assets and capital transfers; the least significant BOP item because amounts are usually small (e.g. land sold to embassies, sales of leases and licenses).
Financial account	Foreign direct investment, portfolio investment, financial derivatives and other investment assets.
FDI vs portfolio investment	FDI: purchases of fixed assets abroad (factories, equipment) used to make and sell goods and services abroad. Portfolio: cross-border debt or equity securities other than those in FDI.
Other investments in the financial account	Hot money or short-term deposits seeking higher returns; currency seeking a safe haven; trade credit and advances; other receivables and payables.
Net errors and omissions	Imbalances from imperfect source data and compilation; the financial account balance minus the current and capital account balances; reflects timing and illegal trade.
What the overall BOP shows up as	The total of current, capital and financial accounts, adjusted for net errors and omissions, is reflected in the change in foreign currency reserves.
Risk premium	The added return investors require for the risk associated with a security or asset.
Bid-ask spread	The difference between the bid and ask prices of a currency; the transaction fee earned by the bank.
Direct vs indirect quote	Direct: dollars per one unit of foreign currency. Indirect: the reciprocal, the price of a dollar in foreign currency.
Forward rate	The price, set at an earlier time, of a currency for future delivery in the forward market.
Hedge	Insurance that reduces future risk.
Gold standard	A monetary system that pegs currency values to the market value of gold.
Bretton Woods Agreement (1944)	A global currency system with the U.S. dollar pegged to gold at a fixed rate and the currencies of 43 other countries fixed to the dollar; it set up the IMF.

Smithsonian Agreement (1971) and Jamaica Agreement (1976)	Smithsonian: allowed the U.S. to devalue the dollar. Jamaica: allowed countries to adopt different exchange rate systems, including floating.
Forces affecting currency values under flexible rates	Current account imbalance; economic structure and growth; inflation and interest rates; other factors such as expectations.
Special drawing right (SDR)	An IMF basket of currencies (dollars, euros, pounds and yen) used as a benchmark to value currencies.
Clean float vs dirty float	Clean: minimal government intervention, largely market-determined. Dirty: varying degrees of intervention to keep a currency within an acceptable range.
Dollarization	Using the dollar or another foreign currency together with, or instead of, the domestic currency.
Hard vs soft currencies	Hard: leading currencies of developed countries (dollar, euro, yen, pound). Soft: less stable emerging-market currencies, sometimes pegged to hard currencies.
Law of one price	Identical goods should sell for the same price in different countries according to local currencies.
Arbitrage	Buying goods in a lower-priced market and selling them in a higher-priced market to make profits.
Purchasing power parity (PPP)	The theory that a basket of goods should have approximately the same prices across different countries.
Big Mac Index	A calculation using the cost of a Big Mac sandwich to assess the relative values of currencies.
When PPP holds, according to empirical tests	It appears to hold in the long run (over five years) but may not in shorter periods; it does not reliably explain rate changes between countries with similar inflation.
Five things that affect PPP predictions	Transport costs and trade barriers; government intervention; MNEs with pricing power; market expectations; non-traded goods that affect internal prices.
Interest rate parity (IRP)	The theory that bond interest rates in different countries become the same as investors buy and sell bonds for arbitrage profits.

Covered vs uncovered interest rate parity	Covered: forward and spot rates set bond interest rates equal. Uncovered: expected forward and spot rates set them equal.
The approximate IRP formula	(iUS − iE) = (F − S)/S = p, the forward premium (when S is fairly stable).
Why IRP evidence is mixed	Transaction costs; political risk, legal restrictions, taxes and managed floats; market psychology (herd behavior); central bank intervention.
Forward-rate forecast of the spot rate	F = S(1 + p): forward rate equals spot rate times one plus the forward premium.
Three variables in the regression forecasting model	Differences between the two countries' inflation rates, interest rates and GDP growth rates.

Session 4 · Culture 31 cards

Culture (textbook definition)	Learned behavior; a way of life for one group of people living in a single, related and independent community.
Why adapting to culture matters	The degree to which a company adapts to a culture is often the difference between success and failure in international markets.
The eight elements of culture	Language; religion; values and attitudes; manners and customs; material elements; aesthetics; education; social institutions.
Verbal vs nonverbal communication	Verbal: the message's actual contents. Nonverbal: tone of voice, gestures, eye contact, body positions, facial grimaces and other body language.
Backward translation	Translating a message from English into a foreign language and back into English to check accuracy.
Four effects of religion on business	Business operations; manufacturing and marketing of products; observance of holidays; working days and hours.
Values vs attitudes	Values: basic beliefs or philosophies pervasive in a society. Attitudes: feelings or opinions.
Material elements and aesthetics	Material elements: a direct result of technology, seen in economic, social, financial and marketing infrastructure. Aesthetics: color, form and music, a society's sense of taste and beauty.

National education specialties (Session 4)	South Korea and Japan: sciences and engineering. Russia: mathematics and computer programming. India: engineering and software development.
Reference groups and social stratification	Reference groups: groups important to individuals. Social stratification: the extent to which groups at the top of the social pyramid control those lower down.
Hofstede's five dimensions	Individualism vs collectivism; power distance; masculine vs feminine; uncertainty avoidance; time orientation.
Trompenaars's four dimensions	Universalism vs particularism; neutral vs emotional; specific vs diffuse; achievement vs ascription.
Two other approaches listed with Hofstede and Trompenaars	The GLOBE Project and Gannon's Cultural Metaphors.
The nine GLOBE constructs	Power distance; uncertainty avoidance; humane orientation; collectivism I; collectivism II; assertiveness; gender egalitarianism; future orientation; performance orientation.
GLOBE: uncertainty avoidance	The extent to which a society, organization or group relies on social norms, rules and procedures to alleviate the unpredictability of future events.
GLOBE: collectivism I vs collectivism II	I (institutional): practices that encourage collective distribution of resources and collective action. II (family): pride, loyalty and cohesiveness in organizations or families.
GLOBE: future orientation	The extent to which individuals engage in future-oriented behaviors such as delaying gratification, planning and investing in the future.
Highest and lowest GLOBE power distance (Exhibit 5.3)	Highest: Southern Asia, 5.39. Lowest: Eastern Europe, 4.08 (six-point scale).
Highest GLOBE uncertainty avoidance (Exhibit 5.3)	Germanic Europe, 5.12.
Sources of cultural information and their coverage	Country Commercial Guide (133); EIU Country Reports (180); Culture Grams (174); Craigshead's guide (84); PwC Doing Business (118).
Japan: meeting etiquette	A slight bow and handshake; business card etiquette matters; avoid looking directly into hosts' eyes; hosts need to know your title and rank.

Japan: what executives expect of foreign visitors	Arrive prepared, have decision-making authority, and be referred through a third party.
Yangban and inwa (Korea)	Yangban: the noble class's culture of honor, reputation and dignity. Inwa: harmony among unequals, with loyalty owed upward and responsibility owed downward.
Guanxi (China)	Friendships among unequals and the unlimited exchange of favors; utilitarian, not based on sentiment; can make low-ranking persons influential.
How a foreigner gains access in China	Seek out lower-level persons and obtain their favor in order to reach more powerful superiors who make decisions.
Arab countries: four etiquette points	Do not show the sole of your shoe; the left hand is 'unclean'; good posture is imperative; do not overly praise hosts' possessions.
Latin America: business culture	Relationship before business; more flexible about time; 'We work to live,' not 'We live to work.'
India: business culture	Formal traditions (suits, formal greetings); high civility; diplomacy valued over bluntness; sharing personal information builds relationships.
Russia: business culture	Use a local businessperson (a gift helps); be on time though your host may be late; prefer a third-party introduction; do not refuse a drink or toast.
South Africa: business culture	Trust and punctuality matter; a trusted third-party introduction or letter helps; meet in person; bring a gift such as flowers if invited home.
Five ways culture matters for managing and marketing overseas	Attitudes toward work; management styles; new product development; advertising tailored to local cultures; communication styles.

Session 5 · Law and politics 21 cards

Democracy and its two forms	'Rule by the people', all citizens vote. Athenian: all adults vote directly. Representative: citizens elect representatives for a set period.
Totalitarian government	Individuals govern without the support or consent of the citizenry; for example, a military dictatorship.

Capitalism	Businesses are privately owned, strong individual incentives exist, and the government plays very little role in the economy.
Socialism	The government plays a strong role in the economy and may own stakes in certain businesses.
Communism	The government or state owns and controls all major factors of production; philosophically an economically classless society.
Economic risk and its four examples	The risk that economic problems or mismanagement will harm business in a country: currency restrictions or devaluation; doubtful loan repayment; labor problems; inflation and corruption.
Micropolitical vs macropolitical risk	Micro: affects only a certain industry or set of firms. Macro: affects essentially all businesses in a country.
Terrorism Risk Insurance Act of 2002	A U.S. law that, after a deductible, gives U.S. businesses government insurance coverage for terrorism risk.
U.S. International Development Finance Corporation (DFC)	A U.S. agency selling political risk insurance to U.S. businesses in countries with a bilateral investment treaty with the United States.
Corruption: private vs public	Private: involving other private businesses, individuals or groups. Public: illegal payments, blackmail or extortion aimed at government officials to win contracts or approvals.
Civil law	A legal system based on a comprehensive listing of legal rules in written codes of law.
Common law	Legislatures enact less specific rules, giving judges and courts considerable authority to interpret them based on precedent and other factors.
Theocratic law	A legal system based on a religious document and religious teachings.
Criminal law and its two U.S. examples	Defines crimes punishable by possible incarceration; varies by country and time (Prohibition-era alcohol ban; marijuana now legal in about half of U.S. states).
Contract law	The law governing legally enforceable agreements to engage in economic exchange; contracts are meaningless unless enforceable.

Tax havens named in Session 5	Mauritius, Belize, the Cayman Islands, Antigua, Barbuda and the Isle of Man.
Antitrust law and collusion	Laws promoting fair competition ('antimonopoly laws'); collusion is companies secretly thwarting competition among themselves.
Caveat emptor vs caveat venditor	Emptor ('buyer beware'): the consumer bears the burden of product safety. Venditor ('seller beware'): the maker or seller must ensure safety or clearly warn.
Litigation vs arbitration	Litigation: a public court of law. Arbitration: neutral private persons chosen by the parties hear and decide the case.
Intellectual property protections	The limited monopoly rights a nation grants to the creator of intellectual property: patents, trademarks and copyrights.
Patent, trademark, copyright	Patent: excludes others from making, using or selling an invention for a time. Trademark: a distinctive name, symbol or design identifying a business's product. Copyright: exclusive right to publish and disseminate a work.

Session 6 · Ethics 21 cards

Three philosophical principles of ethics	Imperative: do what is right. Utilitarian: do what produces the greatest good. Generalization: do what is right, filtered by the consequences.
Ethics (definition)	The branch of philosophy addressing the rightness and wrongness of actions and the goodness and badness of their intent and results.
Integrity	Adherence to moral and ethical principles; in practice, knowing what is right and having the courage to do it.
Four basic steps in ethical decision making (Exhibit 7.1)	Define the facts; identify the people affected and their rights and obligations; identify alternatives and consequences; make the decision and do it.
The eight rules of the BBB Code	Build trust; advertise honestly; tell the truth; be transparent; honor promises; be responsive; safeguard privacy; embody integrity.
Corruption Perceptions Index (CPI)	Published yearly by Transparency International; measures the potential corruption risk of most countries.

CPI scores at the top and bottom of Exhibit 7.3	Denmark and New Zealand 87; Mexico 29.
Corporate social responsibility (CSR)	A company's obligations to society, including the welfare of people and places affected by its activities.
The six CSR mandates	Quality products; appropriate return to stockholders; dignity and respect for employees; care for the environment; meeting legal obligations; fair dealing with suppliers, lenders and others.
Principle of consistency vs principle of respect	Consistency: what if everyone made the same choice? Respect: choose the alternative that treats people with the greatest respect.
Enron's fraud and its legal consequence	Misleading accounting ('cooking its books'), including mark-to-market, to hide unprofitable operations; a key event leading to the Sarbanes–Oxley Act of 2002.
WorldCom's fraud	Recorded 'line costs' as assets instead of expenses and overstated revenues to show false growth; found by internal auditors; bankruptcy wiped out investors.
Vivendi's fraud and penalties	Hid cash flow, liquidity and debt problems; found by the board; CEO resigned and paid $1 million; Vivendi paid $50 million.
Parmalat's fraud	Used risky derivatives and purchases of its own debt to disguise losses on acquisitions; went bankrupt and was placed under a government commissioner.
Ponzi scheme	A fraud paying earlier investors with money from later investors to appear profitable; first run by Charles Ponzi in the 1920s.
Five fundamentals of ethics education	Personal integrity; responsibility of business in society; ethical decision making; ethical leadership; corporate governance.
Internal controls	A system of rules and procedures ensuring the accuracy and reliability of financial and accounting information.
Preventive vs feedback controls	Preventive: competent ethical staff, written policies, physical security, adequate records. Feedback: production quality control and internal auditing.
The two parts of the FCPA	An anti-bribery provision, and a requirement to maintain adequate internal controls over financial books and records.

Three SOX provisions	25-year sentences for fraud; 20-year sentences for destroying or falsifying records; CEO and CFO must certify the financial statements.
Five basic threats to computer security	Natural disasters; dishonest employees; disgruntled employees; persons outside the organization; accidental errors and omissions.

Session 7 · Entry strategies 23 cards

Risk profile	The potential financial loss entrepreneurs are willing to take in a business.
Risk–return trade-off	The greater the risk (loss of capital invested) entrepreneurs take, the greater the rewards (profit) they are likely to reap.
Three sources of risk in going international	Ownership, operation or asset transfer.
Entry strategies from low to high risk (Exhibit 8.1)	Export-import; licensing; franchising; strategic alliances; joint ventures; foreign acquisitions; wholly owned foreign subsidiaries.
Why export-import is relatively low risk	Capital is not tied up, it is easy to enter or exit, and trade finance techniques minimize financial risk.
Two reasons to license rather than export	Manufacturing locally saves transport, labor and raw material costs; the licensor may lack the funds for overseas plant or have better uses for them.
How a licensor protects itself	Penalty clauses in the license that can work as an exit strategy.
Franchising: risk and capital	More risk than licensing, but local franchisees usually supply the capital, so markets are entered without significant parent investment abroad.
Strategic alliance vs international joint venture	Alliance: cooperation without a separate jointly owned entity, aimed at revenues. Joint venture: a jointly owned business, usually with a local firm, sharing profits and risk.
Why a local partner in a joint venture	Knows the domestic economic, cultural and political environment and helps overcome country-specific logistics and bureaucracy.
Acquisition vs wholly owned (green field) subsidiary	Acquisition: buy an established foreign firm for instant market access. Subsidiary: build new facilities tailored to the firm; large capital, high risk and reward.

Multinational enterprises (MNEs)	Firms headquartered in one country that own and control significant manufacturing, services, R&D or other entities in other countries.
Global 100 by market capitalization (Session 7)	U.S. MNEs 56; greater China 15; France and Switzerland 4 each.
Emerging-market countries whose MNEs challenge U.S. MNEs	China, India, Brazil, Russia, South Korea and South Africa.
The world's three largest companies in 2021 (Exhibit 8.3)	Apple ($2,231 billion), Microsoft ($1,997 billion), Saudi Aramco ($1,874 billion).
Overriding objective of firms investing abroad	To maximize shareholder wealth.
Three strategic motives for investing abroad	Increase revenues; cut costs; diversify operations to minimize risk.
Revenue-maximizing strategies	Entering high-growth markets; stable high-income markets; countries with monopolistic market structures; trade-restricted sectors.
Cost-minimizing strategies	Economies of scale overseas; lower factor input costs by relocating; using exchange rate movements for long-term appreciation of FDI assets.
Dunning's eclectic theory: three advantages	Ownership (firm-specific internal transfer); location (country-specific); internalization (mode of market entry).
Host-country benefits of FDI	Financial inflows; new jobs; new technologies; transfer of skills; more competition and choice; tax revenues.
Host-country costs of FDI	Environmental pollution; exploitation of labor; lack of CSR; political interference by MNEs.
Attractive investment climate characteristics	Proper economic reforms; transparent governance structure; rule of law.

Abbreviations 46 cards

BBB	Better Business Bureau, whose Code of Business Practices sets out eight rules (Exhibit 7.2)
BOP	Balance of payments: all transactions between one country and the rest of the world for a period
BMW	German MNE named on the slides (company name)
CEO	Chief executive officer
CFO	Chief financial officer

CILO	Course intended learning outcome
COVID-19	The coronavirus pandemic that "puts globalization at risk" (Session 1)
CPI	Corruption Perceptions Index, published yearly by Transparency International
CSR	Corporate social responsibility: a company's obligations to society
DFC	U.S. International Development Finance Corporation, which sells political risk insurance
EIU	The Economist Intelligence Unit, publisher of Country Reports
ESG	Environmental, social and governance; named in the Session 6 title and video, not expanded on the slides
EU	European Union
FCPA	Foreign Corrupt Practices Act: anti-bribery provision plus internal control requirement
FDI	Foreign direct investment: purchases of fixed assets abroad to make and sell goods and services there
GATT	General Agreement on Tariffs and Trade, under which the WTO's history began in 1948
GDP	Gross domestic product
GLOBE	The GLOBE project, which measures nine culture constructs across regional clusters
GNI	Gross national income: value of goods and services produced plus net income receipts from abroad
GSP	Generalized System of Preferences: duty-free imports of selected products from specific countries
H–O	Heckscher–Ohlin theory: comparative advantage comes from factor endowments
IBRD	International Bank for Reconstruction and Development (World Bank Group)
ICSID	International Center for the Settlement of Investment Disputes (World Bank Group)
IDA	International Development Association (World Bank Group)

IFC	International Finance Corporation (World Bank Group)
IMF	International Monetary Fund
IP	Intellectual property
IRP	Interest rate parity
IT	Information technology
M&A	Mergers and acquisitions
MFN	Most favored nation (status)
MIGA	Multilateral Investment Guarantee Agency (World Bank Group)
MNE	Multinational enterprise
PPP	Purchasing power parity
PwC	PricewaterhouseCoopers
QR	Quantitative restriction (import quota)
R&D	Research and development
SDR	Special drawing right: IMF basket of dollars, euros, pounds and yen
SOX	Sarbanes–Oxley Act of 2002
TSMC	Company name as printed in Exhibit 8.3 (semiconductor chip design, Taiwan); not expanded on the slide
U.K.	United Kingdom
U.S.	United States
US$	U.S. dollars
VER	Voluntary export restraint
VW	Volkswagen, a German MNE
WTO	World Trade Organization

Self-check quiz

Pick an answer for each question, then check yourself against the answers and explanations that follow.

1. **According to the textbook, globalization is best defined as:**
   - A. The socioeconomic reform process of eliminating trade, investment, cultural, IT and political barriers across countries
   - B. A world economy driven by the United States alone
   - C. The replacement of national currencies with the dollar
   - D. The expansion of firms from developed to developing countries

2. **How has the direction of globalization changed since 2000?**
   - A. It now runs only from emerging to developed economies
   - B. It now runs in both directions and increasingly from one developing country to another
   - C. It now runs only within the European Union
   - D. It has stopped, because of COVID-19

3. **A world economy whose engines of growth include the U.S., the EU, China, India, Brazil, Russia and South Africa rather than the U.S. alone is called:**
   - A. Mercantilism
   - B. Factor price equalization
   - C. Decoupling
   - D. Dollarization

4. **In Exhibit 1.2, which country is ranked first by nominal GDP in 2050?**
   - A. United States
   - B. India
   - C. Indonesia
   - D. China

5. **Which institution lends countries foreign exchange to help address balance of payments problems?**
   - A. The International Monetary Fund (IMF)
   - B. The World Trade Organization (WTO)
   - C. GATT
   - D. The World Bank

6. **Which World Bank Group institution provides political risk coverage for private investments in developing countries?**
   - A. ICSID
   - B. MIGA
   - C. IBRD
   - D. IDA

7. **The WTO's history began in 1948 under:**
   - A. The Smithsonian Agreement
   - B. The Bretton Woods Agreement
   - C. The General Agreement on Tariffs and Trade (GATT)
   - D. The Jamaica Agreement

8. **Which is NOT one of the WTO's five principles?**
   - A. Promoting fair competition
   - B. Trade without discrimination
   - C. Predictability
   - D. Fixed exchange rates

9. **Which is NOT one of the four policy measures that promote globalization?**
   - A. Import quotas
   - B. Good governance
   - C. Property rights
   - D. Anticorruption policies

10. **The perceived economic gap between countries with easy access to digital technology and those with limited access is the:**
    - A. Power distance
    - B. Digital divide
    - C. Risk premium
    - D. Bid-ask spread

11. **Adaptive institutions function best in:**
    - A. A gold standard system
    - B. A totalitarian system
    - C. A democratic system of government with checks and balances
    - D. A system without property rights

12. **According to Session 2, international trade benefits all consumers in three ways. Which is one of them?**

A. Fewer imported goods
B. Fixed exchange rates
C. Higher tariffs
D. Lower prices for goods and services

13. **In Exhibit 2.1 (PPP basis, 2019), which economy is the largest?**

A. China
B. Japan
C. United States
D. India

14. **In Exhibit 2.3, in which year did world FDI inflows peak?**

A. 2010
B. 2016
C. 2000
D. 2019

15. **Mercantilists believed a nation becomes wealthy by:**

A. Specializing in what it produces most efficiently
B. Allowing factors of production to move freely
C. Exporting as much as possible and importing as little as possible
D. Joining a currency basket

16. **The Heckscher–Ohlin theory attributes a nation's comparative advantage to:**

A. Its government subsidies
B. Its trade surplus
C. Its exchange rate regime
D. Its factor endowments

17. **Which is a key assumption of the H–O theory?**

A. Perfect immobility of factors of production among countries
B. Government ownership of factors
C. Fixed exchange rates
D. Free mobility of factors among countries

18. In Porter's Diamond, the COVID-19 pandemic is an example of:

A. Government
B. Chance
C. Demand conditions
D. Factor conditions

19. A tax on imports levied as a constant percentage of the value of one unit of the good is a:

A. Domestic content provision
B. Specific tariff
C. Ad valorem tariff
D. Voluntary export restraint

20. An arrangement in which an efficient exporting nation agrees to limit its exports to another country for a temporary period is:

A. The GSP
B. An import quota
C. A preferential duty
D. A voluntary export restraint (VER)

21. Which reason for managed trade belongs to the geopolitical rationale?

A. Embargoes
B. Countertrade
C. Health and safety
D. Protection of infant industries

22. Under the Generalized System of Preferences (GSP):

A. All countries pay the same tariff
B. Many developed countries allow duty-free imports of selected products from specific countries
C. Imports must contain domestic content
D. Exporters limit their shipments voluntarily

23. Which account of the balance of payments is described as the least significant because its amounts are usually small?

A. Current account
B. Financial account
C. Capital account
D. Reserves

24. The trade balance in services, primary income and secondary income are all parts of the:

A. Capital account
B. Financial account
C. Net errors and omissions
D. Current account

25. Purchases of fixed assets abroad, such as factories and equipment, used to make and sell goods abroad are:

A. Foreign direct investment
B. Secondary income
C. Portfolio investment
D. Hot money

26. According to the slides, net errors and omissions reflect two issues:

A. Inflation and interest rates
B. Timing and illegal trade
C. Tariffs and quotas
D. Exports and imports

27. The 1944 agreement that pegged the U.S. dollar to gold and 43 other currencies to the dollar was:

A. The Jamaica Agreement
B. The Smithsonian Agreement
C. The Bretton Woods Agreement
D. GATT

28. A monetary system with varying degrees of government intervention to keep a currency in an acceptable range is a:

A. Clean float
B. Gold standard
C. Dollarization
D. Dirty float

29. The special drawing right (SDR) is:

A. An IMF basket of dollars, euros, pounds and yen used as a benchmark
B. A forward contract
C. A soft currency
D. A tariff

30. The difference between the bid and ask prices of a currency is the:

A. Forward premium
B. Bid-ask spread
C. Risk premium
D. Hedge

31. The theory that a basket of goods should cost approximately the same across countries is:

A. Comparative advantage
B. Interest rate parity
C. Purchasing power parity
D. Factor price equalization

32. According to empirical tests on the slides, PPP appears to hold:

A. Only for countries with identical inflation
B. Never
C. Only in periods shorter than one year
D. In the long run, for periods exceeding five years

33. In the forecasting formula $F = S(1 + p)$, p stands for:

A. The forward premium
B. The population
C. The inflation rate
D. The price index

34. Which is NOT given as a reason IRP may not hold?

A. Herd behavior
B. Perfect competition
C. Transaction costs
D. Central bank intervention

35. Translating a message into a foreign language and then back into English to check accuracy is:

A. Aesthetics
B. Nonverbal communication
C. Backward translation
D. Social stratification

36. **Color, form and music are the major components of which element of culture?**

A. Manners and customs
B. Social institutions
C. Material elements
D. Aesthetics

37. **Which element of culture is a direct result of technology?**

A. Material elements
B. Language
C. Values
D. Religion

38. **According to Session 4, which country emphasizes engineering and software development in education?**

A. Russia
B. India
C. Japan
D. Brazil

39. **Which is one of Trompenaars's cultural dimensions?**

A. Power distance
B. Uncertainty avoidance
C. Universalism vs. particularism
D. Time orientation

40. **In Exhibit 5.3, which cluster has the highest GLOBE power distance score?**

A. Eastern Europe
B. Anglo
C. Germanic Europe
D. Southern Asia

41. **The GLOBE construct defined as the degree to which a collective minimizes gender inequality is:**

A. Gender egalitarianism
B. Collectivism II
C. Assertiveness
D. Humane orientation

42. **Guanxi, in China, refers to:**

A. Harmony among unequals
B. Friendships among unequals and the unlimited exchange of favors
C. The noble class's culture of honor
D. A ban on business with foreigners

43. **According to the country notes, what is impolite in Russia?**

A. Being introduced by a third party
B. Arriving on time
C. Refusing a drink or a toast
D. Using a local businessperson

44. **"We work to live, not live to work" is the motto given for:**

A. Japan
B. India
C. South Africa
D. Latin America

45. **A political risk that affects only a certain industry or set of firms is:**

A. Micropolitical risk
B. Economic risk
C. Public corruption
D. Macropolitical risk

46. **Under which ideology does the state own and control all major factors of production in a philosophically classless society?**

A. Capitalism
B. Communism
C. Representative democracy
D. Socialism

47. **Which U.S. government agency sells political risk insurance to U.S. businesses in countries with a bilateral investment treaty?**

A. MIGA
B. Transparency International
C. The U.S. International Development Finance Corporation (DFC)
D. The IMF

48. Making illegal payments to government officials to obtain government contracts is:

A. Collusion
B. Arbitration
C. Private corruption
D. Public corruption

49. Which is listed as an economic risk?

A. Restrictions on the transfer or exchange of a country's currency
B. Copyright infringement
C. Caveat venditor
D. Backward translation

50. A legal system in which judges have considerable authority to interpret less specific rules based on precedent is:

A. Theocratic law
B. Common law
C. Contract law
D. Civil law

51. Which product safety principle places the burden on manufacturers or sellers?

A. Antitrust
B. Caveat emptor
C. Caveat venditor
D. Arbitration

52. Disputing parties designating a neutral private person or group to hear and decide their case is:

A. Criminal law
B. Litigation
C. Collusion
D. Arbitration

53. A distinctive name, symbol or design that identifies a business's product or service is protected by a:

A. Trademark
B. Patent
C. Copyright
D. License

54. Which is named on the slides as a tax haven?

A. Canada
B. The Cayman Islands
C. Germany
D. Japan

55. "Do what produces the greatest good" is the:

A. Principle of respect
B. Imperative principle
C. Utilitarian principle
D. Generalization argument

56. Which is the final step of ethical decision making in Exhibit 7.1?

A. Define all the facts
B. Identify the people affected
C. Identify the alternatives
D. Determine the right thing to do and then do it

57. The Corruption Perceptions Index (CPI) is published each year by:

A. Transparency International
B. The Better Business Bureau
C. The IMF
D. The World Bank

58. Considering what would happen if everyone made the same choice you are about to make is the:

A. Imperative principle
B. Principle of consistency
C. Principle of respect
D. Utilitarian principle

59. Which is NOT one of the CSR mandates on the slides?

A. Treat employees with dignity and respect
B. Take care of the environment
C. Maximize market share at any cost
D. Meet its legal obligations

60. Which company recorded "line costs" as assets rather than expensing them?

A. Enron
B. Vivendi
C. Parmalat
D. WorldCom

61. Internal auditing is an example of:

A. A feedback control
B. An anti-bribery provision
C. A tax law
D. A preventive control

62. Under the Sarbanes–Oxley Act (SOX), who must certify that the financial statements are accurate?

A. The board of directors
B. The CEO and CFO
C. The stockholders
D. The external auditor alone

63. The two parts of the Foreign Corrupt Practices Act (FCPA) are:

A. A patent and a trademark rule
B. A tax haven ban and an antitrust rule
C. An anti-bribery provision and an internal control requirement
D. A tariff and a quota

64. Which is NOT one of the five fundamentals of ethics education?

A. Personal integrity
B. Ethical leadership
C. Corporate governance
D. Profit maximization

65. In Exhibit 8.1, which entry strategy carries the highest risk and return?

A. Wholly owned foreign subsidiaries
B. Franchising
C. Licensing
D. Joint ventures

66. Which of these is a strategy that shares financial risk?

A. Foreign acquisition
B. International joint venture
C. Export-import business
D. Licensing

67. A key difference between a strategic alliance and an international joint venture is that an alliance:

A. Is the highest-risk strategy
B. Always involves a local government
C. Does not create a separate entity with joint ownership
D. Requires more capital than a subsidiary

68. New facilities built and operated overseas, tailored to the home firm's exact needs, are called:

A. Franchises
B. Licenses
C. Cross-border mergers
D. Green field plants (wholly owned subsidiaries)

69. Compared with licensing, franchising:

A. Carries relatively more risk for the parent firm
B. Requires the parent to supply all capital
C. Is the lowest-risk strategy
D. Carries no risk

70. Which is NOT one of the three strategic motives for investing abroad?

A. Diversify operations to minimize risk
B. Avoid all foreign competition
C. Increase revenues
D. Cut costs

71. Dunning's eclectic theory names three advantages. Which is one of them?

A. Mercantile advantages
B. Tariff advantages
C. Location (country-specific) advantages
D. Absolute advantages

72. Gaining economies of scale in overseas production is a:

A. Risk-minimizing strategy
B. Host-country cost
C. Revenue-maximizing strategy
D. Cost-minimizing strategy

73. Which is listed as a cost of FDI from the host country's perspective?

A. Political interference by MNEs in the host country's affairs
B. Tax revenues
C. Creation of new jobs
D. Access to new technologies

74. Which is a characteristic of an attractive investment climate?

A. High tariffs
B. Rule of law
C. State ownership of all factors
D. Secret tax regimes

Answers and explanations

1. **A.** The textbook defines globalization as eliminating trade, investment, cultural, information technology and political barriers. Expansion from developed to developing countries describes only its pre-2000 direction.
2. **B.** Before 2000 business expanded from developed to emerging economies; now it flows both ways and increasingly between developing countries.
3. **C.** That is the textbook's definition of decoupling. The related idea of a multipolar world stresses developing economies growing on their own strengths.
4. **D.** China is first with $50.0 trillion, ahead of the United States ($34.0 trillion) and India ($28.0 trillion).
5. **A.** Lending foreign exchange for balance of payments problems is one of the IMF's four roles. The World Bank's focus is development.
6. **B.** The Multilateral Investment Guarantee Agency (MIGA) provides political risk coverage. ICSID deals with investment disputes, not insurance.
7. **C.** The slides say the WTO began trading in 1948 under GATT, which liberalized trade by lowering tariffs, quotas and subsidies.
8. **D.** The five principles are trade without discrimination, freer trade, predictability, fair competition and encouraging reform in developing countries. Exchange rates are the IMF's field.
9. **A.** The four measures are good governance, competitive markets, property rights and anticorruption policies. Import quotas are a trade barrier.
10. **B.** The textbook calls this gap the digital divide.
11. **C.** Adaptive institutions create incentives for private investment and operate under checks and balances, functioning best in a democracy.
12. **D.** The three benefits are more choice, lower prices and higher living standards.
13. **A.** China's PPP GNI is $23,468 billion (17.26% of world), ahead of the United States at $21,690 billion (15.95%).
14. **B.** World FDI reached $2,754 billion in 2016, the highest value in the exhibit.
15. **C.** Mercantilism measured wealth in precious metal and sought a trade surplus. Specialization belongs to absolute and comparative advantage.
16. **D.** H–O traces comparative advantage to land, labor, capital and technology.
17. **A.** H–O assumes perfect competition and perfect immobility of factors. Free mobility is the premise of factor price equalization theory.
18. **B.** The slide gives COVID-19 as an example of chance, an external shock or development.

19. **C.** An ad valorem tariff is a percentage of value; a specific tariff is a fixed amount per unit.
20. **D.** That is the definition of a VER. An import quota is imposed by the importing country.
21. **A.** The geopolitical rationale lists national security, strategic industries and embargoes; the other three are socioeconomic.
22. **B.** GSP is an agreement allowing duty-free imports of a selected list of products originating from specific countries.
23. **C.** The capital account, which records non-produced nonfinancial assets and capital transfers, is usually small.
24. **D.** The current account covers goods, services, primary income and secondary income.
25. **A.** That is FDI, recorded in the financial account. Portfolio investment is in securities.
26. **B.** Errors and omissions come from imperfect source data and reflect timing and illegal trade.
27. **C.** Bretton Woods (1944) set up this system and the IMF. Smithsonian (1971) let the dollar be devalued; Jamaica (1976) allowed floating.
28. **D.** A dirty float involves intervention; a clean float is largely market-determined.
29. **A.** The IMF created the SDR as a currency basket to value different currencies.
30. **B.** The bid-ask spread is the bank's transaction fee.
31. **C.** That is PPP. IRP concerns bond returns.
32. **D.** PPP appears to hold over periods longer than five years but may not in shorter periods.
33. **A.** F is the forward rate, S the spot rate and p the forward premium.
34. **B.** The slides list transaction costs, political and legal factors, market psychology and central bank intervention. Perfect competition is an H–O assumption.
35. **C.** That is backward translation, a tool under the language element.
36. **D.** Aesthetics is what a society perceives as taste and beauty. Material elements are the result of technology.
37. **A.** Material elements are shown by a society's economic, social, financial and marketing infrastructures.
38. **B.** India emphasizes engineering and software; Russia is strong in mathematics and programming.
39. **C.** The other three are Hofstede's dimensions.
40. **D.** Southern Asia scores 5.39, the highest; Eastern Europe is lowest at 4.08.
41. **A.** That is gender egalitarianism. Exhibit 5.3 shows Arabic countries lowest on it at 2.95.
42. **B.** Guanxi is friendship among unequals and exchange of favors. Inwa (harmony among unequals) and yangban (honor) are Korean ideas.

43. **C.** Refusing a drink or a toast is impolite. Third-party introductions are preferred, and the foreigner should be on time.

44. **D.** The slides attribute it to Latin America, where people are less immersed in work than U.S. businesspeople.

45. **A.** Micropolitical risk is industry-specific; macropolitical risk affects essentially all businesses in a country.

46. **B.** That is communism. Under socialism the government plays a strong role and may own stakes in some businesses.

47. **C.** The DFC sells this insurance. MIGA, part of the World Bank Group, offers political risk coverage for investments in developing countries, but it is not a U.S. agency.

48. **D.** Public corruption targets government officials; private corruption involves other businesses or individuals.

49. **A.** Economic risks include currency restrictions or devaluation, doubtful loan repayment, labor problems, inflation and corruption.

50. **B.** Common law relies on judges and precedent; civil law relies on comprehensive written codes.

51. **C.** Caveat venditor means "seller beware"; caveat emptor puts the burden on consumers.

52. **D.** Arbitration is the alternative dispute resolution process; litigation uses a public court.

53. **A.** A trademark identifies a business's product or service. A patent protects an invention; a copyright protects published work.

54. **B.** The slides list Mauritius, Belize, the Cayman Islands, Antigua, Barbuda and the Isle of Man.

55. **C.** The utilitarian principle looks at the greatest good; the imperative principle says simply do what is right.

56. **D.** The fourth step is to make the decision: determine the right thing and do it.

57. **A.** Transparency International publishes the CPI.

58. **B.** That is the principle of consistency; the principle of respect asks which alternative treats people with the greatest respect.

59. **C.** The six mandates include quality products, return to stockholders, dignity for employees, environment, legal obligations and fair dealing; market share is not among them.

60. **D.** WorldCom underreported line costs as assets and overstated revenues.

61. **A.** Feedback controls, such as quality control and internal auditing, identify errors after they occur.

62. **B.** SOX requires the chief executive officer and chief financial officer of a public company to certify the statements.

63. **C.** The FCPA combines anti-bribery with a requirement for adequate internal controls over books and records.

64. **D.** The five are personal integrity, responsibility of business in society, ethical decision making, ethical leadership and corporate governance.

65. **A.** Wholly owned foreign subsidiaries sit at the high-risk, high-return end; export-import sits at the low end.

66. **B.** Strategic alliances and international joint ventures share risk; export-import and licensing minimize it; acquisitions are higher risk.

67. **C.** A joint venture is a jointly owned business; an alliance is cooperation without creating one.

68. **D.** Wholly owned subsidiaries built from scratch are green field plants; an acquisition buys an existing firm instead.

69. **A.** The slides say the parent firm assumes relatively more risk with franchising than with licensing.

70. **B.** The three motives are increasing revenues, cutting costs and diversifying to minimize risk.

71. **C.** Dunning's three are ownership, location and internalization.

72. **D.** Economies of scale, lower factor costs and exchange rate moves are cost-minimizing strategies.

73. **A.** Political interference is a cost; the other three are benefits.

74. **B.** The three characteristics are proper economic reforms, a transparent governance structure and the rule of law.

Mock exam

A full practice paper to answer in 120 minutes. Answer all questions. Section A carries 40 marks and Section B carries 60 marks, for a total of 100. Use the course's own terms, lists and exhibits by name, and sketch a diagram where it helps your answer. This is a practice paper: the course folder gives no details of the real exam's format. Write your answer on paper first, then turn to the model answers and compare. Each question links to the chapters it draws on.

Section A · Concepts (40 marks)

Q1. Define globalization as the textbook does, and explain how its direction has changed since 2000. Use the concepts of decoupling and the multipolar world in your answer. [10 marks]

Q2. Explain the roles of the IMF, the World Bank and the WTO in facilitating globalization. [10 marks]

Q3. Distinguish between absolute advantage, comparative advantage and the Heckscher–Ohlin theory, and explain why mercantilism fails as a basis for trade policy. [10 marks]

Q4. Describe the three accounts of the balance of payments and explain what net errors and omissions are. [10 marks]

Section B · Application (60 marks)

Q5. Using the eight elements of culture and the country notes from Session 4, explain why a company's degree of cultural adaptation can decide its success abroad. Illustrate with at least three of the markets the course describes, and explain how culture should shape the firm's management and marketing there. [20 marks]

Q6. A mid-sized consumer electronics firm is considering entering a large emerging market where it has no experience. Using the course's entry strategies (Exhibit 8.1) and its discussion of political and economic risk, recommend how the firm should weigh its options, from export-import to a wholly owned subsidiary. (This scenario is invented for practice.) [20 marks]

Q7. Using the financial scandals covered in Session 6, explain how failures of ethics damage markets, and evaluate the role of internal controls, the FCPA and the Sarbanes–Oxley Act in preventing such failures. [20 marks]

Model answers

Q1

The textbook defines globalization as the socioeconomic reform process of eliminating trade, investment, cultural, information technology and political barriers across countries. Because these barriers fall, goods, services, investment and even cultural and belief systems flow more freely, which can lead to greater economic growth and to geopolitical integration and interdependence among nations, making them more efficient, interdependent and perhaps more inclusive and homogeneous.

The direction of globalization has changed. Before 2000 it generally meant businesses expanding from developed countries into developing or emerging economies. Today business flows in both directions, and increasingly from one developing country to another, because emerging economies are adopting more open trade and free-market policies to drive their growth. The world's center of economic gravity is therefore shifting toward emerging economies, especially China; Exhibit 1.2 projects China as the largest economy by nominal GDP in 2050, with India third and Indonesia fourth.

Two concepts describe this new order. Decoupling describes a world economy with several engines of growth, such as the United States, the European Union, China, India, Brazil, Russia and South Africa, rather than the United States alone. A multipolar world is the shift in which developing economies that used to depend on industrialized countries grow on their own underlying economic strengths. Together they describe a world with several centers of economic power instead of one.

Marking points

- Gives the textbook definition (eliminating trade, investment, cultural, IT and political barriers)
- Before 2000: developed to emerging; now both directions and between developing countries
- Center of gravity shifting to emerging economies, especially China (Exhibit 1.2)
- Defines decoupling correctly
- Defines multipolar world correctly

Revise: What globalization is, and where it is heading

Q2

Globalization gained momentum after World War II, when the governments of the free world recognized the need for international cooperation and coordination and created three organizations, each addressing a different obstacle to open trade and investment.

The International Monetary Fund (IMF) supports global financial stability. It provides a forum for cooperation on international monetary problems; facilitates international trade that promotes job creation, growth and poverty reduction; promotes exchange rate stability and an open system of international payments; and lends countries foreign exchange to help with balance of payments problems.

The World Bank was first created to help rebuild Europe after the war. Its current focus is global integration through trade liberalization, policy advice to strengthen free-market institutions and infrastructure, agreements supporting international financial standards, knowledge transfer to developing countries for sustainable development, and eradicating communicable diseases. It works through five institutions: the IBRD, IDA, IFC, MIGA and ICSID, which range from loans to the poorest members (IDA) to political risk coverage (MIGA).

The World Trade Organization (WTO) began in 1948 under GATT, which lowered or removed tariffs, quotas and subsidies through negotiations. The WTO administers trade agreements, acts as a forum for negotiations, settles disputes, reviews national trade policies, assists developing countries and cooperates with the IMF and World Bank. It rests on five principles: trade without discrimination, freer trade, predictability, fair competition and encouraging reform in developing countries.

Marking points

- Post-WWII origin and need for cooperation
- IMF: four roles
- World Bank: original role, current focus, Group institutions
- WTO: GATT 1948 origin, functions, five principles

Revise: The institutions behind globalization: money, development and trade rules

Q3

Mercantilism, the oldest trade theory, was practiced from about 1500 to 1750. It held that wealth was measured by the precious metal a country owned, so a nation should export as much as possible and import as little as possible to run a trade surplus. Its flaw is that it ignores the big picture: if every nation raised exports and cut imports, the world would face a surplus of exports, depressed prices, lower earnings for exporters and underselling.

The specialization theories replace the surplus goal with efficiency. A country has an absolute advantage when it can produce a good or service more efficiently than another country. Comparative advantage goes further: a country with an absolute advantage in two or more goods

can still produce one of them relatively more efficiently than the other, and it should specialize in that one. Specialization encourages each country to produce what it makes most efficiently.

The Heckscher–Ohlin (H–O) theory explains where comparative advantage comes from: a nation's factor endowments of land (quantity, quality and mineral resources), labor (quantity and skills), capital (cost) and technology (quality). Nations therefore export goods that intensely use their abundant factors. H–O assumes perfect competition and perfect immobility of factors between countries; factor price equalization theory relaxes the second assumption, arguing that free factor mobility raises efficiency until prices reach equilibrium.

Marking points

- Mercantilism: surplus, precious metal, 1500–1750
- Flaw: universal surplus depresses prices and earnings
- Absolute advantage definition
- Comparative advantage definition
- H–O: four factor endowments and two assumptions

Revise: Who should make what: the major theories of international trade

Q4

The balance of payments (BOP) shows all transactions between one country and the rest of the world for a given period. It has three accounts.

The current account records the activities of consumers and businesses: the trade balance in goods (exports carry a plus sign as money comes in, imports a minus sign as money goes out, so importing more than exporting gives a goods trade deficit), the trade balance in services such as shipping, tourism, banking and software, the primary income balance (labor and investment income earned from abroad less income paid abroad), and secondary income, which records current transfers between residents and nonresidents.

The capital account records credit and debit entries for non-produced nonfinancial assets and capital transfers, such as land sold to embassies or the sale of leases and licenses. It is the least significant BOP item because the amounts are usually small. The financial account consists of foreign direct investment, portfolio investment, net financial derivatives and other investments such as hot money and trade credit.

In practice the accounts do not balance exactly because source data and compilation are imperfect. The gap is recorded as net errors and omissions, derived as the financial account balance minus the balance of the current and capital accounts; it reflects timing and illegal trade. The total of the

three accounts is the overall balance of payments, and once adjusted for net errors and omissions it is reflected in the change in foreign currency reserves.

Marking points

- Defines BOP
- Current account and its four parts with sign convention
- Capital account, least significant
- Financial account components
- Errors and omissions: causes, derivation, link to reserves

Revise: Keeping score with the world: the balance of payments

Q5

Culture is learned behavior, a way of life for one group of people living in a single, related and independent community. Because it is learned, it differs between countries, and the textbook warns that the degree to which a company adapts to a culture is often the difference between success and failure in international markets. A global firm must judge how important each aspect of culture is in each market and adjust its operations to it.

The eight elements of culture give the firm a checklist. Language covers both verbal content and nonverbal signals, and backward translation helps check messages. Religion affects operations, products, holidays and working hours. Values and attitudes are a society's basic beliefs and its feelings and opinions. Manners and customs are the usual way things are done. Material elements reflect a society's technology and infrastructure, aesthetics its sense of color, form and music, education the skills available among host-country staff, and social institutions the way people relate in groups through reference groups and social stratification.

The country notes show these elements at work. In Japan, manners and customs govern the first meeting: a slight bow and handshake, careful business card etiquette, no direct eye contact, and hosts who need to know the visitor's title and rank; executives expect visitors to arrive prepared with decision-making authority and to be referred through a third party. In China, the social institution of guanxi, friendship among unequals built on an unlimited exchange of favors, means low-ranking people can be influential, so a foreigner may need to win their favor to reach decision makers. In Latin America, customers want a personal relationship before business, people are more flexible about time, and the motto is "We work to live," not "We live to work." In Arab countries, etiquette such as not showing the sole of one's shoe, treating the left hand as unclean and not over-praising a host's possessions can make or break a meeting. A firm that ignores these rules fails before negotiations begin.

Culture also shapes management and marketing. A country's culture affects its attitudes toward work, so management styles can create challenges or lead to success. New products must take local management styles and other aspects of marketing into account, advertising campaigns must be carefully tailored to local cultures, and communication styles differ: Exhibit 5.4 lists U.S. jargon, such as "reinvent the wheel", that foreign business representatives would not understand. The firm that adapts in each of these areas gives itself the best chance of success.

Marking points

- Definition of culture and the adaptation argument
- All eight elements named and explained
- At least three country examples used accurately
- Management and marketing implications (work attitudes, styles, products, advertising, communication)
- Clear link between adaptation and success

Revise: What culture is: the eight elements of culture · Culture in practice: doing business around the world

Q6

The firm's choice depends on its risk profile, the potential financial loss its owners are willing to take, and on the risk–return trade-off: the greater the risk of losing invested capital, the greater the likely reward. Risk comes from ownership, operation and asset transfer. Exhibit 8.1 ranks the entry strategies from low risk and low return to high risk and high return: export-import, licensing, franchising, strategic alliances, joint ventures, foreign acquisitions and wholly owned foreign subsidiaries.

The country itself adds risk. Session 5 lists economic risks, including restrictions on currency transfer or devaluation, doubtful loan repayment, labor problems, inflation and corruption, and political risks, which may be micropolitical (one industry) or macropolitical (all businesses). These risks are not independent, and firms can mitigate them through careful planning; U.S. firms can also buy political risk insurance from the DFC.

Given no experience in the market, the strategies that minimize financial risk are the natural start. Export-import business ties up little capital, is easy to enter and exit, and can use trade finance to limit financial risk. Licensing brings the firm closer to a local partner, lets it benefit from lower local transport, labor and material costs without investing in plant, and can be protected by penalty clauses that serve as an exit strategy, though it carries slightly more risk than exporting.

If the market proves attractive and larger investment is needed, the firm can share risk. A strategic alliance offers cooperation for revenue without a jointly owned entity, but any member could quit

early. An international joint venture with a local firm shares commercial risk and draws on the local partner's knowledge of the domestic economy, culture and politics and its ability to handle logistics and bureaucracy, which directly reduces the political and cultural risks identified above.

The higher-risk options suit a later stage. An acquisition gives instant access to existing production, marketing and distribution networks, while a wholly owned green field subsidiary needs large capital, high marketing effort as an unknown newcomer, and carries high risks and rewards. The recommended path is therefore to begin at the low-risk end and move along Exhibit 8.1 as the firm's knowledge grows and its risk profile allows.

Marking points

- Risk profile, risk–return trade-off and sources of risk
- Exhibit 8.1 ordering
- Economic and political risks and mitigation
- Evaluates minimize / share / higher-risk groups with course reasons
- Clear recommendation linked to risk

Revise: Choosing how to go abroad: entry strategies from exporting to subsidiaries · Politics and risk: political systems, ideologies, risk and corruption

Q7

Ethics is the branch of philosophy that deals with the rightness and wrongness of actions and the goodness and badness of their intent and results. Session 6 argues that ethics and economic progress are connected: ethical business needs mutual trust, fair dealing and honest communication, and unethical behavior, such as using inside information, destroys fair investment markets.

The scandals show how. Enron used innovative and misleading accounting, including mark-to-market practices, to hide unprofitable operations. WorldCom recorded line costs as assets rather than expenses and overstated revenues to show false growth and prop up its stock price; its bankruptcy wiped out stockholders and bondholders. Vivendi hid cash flow, liquidity and debt problems to boost its stock price and make acquisitions, and Parmalat used risky derivatives and purchases of its own debt to disguise losses until it went bankrupt. In each case investors relied on false financial information, which is exactly the breakdown of trust that destroys fair markets.

Internal controls are the first defense. They are rules and procedures that ensure the accuracy and reliability of financial and accounting information. Preventive controls, such as hiring competent and ethical employees, following written policies, securing assets and keeping adequate records, stop errors and irregularities before they occur. Feedback controls, such as quality control and

internal auditing, find them afterwards so they can be corrected. The cases show both at work: WorldCom's fraud was eventually discovered by internal auditors, and Vivendi's by its board.

The law makes controls compulsory. The FCPA applies to U.S. firms and foreign firms doing business in the United States and combines an anti-bribery provision with a requirement to keep adequate internal controls over books and records. The Enron scandal was a key event behind the Sarbanes–Oxley Act of 2002, which raised the prison sentence for fraud to 25 years, set 20-year sentences for destroying or falsifying records, and requires the CEO and CFO to certify that the financial statements are accurate. Together they raise the cost of fraud and place personal responsibility on top management.

Controls and laws work best alongside ethics education. The textbook holds that ethics can be taught through personal integrity, the responsibility of business in society, ethical decision making, ethical leadership and corporate governance, so that managers know what is right and have the courage to do it.

Marking points

- Ethics–economics link (trust, fair markets)
- Accurate account of at least three scandals
- Internal controls: definition, preventive vs feedback, with case evidence
- FCPA two parts
- SOX provisions and Enron link
- Evaluation including ethics education

Revise: When ethics fails: financial scandals and internal controls · Doing the right thing: ethics, economics and social responsibility